

Risk and capital management

DNB Group

2017

Disclosure according to Pillar 3

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This report contains information about risk management, risk measurement and capital adequacy in accordance with the disclosure requirements in section IX: “Publication of financial information” of the capital adequacy regulations. In addition, the report contains information in accordance with the new reporting requirements issued by EBA «Final report on the Guidelines on Disclosure Requirements under Part Eight of Regulation 575 2013 (EBA-GL-2016-11)».

The capital adequacy regulations consist of three pillars.

Pillar 1 includes the quantitative minimum requirements for banks’ capital and descriptions of measurement methods for risk-weighted assets and eligible capital. The capital adequacy regulations allow different methods for calculating the capital requirement.

The illustration shows the methods used to calculate capital requirements for the various risk categories. DNB reports credit risk according to the advanced IRB approach, where internal risk models for PD, LGD and EAD are used. Some credit portfolios are temporarily or permanently exempt from IRB reporting, and are reported according to the standardised approach. Market risk is measured using the standardised approach. Operational risk is generally reported using the standardised approach, while some subsidiaries use the basic indicator approach.

Pillar 2 sets out requirements for the Internal Capital Adequacy Assessment Process, ICAAP, and the bank’s responsibility for assessing risks other than those described under Pillar 1.

Pillar 3 contains disclosure requirements and shall enable the market to assess financial institutions’ capital and risk management. The Board of Directors of DNB ASA approves the guidelines and procedures for the Pillar 3 reporting, and also reviews the report prior to publication. The Pillar 3 report is not subject to audit. Tables can be found in the appendix to the report.

Information on DNBs remuneration policies is found in DNBs Annual report which is found here: <https://www.ir.dnb.no/press-and-reports/financial-reports-and-presentations>



2017 IN BRIEF

Risk weighted assets
NOK billion

 **1 043** (1 051)

Primary capital
NOK billion

 **209** (205)

CET1 capital ratio
Per cent

 **16.4** (16.0)

Capital adequacy ratio
Per cent

 **20.0** (19.5)

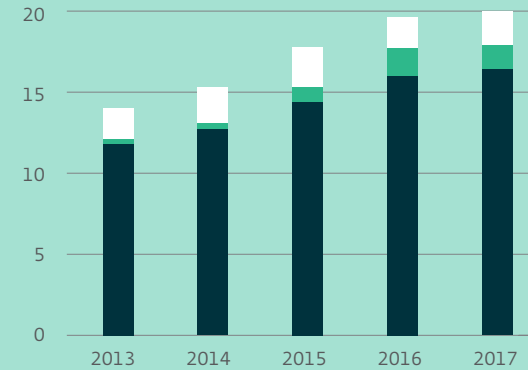
Economic capital
NOK billion

 **56** (57)

Leverage ratio
Per cent

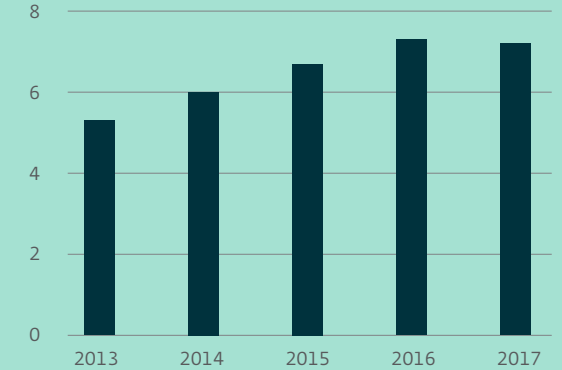
 **7.2** (7.3)

Capital adequacy ratio
Per cent

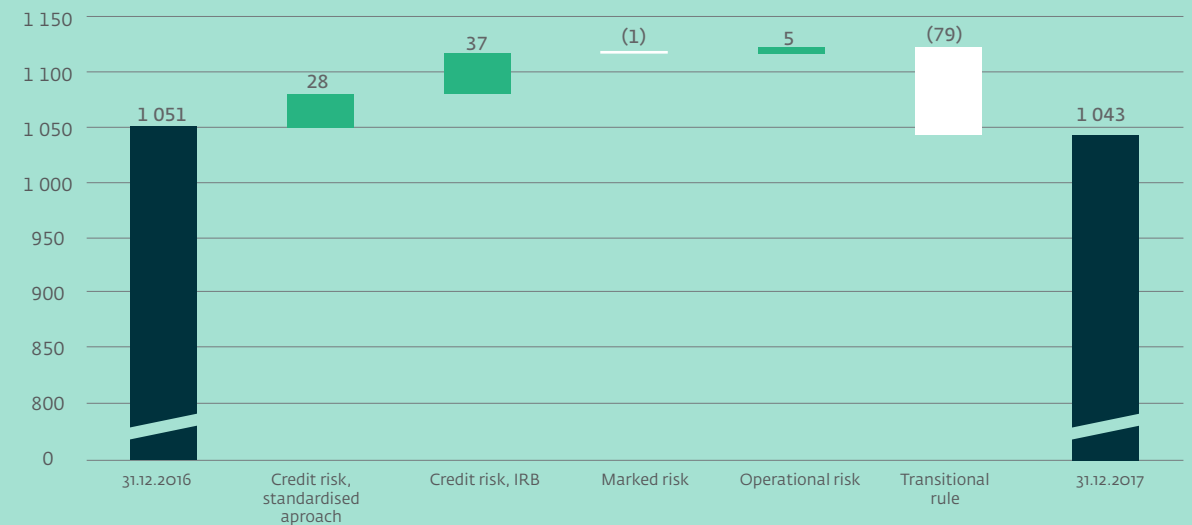


● Common equity Tier 1 ● Hybrid capital ● Tier 2 capital

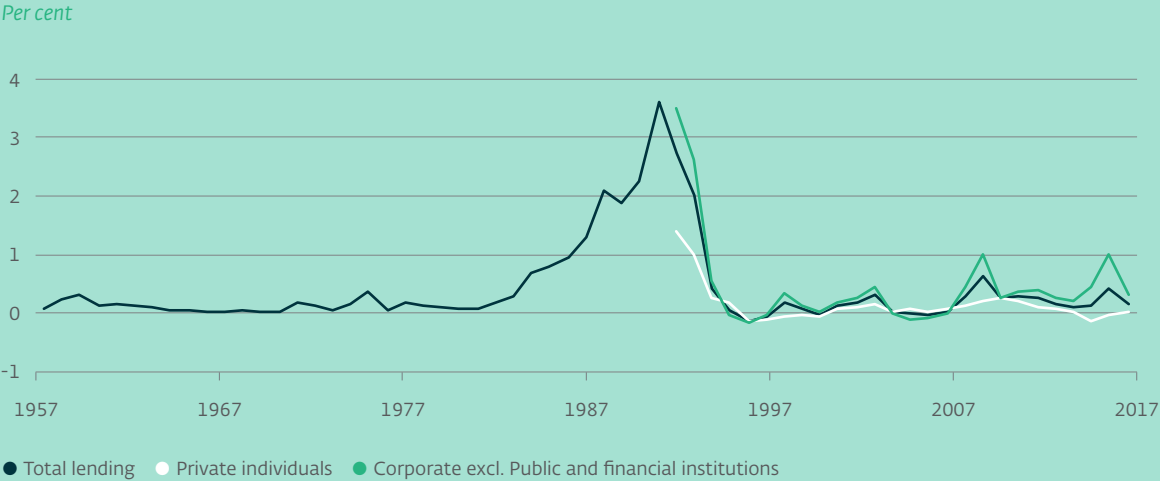
Leverage ratio
Per cent



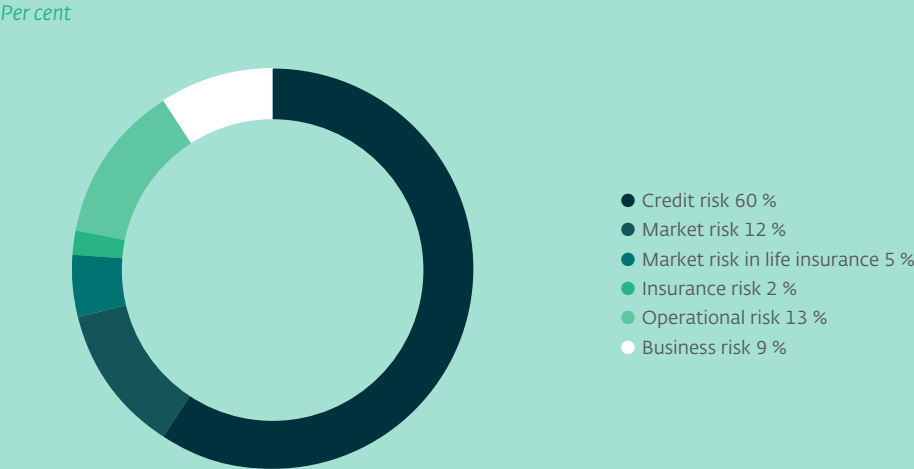
Development in risk weighted assets
NOK billion



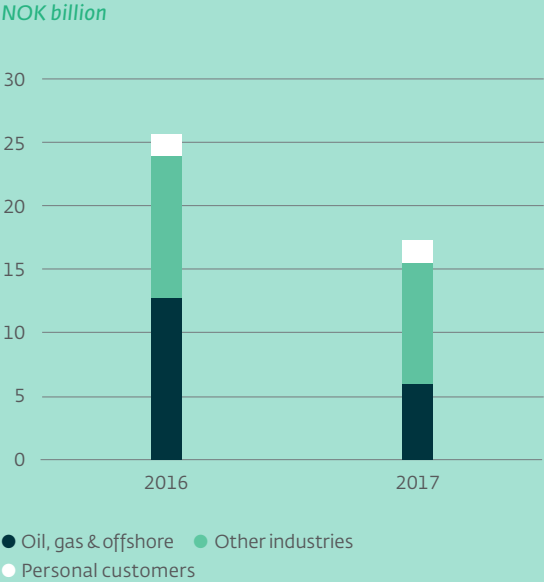
Annual net impairment losses, 1957–2017



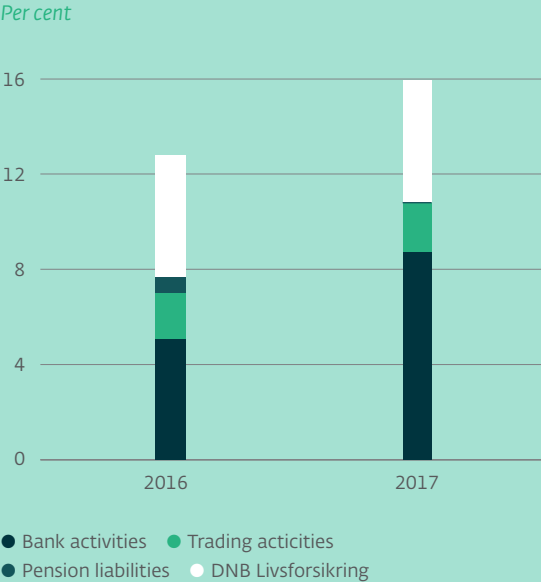
Gross economic capital by category



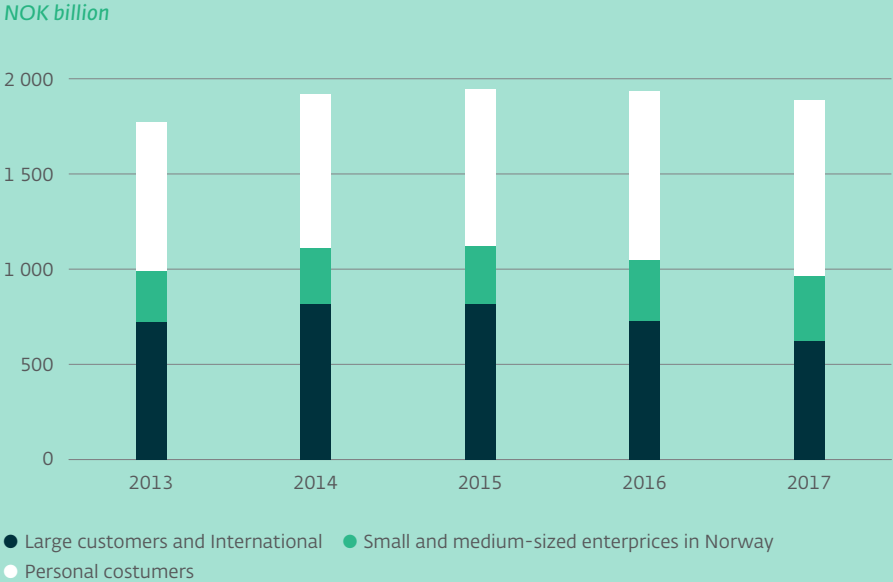
Net non-performing and doubtful commitments



Market risk as a share of economic capital



Development in credit portfolio, EAD





Fundamentals of the Norwegian economy

Norway has 5.3 million inhabitants, and a GDP per capita which is significantly higher than in the EU. For the last 15 years the Norwegian economy has experienced higher growth and less volatility in GDP than the other Nordic countries and the euro countries. Norway's strong economy has given the country considerable fiscal leverage, and flexibility to deal with lower economic activity. Due to higher economic growth in Norway than in the EU member states after the financial crisis, the key policy rate has remained higher than in most other countries in the Nordic region and the EU. A national currency with a floating exchange rate and credible fiscal and monetary policies have dampened the effects of cyclical fluctuations.

In addition to oil and gas, fish and aluminium are important Norwegian export products. Good access to low-priced electricity generated by hydropower has been an important prerequisite for the development of Norwegian metal production.

Norwegian government bonds have the highest credit rating available, and Norway has been ranked highest on the UN's Human Development Index, which is based

on composite statistics of life expectancy, education and income indices, for 12 of the last 14 years.

House prices in Norway have increased considerably over the last 20 years. They were lifted by high income growth, low and stable unemployment and, in recent years, low interest rates. In addition, housebuilding activity relative to population growth was limited at times during this period. There was a turnaround in 2017 and house prices fell, partly because they had risen steeply in 2016. 82 per cent of the population lives in a dwelling owned by the household itself, so the letting market is quite limited.

Since the first petroleum discoveries in the late 1960s, the importance of oil to the economy has increased substantially. In 2017, oil and gas extraction accounted for 15.6 per cent of GDP and 39.9 per cent of Norway's export revenues. Demand stemming from investment activity on the Norwegian Continental Shelf also affects mainland enterprises. Income from petroleum activities accounted for 15.9 per cent of the government's total revenues in 2017. The income is transferred to the Government Pension Fund Global, popularly called the Oil Fund. This fund serves as a

buffer between oil revenues and spending through the government budget. The Oil Fund only invests outside Norway. At the end of 2017, the value of the fund equalled roughly 259 per cent of GDP. The fiscal rule regulates the use of petroleum revenues and is intended to ensure that the level of revenues being phased into the economy can be sustained over time.

High cost inflation over time in combination with low oil prices, led to significant cuts in petroleum investment in 2015 and 2016, and to a turnaround in the Norwegian economy. Both growth and capacity utilisation were lower than normal in 2016. Unemployment rose, but primarily in petroleum-related occupations and regions, especially in southern and western Norway. Lower interest rates, an expansive fiscal policy and weakening of the Norwegian krone helped limit the downturn. The parties in wage negotiations adapted wage growth to the new conditions. In 2017, the decline in oil-sector investments slowed down, economic growth picked up and unemployment declined. At the beginning of 2018, it looks like economic growth in Norway will be higher than what's considered normal growth.

THE CRO'S SUMMARY

DNB implemented a new strategy, new values and a new purpose in 2017. Changes of technology, regulations and behavioural patterns mean that we need to be more innovative. Four factors are critical for DNB's success in creating the best customer experiences and achieving financial targets: increase innovative power, increase the use of customer insights, internal skills enhancement and incorporating corporate social responsibility in all of our processes.

To help achieve the goals of the new strategy, the Board of Directors approved a new group structure in December 2017. Among the changes was the establishment of IT as a separate support area. The new structure is designed to facilitate more business-oriented IT development and ensure good control of the Group's IT risk. Compliance has been separated from Group Risk Management and established as a separate support area. Head of Compliance is now member of Group management and reports to the CEO.

The new strategy is reflected in Group Risk Management's prioritisation. Group Risk Management plays an important role in ensuring that the bank observes its corporate social responsibility, among other things by ensuring that corporate social responsibility is considered in connection with all credit decisions. New governance principles for corporate social responsibility were formulated in 2017 and incorporated in the credit rules. They clearly specify how corporate social responsibility should be evaluated, documented and taken into account in credit decisions.

Corporate social responsibility is an important element of risk assessments when new products and services are established. A new standard was implemented in 2017, which covers all products and services offered by

DNB. The standard clearly describes responsibility and ownership throughout the value chain, and specifies requirements for risk assessments, documentation and verifiability.

The prevention of money laundering and terror financing and helping ensure that Norway abides by international sanction rules are also part of DNB's corporate social responsibility. This involves setting up systems and the organisation to accommodate these efforts as well as basic skills enhancement programmes for all employees.

DNB has built up over NOK 100 billion in common equity Tier 1 capital since 2007. The DNB Group's common equity Tier 1 capital ratio increased by another 0.4 percentage points in 2017 and came to 16.4 per cent at the end of the year. The Norwegian authorities have stipulated a leverage ratio requirement of 6 per cent for DNB. DNB meets this requirement with a good margin and is one of the world's best capitalised banks. Our strong capital level means that we are well-positioned for the changes of the regulatory framework on capital adequacy, Basel III, which were published by the Basel Committee in December 2017.

Measured by economic capital, DNB's risk exposure was reduced further in 2017. This especially applies to credit risk exposure. Work on rebalancing the large corporate portfolio continued. Over the last two years, we have reduced our cyclical exposure to shipping and oil-related segments by NOK 100 billion. Most of DNB's exposures in the offshore service segment have been restructured and their funding and liquidity in coming years are assured. The other credit portfolios are still of high quality, with low levels of defaults and loan losses. Both the residential mortgage portfolio and the portfolio of loans to small and medium-sized businesses showed good growth in 2017, without any increase of the risk levels in these portfolios.

Efforts regarding non-financial risks, especially operational risk and compliance risk, were strengthened during the year. As an aid for managing operational risk, DNB has acquired an integrated risk management tool for "governance, risk and compliance". The first module in this tool was a new loss and event database which was implemented in 2017.

There is a high risk attached to data fraud in the form of digital attacks, digital vandalism and risk of confidential information going astray. The digital threat situation all around the world is increasingly serious. Measures have been established in order to strengthen the information security in DNB to meet the increasing threat situation.

DNB continues to work on automating and digitalising products and services to meet customers' needs and expectations. In 2017, DNB implemented a solution for digital pre-qualification letters for residential mortgages. Group Risk Management has expertise on both model development and the credit process and is involved in the work of digitalising loan processes. As the second line of defence and owner of several central processes in DNB, Group Risk Management will help ensure that digitalisation does not increase the risk of loss, and that DNB offers the best possible products and services to its customers.

A stronger implementation ability and faster internal processes are essential for developing new digital services and increasing DNB's innovative power.

Clear roles need to be defined to ensure that the high pace is maintained. Group Risk Management's staff aim to serve as good advisers for the line organisation by strengthening the existing risk culture and understanding of risk in the Group. This means providing a basis for ensuring that good risk assessments, early in the process, are integrated elements of strategic and business decisions. DNB aims

to increase its innovative power and implementation ability, but it is vital that this does not increase risk or undermine quality. Group Risk Management plays an important role in this connection, as does the strong risk culture in the first line of defence.

In my opinion, the DNB Group's risk and capital management report gives a good and accurate description of the risk situation and of the way risk is measured, managed and reported in DNB.



Ida Lerner
IDA LERNER, CHIEF RISK OFFICER

Legal structure and consolidation rules for capital adequacy requirements

The consolidated financial statements of DNB ASA (DNB) include DNB Bank ASA, DNB Asset Management Holding AS, DNB Livsforsikring AS and DNB Forsikring AS, all with underlying subsidiaries.

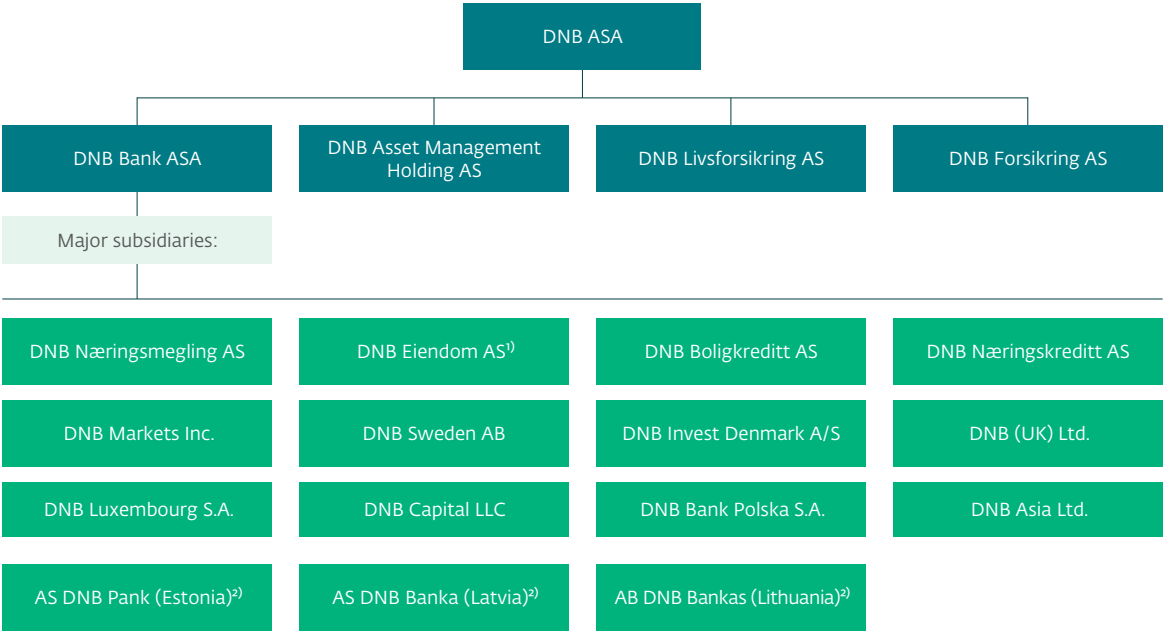
DNB prepares consolidated accounts in accordance with the IFRS. A description of the Group's accounting principles can be found in DNB's annual report. When the consolidated accounts are prepared, intra-group transactions and balances, as well as unrealised gains or losses on these transactions between group units are eliminated. Consolidation of capital adequacy is regulated by the Norwegian regulation on capital adequacy, Financial Enterprises Act and regulation on consolidation etc. in cross-sectoral groups and in the EU Capital Requirements Directives for banks and investment firms (CRD IV/CRR). In accordance with the aforementioned legislation and regulations, only companies in the financial sector and companies providing ancillary services will be included in consolidated capital adequacy.

Associated companies are proportionally consolidated (pro rata up to 50 per cent) based on DNB's ownership interests therein. Consolidation of capital adequacy will be based on the valuation principles used in the operating companies' financial statements. The valuation principles that form the basis for solvency calculations in the respective companies at the national level are applied to shareholdings in the foreign companies that are being consolidated.

INVESTMENTS IN ASSOCIATED COMPANIES
DNB Bank ASA has a 40 per cent ownership interest in Eksportfinans. The bank has also issued guarantees for other loans in Eksportfinans. The transactions with Eksportfinans have been carried out on ordinary market terms as if they had taken place between independent parties.

In the fourth quarter of 2017, DNB Baltics' operations (AS DNB Pank (Estonia), AS DNB Banka (Latvia), and AB DNB Bankas (Lithuania)) were combined with Nordea's operations in the same countries in a new company, Luminor Group AB. DNB's ownership interest in Luminor Group AB is approximately 44 per cent. The company was consolidated in the accounts using the equity method, effective as of 1 October 2017. DNB has a roughly 52 per cent ownership interest in Vipps AS. Due to certain provisions in the shareholders' agreement, Vipps is defined as an associated company. It is, however, fully consolidated for capital adequacy purposes.

Investments in associated companies are recognised in the accounts according to the equity method and are consolidated pro rata in the capital adequacy calculations. At the end of 2017, DNB's share of risk-weighted assets in Eksportfinans came to NOK 2.8 billion, while the share of risk-weighted assets in Luminor came to NOK 40.5 billion. Risk-weighted volume in Vipps was insignificant at the end of 2017.



¹) DNB Meglerservice was merged with DNB Eiendom AS in the fourth quarter of 2017.
²) On 25 August 2016, DNB and Nordea announced that they had entered into an agreement to combine their operations in Estonia, Latvia and Lithuania. The transaction was executed on 1 October 2017 with the founding of Luminor Group AB. DNB's roughly 44 per cent ownership interest in Luminor Group AB was consolidated by means of the equity method effective as of 1 October 2017. See note 37 to the annual accounts for further details.

1

Capital adequacy

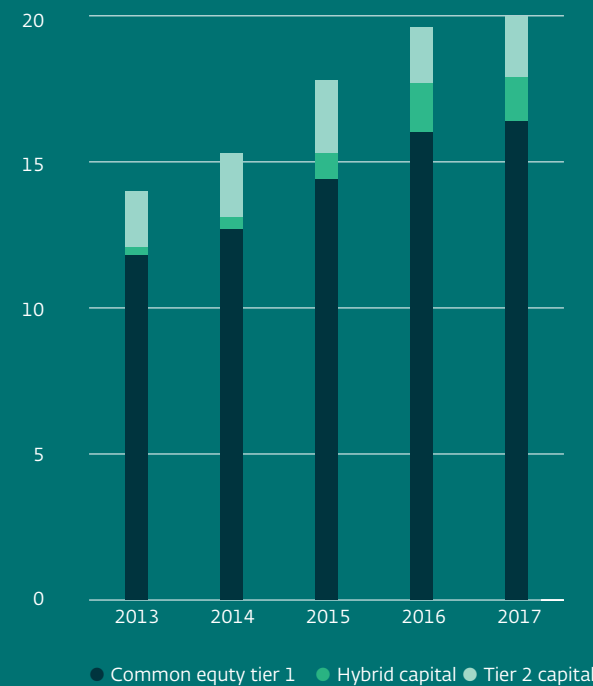
The DNB Group is very well-capitalised. At the end of 2017, the DNB Group's common equity Tier 1 (CET1) capital ratio was 16.4 per cent. The internal target, including a management buffer of approximately 1 percentage point was 16.1 per cent. The object of the management buffer is to cushion against fluctuations in risk-weighted assets and earnings to enable the Group to maintain normal growth in lending, and a predictable dividend policy.

Capital adequacy
Leverage ratio
Risk-weighted assets
Buffer requirements
Finalisation of Basel III

10
10
10
12
12

Capital adequacy ratio, DNB Group

Per cent



CET1 Capital ratio, DNB Group

Per cent

16.4 (16.0)

Capital adequacy ratio, DNB Group

Per cent

20.0 (19.5)

CET1 Capital ratio, DNB Bank Group

Per cent

16.2 (15.7)

Capital adequacy ratio, DNB Bank Group

Per cent

20.6 (20.0)

CAPITAL ADEQUACY

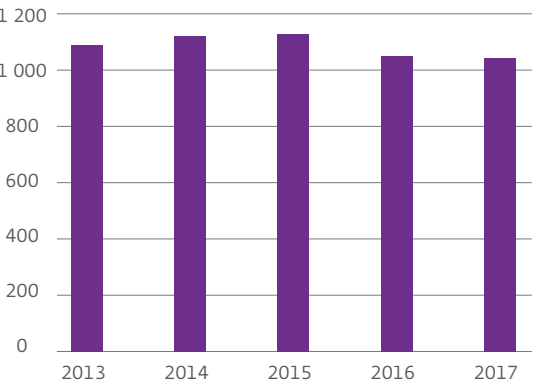
At year-end 2017, the total regulatory CET1 capital ratio requirement was 15.2 per cent. DNB's internal target was 16.1 per cent. The capitalisation targets are based on the prevailing basis of calculation at any given time. Norwegian banks are subject to a transitional rule for capital adequacy calculations which stipulates that total risk-weighted assets cannot be reduced to less than 80 per cent of the corresponding figure calculated according to the Basel I regulations. The Basel I floor for risk-weighted assets was in effect at the end of the year and reduced the CET1 capital ratio by 0.2 percentage points for the Group relative to calculations based on the Basel III rules at year-end 2017.

Common equity tier 1 for the DNB Group was 16.4 per cent and the capital adequacy ratio was 20.0 per cent at year-end, compared with 16.0 and 19.5 per cent, respectively, a year earlier.

The DNB Bank Group had a CET1 capital ratio of 16.2 per cent and a capital adequacy ratio of 20.6 per cent at year-end 2017, compared with 15.7 and 20.0 per cent,

Risk-weighted assets, DNB Group

NOK billion



respectively, a year earlier. DNB Bank ASA had a CET1 capital ratio of 17.7 per cent at year-end 2017, compared with 19.1 per cent a year earlier. The capital adequacy ratio was 23.0 per cent at year-end 2017, compared with 24.8 per cent in 2016.

At the end of 2017, DNB Boligkreditt AS had a CET1 capital ratio of 16.6 per cent and a capital adequacy ratio of 18.5 per cent, calculated according to the transitional rule for risk-weighted assets. If the transitional rule had not been applied, DNB Boligkreditt's CET1 capital ratio and capital adequacy ratio would have been 21.4 and 24.0 per cent, respectively.

DNB Livsforsikring AS had a solvency margin of 146 per cent at year-end 2017 calculated without applying the transitional rule, and 190 per cent when the transitional rule is applied. A year earlier, the corresponding pro forma ratios were 152 per cent without the use of the transitional rule and 211 when the transitional rule was applied. The required increase in reserves for increased life expectancy was completed by the end of the fourth quarter. For more information, see the chapter on DNB Livsforsikring AS.

LEVERAGE RATIO

As a supplement to the risk-weighted capital adequacy regime, the Basel Committee introduced a new capital measure, the leverage ratio or non-risk-based Tier 1 capital ratio.

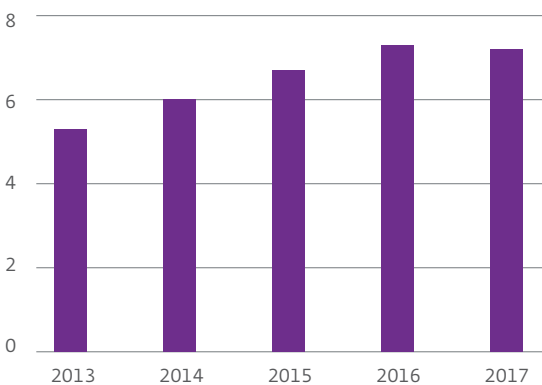
The basis of calculation consists of assets and off-balance sheet items converted by means of a conversion factors used in the standardised approach for calculating ordinary capital adequacy. In addition, some special adjustments are made for derivatives and repo transactions. Insurance operations are not included.

The Norwegian Ministry of Finance set a minimum requirement for the leverage ratio for financial institutions and investment firms in Norway, that entered into effect on 30 June 2017. The Norwegian leverage ratio requirement consists of a minimum requirement of 3 per cent that will apply to all financial institutions, a mandatory 2 per cent buffer for banks and an additional mandatory buffer of 1 per cent for systemically important banks. DNB is the only institution in Norway that will be required to have a leverage ratio of 6 per cent. In December 2017, the Basel Committee set a minimum requirement of 3 per cent that will apply as of 2022.

The DNB group calculates its leverage ratio in accordance with the revised article 429 of the CRR, and the European Commission Regulation, which entered into force on 18 January 2015. DNB meets the minimum requirement of 6 per cent by a wide margin. At year-end 2017, the Group's leverage ratio was 7.2 per cent, compared to 7.3 per cent a year earlier.

Leverage ratio, DNB Group

Per cent



RISK-WEIGHTED ASSETS

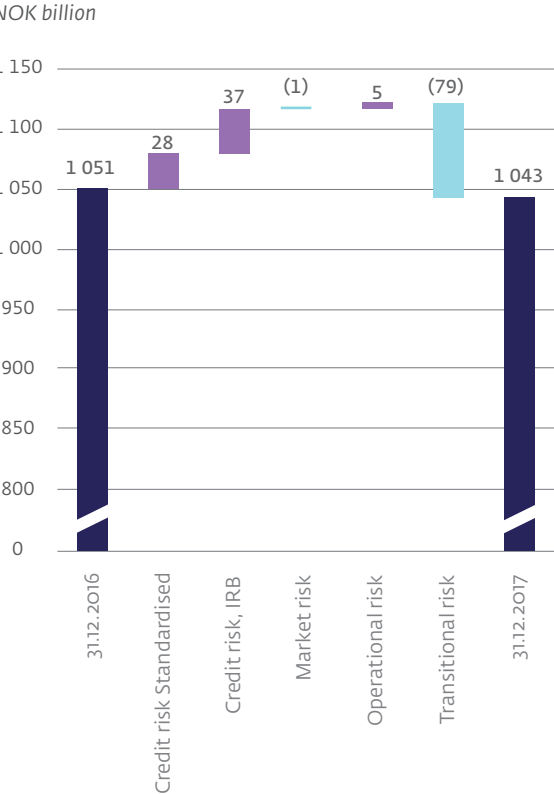
The DNB Group reports credit risk for most of its portfolio on the basis of the IRB approach, which means that internal models based on the bank's loss records for previous years are used to calculate capital requirements. The advanced IRB approach (AIRB) is used for the corporate portfolio, which means that internal models for probability of default (PD), loss given default (LGD), exposure at default (EAD) and maturity (M) are used both for governance purposes and in capital adequacy calculations.

DNB Bank ASA reports operational risk according to the standardised approach, while some subsidiaries use the basic indicator approach. Market risk is reported according to the standardised approach.

DNB Bank ASA reports operational risk according to the standardised approach, while some of the subsidiaries are reported using the basic indicator approach. Market risk is reported according to the standardised approach.

Risk-weighted assets were reduced by NOK 9 billion in 2017 and amounted to NOK 1 043 billion at the end of the year. The risk-weighted assets for credit risk increased by NOK 65 billion. In the standardised portfolio, the exposure on banks and companies that are not reported according to the IRB method increased. Risk-weighted assets for the credit portfolio that is reported according to the IRB method increased by NOK 37 billion even though the nominal exposure was reduced. The reason for this was that the models used for estimating the loss given default for large corporate customers (the LGD models) were revised upwards in 2017. The difference from the Basel I calculation shrank for the same reason. Supplementary risk-weighted assets, calculated in accordance with the transitional rule, decreased by NOK 79 billion compared with year-end 2016 and came to NOK 15 billion at year-end 2017.

Development in risk-weighted assets, DNB Group



For more information regarding the specification of risk-weighted vassets and capital requirements for the most important subsidiaries of the DNB Group, see attachment.

Specification of risk-weighted volume and capital requirements, DNB Group

NOK million	Nominal exposure 31 Dec. 2017	EAD ¹⁾ 31 Dec. 2017	Average risk weights in per cent 31 Dec. 2017	Risk-weighted volume 31 Dec. 2017	Capital requirements 31 Dec. 2017	Capital requirements 31 Dec. 2016
IRB apporach						
Corporate	964 724	790 118	56	439 960	35 197	32 619
Specialised lending (SL)	11 582	10 645	53	5 676	454	356
Retail - mortgage loans	748 668	748 668	22	165 245	13 220	12465
Retail - other exposures	99 660	85 663	25	21 812	1 745	1 901
Securitisation	9 613	9 613	81	7 827	626	937
Total credit risk, IRB approach	1 834 246	1 644 706	39	640 519	51 241	48 279
Standardised approach						
Central government	107 116	76 481	0	74	6	7
Institutions	266 642	122 434	31	37 361	2 989	1 989
Corporate	174 279	140 798	87	122 454	9 796	8 767
Retail - mortgage loans	58 925	56 340	49	27 588	2 207	1 805
Retail - other exposures	117 871	47 773	77	36 765	2 941	2 939
Equity positions	20 203	20 201	232	46 771	3 742	3 623
Securitisation						41
Other assets	13 760	13 760	52	7 098	568	848
Total credit risk, satandardised approach	758 796	477 787	58	278 110	22 249	20 018
Total credit risk	2 593 042	2 122 493	43	918 629	73 490	68 297
Market risk						
Position risk, debt instruments				13 997	1 120	1 169
Position risk, equity instruments				262	21	25
Currency risk				0	0	0
Commodity risk				23	2	6
Credit value adjustmets (CVA)				5 854	468	490
Total market risk				20 137	1 611	1 690
Operational risk				88 820	7 106	6 670
Net insurance after eliminations				0	0	0
Total risk-weighted volume and capital requirements before transitional rules				1 027 585	82 207	76 657
Additional capital requirements according to transitional rules ²⁾				15 016	1 120	7 463
Total risk-weighted volume and capital requirements				1 042 601	83 408	84 120

¹⁾ EAD, exposure at default.

²⁾ Due to transitional rules, the minimum capital adequacy requirements cannot be reduced below 80 per cent of the corresponding figure calculated according to the Basel I regulations.

BUFFER REQUIREMENTS

The combined buffer is a key element in the new capital adequacy regulations. The combined buffer is the sum of the capital conservation buffer, the systemic risk buffer, the buffer for systemically important financial institutions (SIFI) buffer and, if applicable, a counter-cyclical buffer. These buffer requirements must be met by CET1 capital. The same applies to the Pillar 2 requirement, which is 1.6 per cent for DNB. If the CET1 capital falls below the level required to meet the minimum requirement and combined buffer requirements, restrictions may be imposed on dividend and bonus payments and on repayment of hybrid capital.

The table to the right shows the compliance with the minimum and buffer requirements as at 31 December 2017. With respect to the 8 per cent minimum capital adequacy requirement, Tier 2 capital can represent up to 2 per cent while hybrid capital can represent up to 1.5 per cent. Both the banking group and the financial group meet the minimum requirement by using the maximum amount of hybrid capital and Tier 2 capital.

The combined buffer is the sum of the capital conservation buffer, the systemic risk buffer and the SIFI buffer, and amounts to a total of 7.5 per cent. The institution-specific countercyclical buffer requirement comes in addition to this and amounted to 1.6 percentage points for DNB. This requirement is set as a weighted average of the countercyclical buffers in the countries in which the bank operates. The countercyclical buffer requirement in Norway was raised from 1.5 to 2.0 per cent as of 31 December 2017. The total buffer requirement for DNB at year-end 2017 was 9.1 per cent.

The CET1 capital exceeded the total capital requirements of NOK 10.5 and 13.2 billion, respectively for the bank group and the financial group.

Total capital requirements, 31 December 2017

NOK million	Rate	DNB Bank Group	DNB Group
Risk-weighted assets		1 014 683	1 042 601
Minimum Common equity Tier 1 capital requirement	4.5 %	45 661	46 917
Minimum Tier 1 capital requirement	6.0 %	60 881	62 556
Minimum Total primary capital requirement	8.0 %	81 175	83 408
Allocation of capital to cover minimum capital requirements			
Common equity Tier 1 capital		45 661	46 917
Additional Tier 1 securities		15 220	15 639
Tier 2 capital		20 294	20 852
Common equity Tier 1 buffer requirements			
Capital conservation buffer	2.5 %	25 367	26 065
Systemic risk buffer	3.0 %	30 441	31 278
Buffer for other systemically important institutions (O-SII)	2.0 %	20 294	20 852
Counter-cyclical buffer	1.6 %	15 918	16 356
Combined buffer requirement	9.1 %	92 020	94 551
Common equity Tier 1 capital vs combined capital requirements			
Common equity Tier 1 capital		164 431	171 339
Minimum capital requirement		(45 661)	(46 917)
Pillar 2 capital requirement	1.6 %	(16 235)	(16 682)
Buffer capital requirements		(92 020)	(94 551)
Surplus of Common equity Tier 1 Capital		10 516	13 189

FINALISATION OF BASEL III

Under the Basel II standards, as of 2007 banks were permitted to use their own models to calculate risk weights (the IRB method). To prevent calculated risk weights from being too low due to use of these models, a transitional rule was introduced in the form of a minimum value for aggregate risk-weighted assets. The value could not be less than 80 per cent of what it would have been under the Basel I rules. This is the so-called Basel I floor. Norway is the only country that has decided to keep the Basel I floor. Among other things, this practise means that Norwegian banks appear weaker capitalised in international comparisons than they would have been if the EU's rules had been applied.

Basel III entails extensive changes of the capital adequacy rules and was initiated as a result of the financial crisis in 2008. A new capital floor will be introduced to reduce differences in risk-weightings and increased harmonisation of capital requirements across countries. The EU is expected to follow the recommendations by changing legislation (CRR and CRD IV). Though the EEA Agreement, this legislation will also apply in Norway. The Ministry of Finance has instructed Finanstilsynet (The Financial Supervisory Authority of Norway) to come up with a proposal for implementing the remaining portions of CRR and CRD IV in Norway. In this connection, Finanstilsynet will also consider a new capital floor based on the Basel Committee's new proposed standard approaches. The new floor requirement will probably replace the Basel I floor but it is not certain how it will be formulated and harmonised with the EU rules. Finanstilsynet has been given a deadline of mid-April 2018 to deliver its recommendations.

EFFECTS OF BASEL III ON THE DNB BANK GROUP'S RISK-WEIGHTED ASSETS

The Basel Committee published the last stage of Basel III on 7 December 2017. The most important changes are listed below. The implementation date has been set to 1 January 2022.

- New standardised approaches for credit risk and operational risk.
- Constraints on the use of internal methods (IRB) to calculate capital requirements. Under the new rules, the foundation IRB approach must be used for exposures on customer groups with total consolidated revenues exceeding EUR 500. This change will increase the calculated LGD.
- Fixed minimum levels for central parameters, such as PD, in internal models for calculating credit risk.
- The scaling factor of 1.06 which is used in the IRB method will be removed. In isolation, this will reduce the capital requirement for the IRB portfolios by 5,7 per cent.
- Minimum leverage ratio of 3 per cent. Global systemically important banks (G-SIBs) will be required to have an additional leverage ratio buffer that equals 50 per cent their risk-based capital buffer.
- The minimum level (floor) for total risk-weighted assets will be 72.5 per cent of the risk-weighted assets calculated according to the new standardised approaches. The floor will be phased in over five years, starting with 50 per cent in 2022.
- Implementation of the revised market risk capital framework, «Fundamental Review of the Trading Book» (FRTB) will be pushed back to 1 January 2022.

The main outcome for DNB will be a marginal increase of RWA amounting to roughly NOK 25 billion, or 2.5 per cent as a result of the new rules. This includes the effect of FRTB on market risk. Assuming that the bank uses the revised standard approach for counterparty risk (SA-CCR), this will increase RWA by NOK 15 billion. If DNB's internal model for calculating counterparty risk (IMM) is approved, the increase will be reduced

by around NOK 13 billion. Calculated by means of the new standard approaches, the floor will be NOK 1 002 billion as per 31 December 2017. This floor is unlikely to apply for DNB.

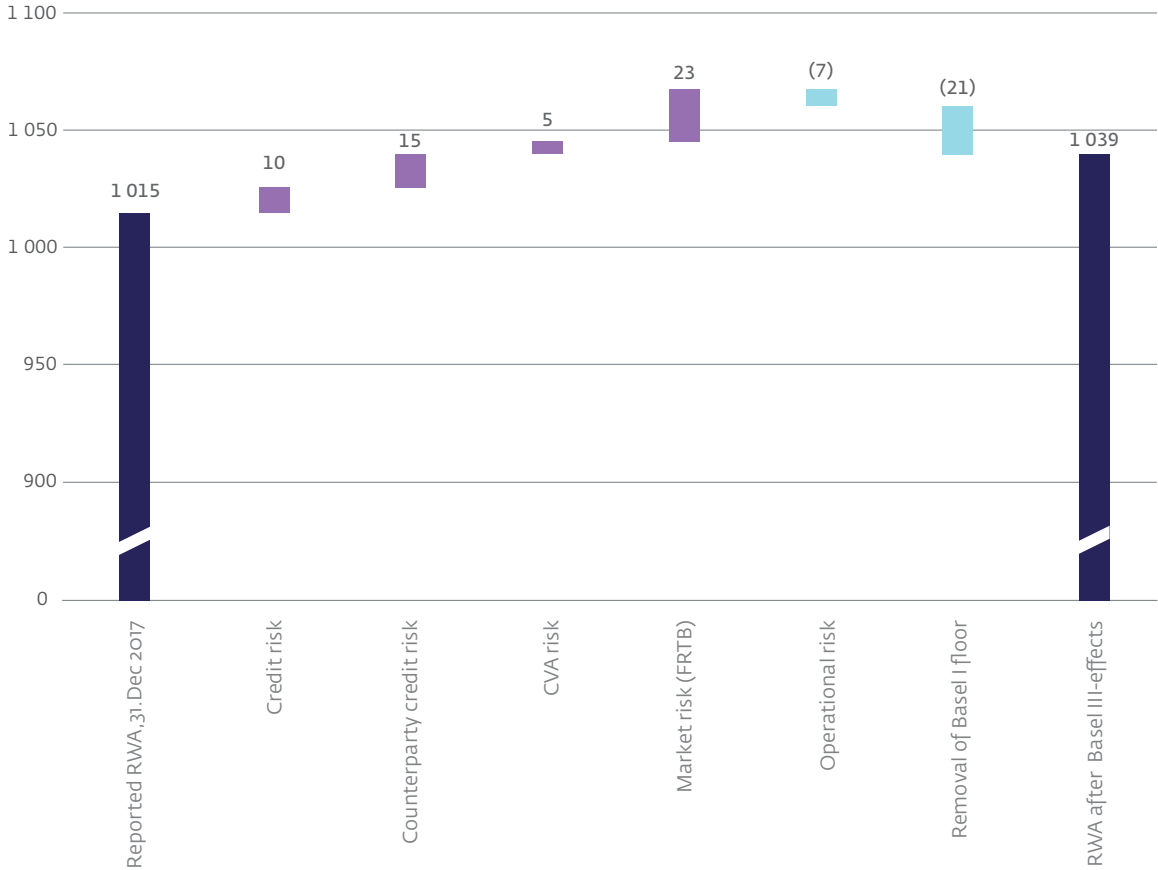
Risk-weighted assets for credit risk will increase by a total of NOK 10 billion. The transition from the advanced to the fundamental IRB approach for companies in corporate groups whose aggregate revenues exceed EUR 500 million will increase RWA by NOK 30 billion. The minimum levels for key parameters in the IRB measurement and other changes of the rules for credit risk contribute to the increase. This will be offset by the removal of the scaling factor of 1.06. This effect reduces RWA by around NOK 34 billion.

Calculated RWA for operational risk will decline by almost NOK 7 billion to NOK 83 billion. There are two steps in the new calculation method for operational risk. First, a level primarily based on revenues is calculated. This figure is then revised upwards or downwards based on the bank's own historical operating loss data. The Basel Committee will allow national authorities to disregard the adjustment for own losses. In DNB's case, based on its historical loss data, RWA for operational risk would be reduced by 14 per cent or roughly NOK 13 billion.

The combination of a long time until implementation (2022) and a long phase-in period means that, on the short and medium term, the regulations will not even out differences between Norwegian regulations and foreign banks.

Effects of changes in the Basel III regulation, DNB Bank Group, 31 December 2017

NOK billion



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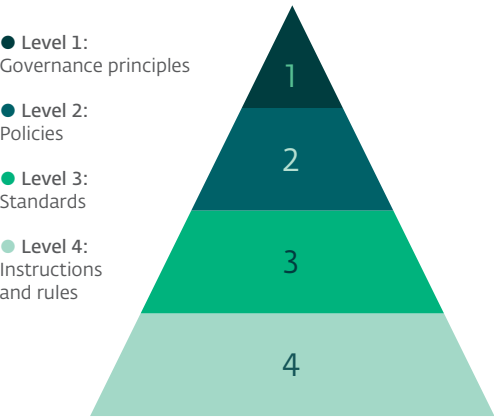
Risk management and control in DNB

The ability to identify and manage risk is the core of financial activity and a prerequisite for long-term value generation in DNB. Risk management is a strategic tool for helping the Group achieve its goals. The primary aim of risk management in DNB is to optimise the risk-earnings ratio on the long-term.

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CORPORATE GOVERNANCE AND GOVERNING DOCUMENTS

Corporate governance provides the framework for business operations and should help the Group realise strategies and attain targets. Corporate governance provides the framework for management and control processes and structures in the Group and set standards for the conduct of the Board of Directors, management and employees. DNB has a four-level corporate governance hierarchy.



The governance principles represent the highest governance level in the Group. These principles provide the main framework for all governance of operations. They can be defined by legal requirements or include areas that are of special importance to the Group. They define the desired culture, behaviour and distribution of responsibility on the group level.

DNB's governance principles include:

- Purpose and values
- Governance model and authorisation structure
- Instructions for the Board of Directors and management
- Principles for ethics (Code of Conduct)

- Principles for corporate responsibility
- Principles for risk appetite
- The company's Articles of association

Policies are on the next corporate governance level. The policies specify the principles for carrying out business activities within the Group's key areas of operation. The policies clearly describe the objective, scope, principles, roles and responsibilities within each individual area. They form the basis for ensuring that behaviour at lower levels of the organisation is consistent with the governance principles. The Board of Directors has approved eight policies for the DNB Group. Two of these concern risk management: the policy for risk management and the policy for compliance.

The group executive vice president for Risk Management owns the policy for risk management, which defines the principles for managing risk. The principles are discussed in more depth in several underlying standards which specify more detailed guidelines for risk management. Standards have been established for capitalisation, credit risk, market risk and operational risk, among others.

The group executive vice president for Compliance owns the policy for compliance, which defines the principles for compliance with prevailing rules and legislation. The principles are discussed in more detail in the standards for anti-money laundering, protection of personal privacy, conflicts of interest and compliance with competition law, among others.

The lowest level in the governance document hierarchy consists of instructions and rules. The credit manual, the personnel manual and the accounting manual are examples of documents at this level.

MANAGEMENT AND MEASUREMENT

The Group's risk appetite framework is decided by the Board of Directors and is reviewed and renewed at least once a year. The approved targets and limits are reflected in other elements of risk management such as limits on authorisations and business activity. The Board of Directors uses the framework as a basis for establishing DNB's long-term risk profile. It is thus an important tool that is instrumental in the operationalisation of comprehensive risk management. Risk is also explicitly included as an element of the Group's management and reward systems, in the form of risk indicators that underpin the limits stipulated in the risk appetite framework, as well as other overarching limits and strategies. The risk appetite framework is described in more detail later in this chapter.

The Group's internal capital adequacy assessment process (ICAAP) is integrated with the governance processes by means of the risk appetite framework and general monitoring of risk trends. The ICAAP is described in more detail in a separate chapter.

Credit approval authorisations and position and trading limits are required in all key financial areas. The authorisations and overarching limits are decided by the Boards of Directors of DNB ASA and DNB Bank ASA and are delegated in the organisation. All further delegation of limits and authorisations must be approved and followed-up by the delegator's immediate superior. All authorisations in DNB are personal. Authorisations are granted on the basis of assessments of the relevant individual's expertise and experience, and the need from a business perspective. Information about the conditions attached to, and limits of, the powers entailed by authorisations is provided when the authorisation is conferred. For more information about authorisations on credit-approval, liquidity and market risk, see the chapters describing the individual risk areas.

ROLES AND RESPONSIBILITIES

Risk management in DNB is based on a model involving three lines of defence. The governing bodies and lines of defence in the DNB Group are illustrated in the figure on the next page.

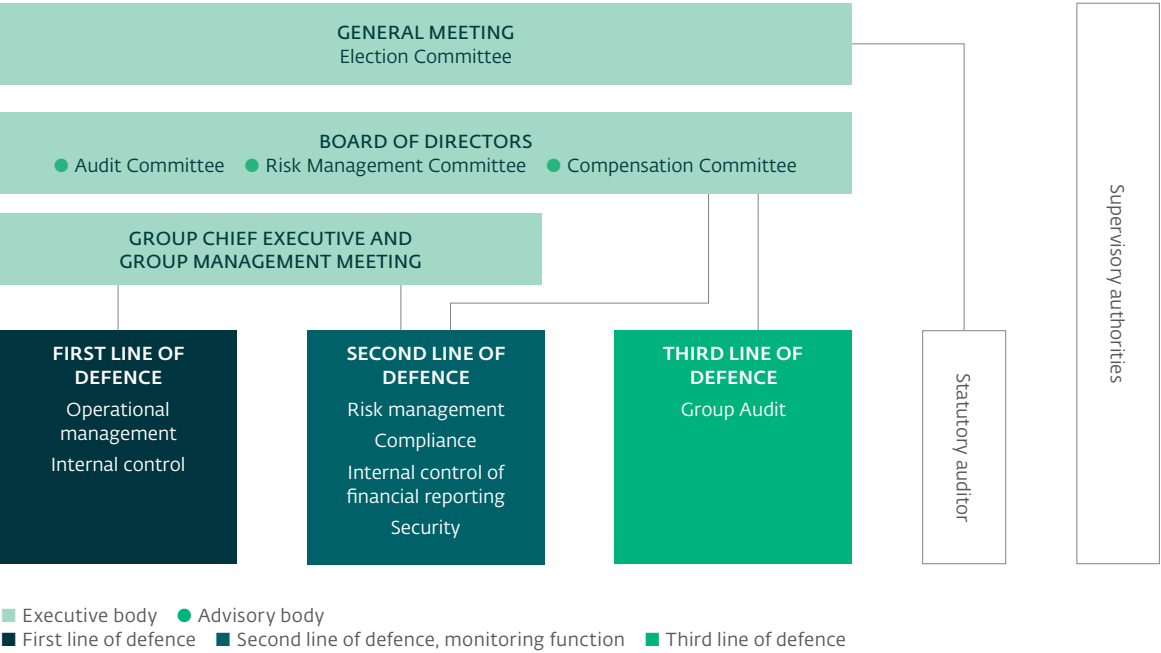
Risk management and internal control are handled by three lines of defence:

- **The first line of defence** is the operations management's governance and internal control, including processes and activities to reach defined goals relating to operational efficiency, reliable financial reporting and compliance with rules and legislation. The operations management is responsible for all risk attached to the unit's activities and processes.
- **The second line of defence** is an independent function which monitors and follows up the operational management's governance and internal control. The second line of defence sets the premises for risk management, coordination across organisational units and risk reporting.
- **The third line of defence** is Group Audit, which reviews and evaluates group management's overall governance. Group Audit is independent of the Group's executive management and reports to the Board of Directors of DNB ASA.

Risk management functions in DNB

Autonomy is crucial for the second line of defence and means that internal control functions and tasks must be kept separate from the first line. The primary duties of personnel in DNB's second line of defence are reporting, monitoring and giving advice.

Most of the Group's second-line defence functions are gathered in the organisational units Group Risk Management and Compliance. Group Risk Management is headed by a group executive vice president, who is also the Chief Risk Officer (CRO) and reports directly



to the group chief executive and, if necessary, directly to the Board. The CRO cannot be hired or dismissed without the Board's consent.

At the end of 2017, Compliance was established as a separate staff area which reports directly to the group chief executive. Until April 2018, the group executive vice president for Risk Management will also be acting group executive vice president for Compliance. During the same period, the head of the Compliance/AML division will perform the role of Group Chief Compliance Officer (GCCO). The GCCO is an independent officer who reports directly to both the group chief executive and the Board of Directors. The GCCO cannot be hired or dismissed without the Board's consent. The Board of Directors appoints the Group AML Officer. In DNB,

the GCCO is also the Group AML Officer and has full, overarching responsibility for the Group's compliance with external anti-money laundering legislation and sanctions regulations. The group executive vice president for Group Finance is also the Chief Financial Officer (CFO) and is responsible for elements of the second line of defence, including internal control of financial reporting.

The Group's support area for IT is responsible for issues related to data governance, digital attacks and security. As of 2018, the Group's newly hired Chief Data Officer (CDO) will assume responsibility for data governance.

Each business and support area is required to have a Local Operational Risk Officer (LORO) and a Local

Head of Compliance (LHC). Both LORO and LHC are part of the second line of defence, and are managed from and reports to Group Risk Management and Compliance, respectively.

The LORO's duties include registering and following up operational risk events, including that the first line of defence establishes risk mitigation measures. The LORO also participates in the preparation of the annual status reports on management and monitoring of operational risk. The LHC shall ensure that the first line of defence has satisfactory management and control of compliance risk. LHC shall provide advice and guidance to the first line of defence, as well as monitoring and reporting status of compliance work.

The figure on the next page shows how risk management in DNB is organised and where the various functions are located in DNB's risk management system.

Several advisory bodies have been established to help group executive vice presidents by preparing decision-making documents in addition to monitoring and control of various specialist areas:

- **The Asset and Liability Committee (ALCO)** is an advisory body for the chief financial officer in the DNB Group for matters relating to the management of capital expenditure and the distribution of capital, as well as market and financing risk. In a risk-management context, the committee is an arena for sharing information and coordinating between the various units that handle the operative management of market and financing risk and Group Risk Management who sets the premises for the Group's risk-taking.
- **Three central advisory credit committees.** The Group Advisory Credit Committee, the Advisory Credit Committee for Large Corporates and International, and the Advisory Credit Committee for Corporate Banking are advisory bodies for

decision-makers in the business areas and in Group Credit Management. The committees endorse credit proposals by means of personal authorisations after discussing the proposals in question. The Group Advisory Credit Committee considers credit proposals for selected borrowers that are customers of more than one business area and advises the group chief executive and the Board of Directors when they consider large individual credit proposals. The Group Advisory Credit Committee plays a key role in formulating the Group's credit policy and group standards for corporate social responsibility in connection with credit activity, and in the follow-up of credit strategies, rules for credit approval and portfolio risk management. The Advisory Credit Committees for Large Corporates and International, and for Corporate Banking consider credit proposals that are within the scope of their decision-making authority for the respective business areas. The committees are also important consultative bodies for credit-related issues such as credit models, validation, risk reporting as well as business and credit strategies. The credit advisory committees are chaired by the Group Chief Credit Officer.

- **Advisory Group Operational Risk (AGOR)** is an advisory committee for the Group's CRO and helps develop the Group's operational risk management solutions to ensure effective and consistent monitoring and reporting throughout the Group. One of the committee's important tasks is to ensure that the Group's instructions for internal control and quality assurance are formulated in a manner that leads to value creation in connection with operations.
- **Forum for Anti-Money Laundering and International Sanctions** is an advisory body for the GCCO which provides advice and guidance on DNB's compliance with international sanctions and the Group's anti-money laundering and counter-terrorism financing efforts.
- **The Ethical Investment Committee** manages and follows up approved guidelines for ethical

investments, gathers information about companies and ensures that cases are adequately examined before the committee recommends the possible exclusion of companies. The committee makes recommendations to the heads of DNB Asset Management Holding AS, Group Investments and DNB Livsforsikring ASA, who act as decision-makers for their respective units. The committee is headed by the head of the division for Corporate Responsibility and Public Affairs in the support area Media and Marketing.

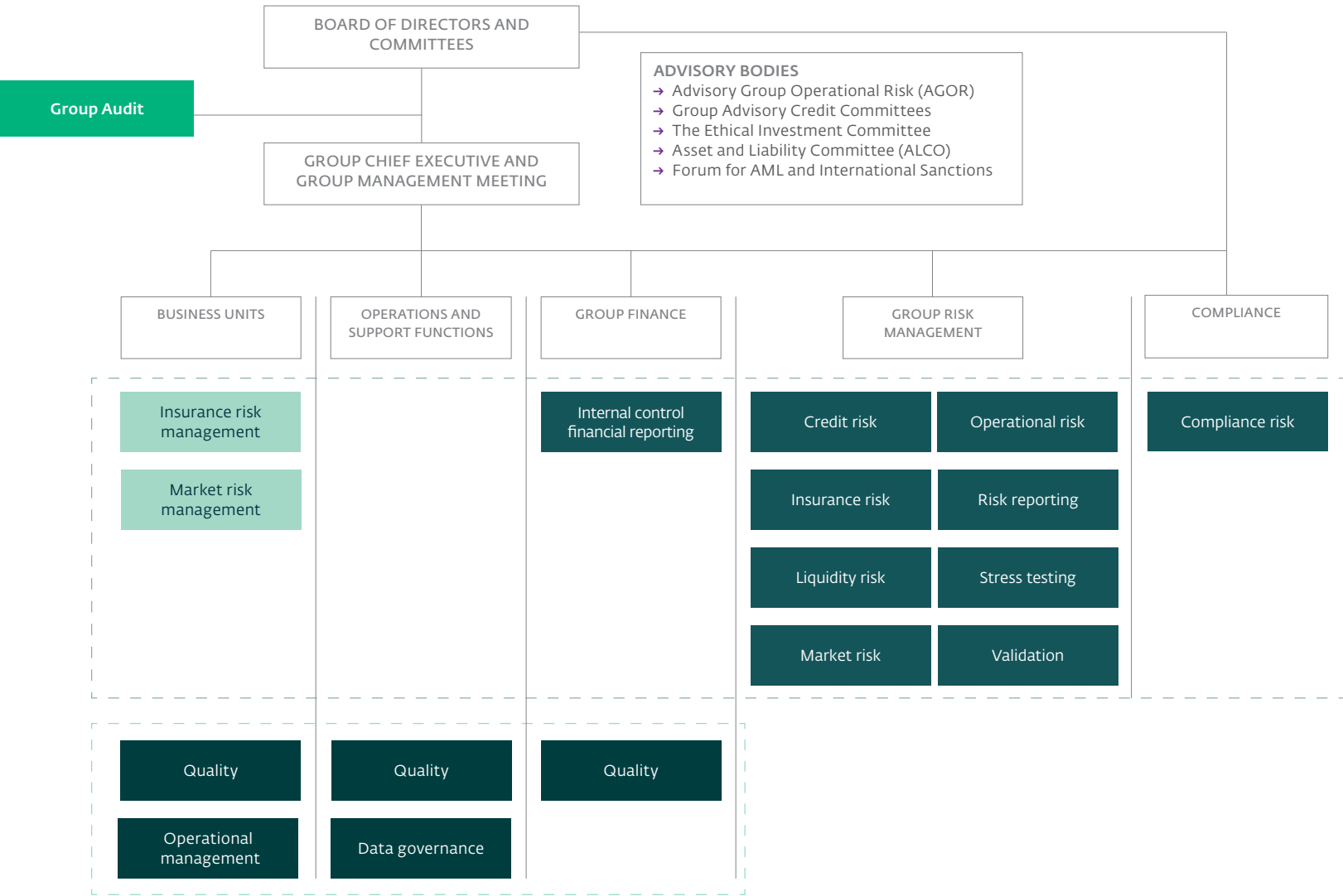
Group chief executive and the group management team

The group chief executive is responsible for implementing risk management measures that contribute to the achievement of targets the Board of Directors of DNB ASA sets for operations, including effective management systems and internal control. The group management meeting is the group chief executive's collegiate body for management at the group level. Major decisions concerning risk and capital management are generally made in consultation with the group management team. The group executive vice presidents for the business, support and staff areas take part in the group management meeting.

The Boards of Directors

The Board of Directors of DNB ASA is the supreme governing body for the Group's business operations and is responsible for ensuring satisfactory oversight of operations, financial reporting and asset management.

The Board of Directors approves DNB's risk appetite framework. The framework provides a comprehensive, balanced overview of the risk the Group is willing to accept to attain its objectives. The risk appetite determines the outer boundaries for work on strategies and financial planning. Measurement against the risk appetite provides an overall summary of the risk situation in the DNB Group. The Board of Directors uses the



● Third line of defence ● Local control unit ● Second line of defence ● First line of defence

framework to set DNB's long-term risk profile. It is thus an important tool for helping to ensure comprehensive risk management and operationalisation of same.

The Board of Directors of DNB is responsible for ensuring that the Group is adequately capitalised relative to the risk and scope of operations, and that capital requirements stipulated in laws and regulations are met. The Board of Directors continually monitors the Group's capital situation. This is discussed in more detail in the chapter on capital management and ICAAP.

Each year, the Board of Directors of DNB ASA reviews the group chief executive's report on the status of risk management and control, which includes assessments of the principal risk areas in the Group. The review documents the quality of the internal control and risk management efforts and identifies any weaknesses and needs for improvement. The Boards of Directors of DNB Bank ASA, DNB Livsforsikring AS and other major subsidiaries do equivalent annual assessments of the companies' internal control and key risk areas.

The Board of Directors' Risk Management Committee oversees the Group's internal control and risk management systems, as well as internal audits, to make sure that they function effectively. The committee considers changes of systems and procedures that are presented to the Board of Directors for approval. In addition, the committee advises the Board on matters concerning the Group's risk profile, including the Group's current and future risk appetite and strategies. Advice to the Board of Directors can be about strategies for capital and liquidity management, credit risk, market risk, operational risk, risk related to compliance and reputation, as well as other risks in the Group. The committee prepares the basis for the Board's monitoring of risk management, which includes reviewing and assessing the administration's risk reporting. The review especially focuses on the Group' capitalisation (ICAAP), significant changes of the models for

calculating economic capital and risk-adjusted returns and monitoring of risk limits and risk strategies. The Committee consists of four members who are elected by the Board of Directors for two years at a time. In addition to the Risk Management Committee's work, which is shown in the table, the status report for risk management and control, and renewal of the Group Policy for Risk Management were considered by the Boards of Directors of DNB ASA and DNB Bank ASA in 2017.

The Audit Committee evaluates the quality of the work performed by Group Audit and the statutory auditors and shall ensure that the Group has independent and effective external and internal audit procedures, as well as satisfactory financial reporting that is in conformity with laws and regulations. The Audit Committee considers the choice of the statutory auditor for the Group and the statutory auditor's remuneration and submits a recommendation. The committee evaluates and monitors the impartiality of the auditor. The committee also supervises the financial reporting process, has regular contact with the external and internal auditors regarding audits of financial statements, and reviews the statutory audit of the annual accounts and consolidated accounts. The committee prepares the basis for the Board's review of the financial reporting process, and also examines and assesses the Group's financial reports. The committee consists of four members, of whom at least one must be independent and have qualifications within accounting and/or auditing.

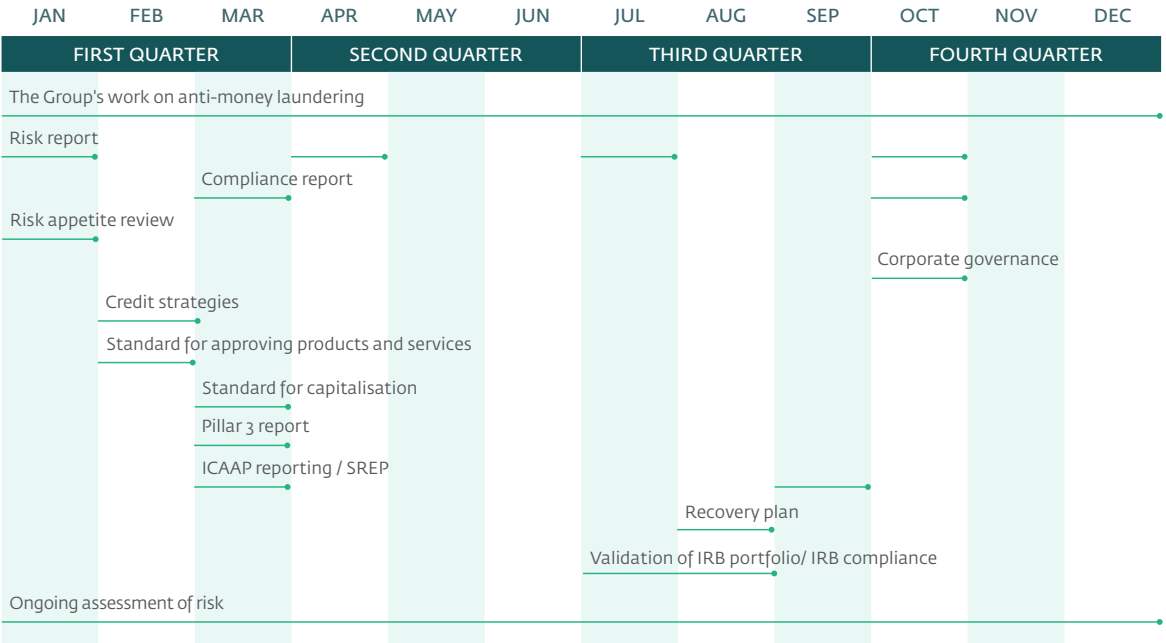
The Compensation Committee makes recommendations on the Board of Directors' guidelines for remuneration to senior executives in accordance with Section 6-16a in the Public Limited Companies Act. The committee draws up proposals and issues recommendations to the Board of Directors regarding the remuneration awarded to the group chief executive in addition to advising the group chief executive on remuneration and other important

personnel-related matters concerning members of the group management team and any others who report to the group chief executive. The Compensation Committee has special responsibility for evaluating the remuneration system in the Group and ensuring that it is consistent with the management of the Group, including the risk appetite.

FOLLOW-UP
The Group's risk situation, including the status of all risk measurements specified in the risk appetite framework, must be reported to group management at least once a month and to the Board of Directors at least once per quarter.

Group Risk Management has the primary responsibility for risk reporting in DNB. This applies to both internal risk monitoring and risk reporting to the market and authorities. All levels in the organisation shall have access to relevant, necessary risk data. Examining targets, limits and strategies is part of the internal risk-reporting process. All employees in DNB have an obligation to report and deal with major risk events or deviations. Operational events and compliance breaches are to be registered in a loss and event database. The status is reported to the group management team and the Board of Directors through the risk appetite framework. Measures for handling all serious risk events and compliance breaches must be registered. For more information, please see the chapters on operational risk and compliance risk.

The Risk Management Committee's work in 2017



Risk reports to the Boards of Directors in DNB		
Frequency	Management body	Report
Monthly	Risk Management Committee, Board of Directors DNB ASA, Board of Directors DNB Bank ASA	Relevant issues concerning compliance and operation risk The Board is kept informed of implemented compliance and operational risk measures. In addition, events that needs immediate actions are discussed.
	Risk Management Committee, Board of Directors DNB ASA, Board of Directors DNB Bank ASA	The DNB Group's risk report The report includes a broad review of the risk situation and changes of risk in the last quarter, with analyses and comments. The important element is the risk level measured against the risk appetite framework, the status of indicators specified in the recovery plan and monitoring the utilisation of limits set by the boards of DNB ASA, DNB Bank ASA and DNB Livsforsikring AS.
Quarterly	The Boards of Directors of subsidiaries in DNB	The subsidiaries' risk reports Risk reports are prepared for all subsidiaries in DNB. The reports include a thorough review of the risk picture in the company and developments since the preceding quarter, with emphasis on key risks. In the companies that have established their own risk appetite framework, follow-up of this is a central element of the risk reports.
	Risk Management Committee, Board of Directors DNB ASA, Board of Directors DNB Bank ASA	Compliance report The report provides a review of the Group's overall compliance risk and the measures necessary to reduce it. In 2017, the frequency of the reports from the group chief compliance officer (GCCO) to the group chief executive and the Boards of Directors was increased from annually to semi-annually.
Annually	Risk Management Committee, Board of Directors DNB ASA, Board of Directors DNB Bank ASA	The ICAAP report (Internal Capital Adequacy Assessment Process) The ICAAP report contains a detailed description of the DNB Group's process for self-assessments of risk and the capital situation, as well as analyses and an evaluation of the status at year-end. Separate assessments and ICAAP reports for major subsidiaries are included in the group report. The DNB Group's process for self-assessment of the liquidity situation, ILAAP (Internal Liquidity Adequacy Assessment Process) , is an integral element of the ICAAP report. Group Audit examines the ICAAP process in DNB, and a report containing the auditor's conclusions is considered in the same board meeting as the self-assessment.
	Risk Management Committee, Board of Directors DNB ASA, Board of Directors DNB Bank ASA	Recovery plan for the Group The recovery plan, which is part of the crisis management regime for banks, is an integrated part of the DNB group's risk and capital management. Descriptions of various identified measures that could improve the Group's common equity Tier I capital ratio and liquidity situation in the event of a crisis, are an important element of the recovery plan. The plan is updated yearly. The status of defined "crisis indicators" is reported to the Board of Directors quarterly and to group management monthly. The plan is updated yearly. The status of defined recovery indicators is reported to the Board quarterly and to group management monthly.
	Risk Management Committee, Board of Directors DNB ASA, Board of Directors DNB Bank ASA	Validation report and IRB compliance report Validation, i.e. verification, is a key element of quality assurance in the IRB system. The independent unit responsible for validation examines the precision of all internal models used in the calculation of capital requirements at least once a year. The results are presented to the Board of Directors in the validation report. Group Audit prepares an annual IRB compliance report showing compliance with IRB requirements. The report is considered by the board of the bank at the same time as the validation report.
	Risk Management Committee, Board of Directors DNB ASA, Board of Directors DNB Bank ASA	Status report on the management and control of operational risk The report summarises the results of the internal control process carried out in all business and support areas and consists of a self-assessment of the quality of management and operations and assessments of significant identified risks across the Group, together with proposed measures for reducing the risk.

During the financial crisis, the authorities found that the banks did not have an adequate overview of their total risk exposure. In January 2013, the Basel Committee consequently published the Principles for effective risk data aggregation and risk reporting (BCBS 239). The principles set the standards for management, infrastructure, quality and control in connection with risk data aggregation and risk reporting. DNB has started up a project to ensure compliance with the principles. The project is owned by the CRO, who has the paramount responsibility for the bank's risk reporting, but has important interfaces with other reporting milieus and the data governance function.

VERIFICATION

The status of the management and control of operational risk must be reviewed and reported at least once a year. The reports include a self-assessment based on Finanstilsynet's model for operational risk and risk assessment, which involves carrying out a set process to identify the most important risks in the business/ support area. At the same time, measures to reduce the risk level are prepared. A report, based on the areas' assessments, is prepared for the Board of Directors. The Board of Directors decides on measures to reduce the most important risks on the Group level.

Validation is a central element of assuring the quality of DNB's internal measurement methods for calculating capital requirements. The validation results provide a basis for considering whether the classification and quantification of the Group's credit risk are satisfactory. The results of the validation process are presented to the Board of Directors at least once a year. The validation process is described in more detail in the section on validation results for the bank's IRB models in the chapter on credit risk.

As the third line of defence, Group Audit is responsible for verifying and thereby helping the Board of Directors ensure that the quality of all important aspects of the

Risk types and associated dimensions in the risk appetite framework

Risk type	Dimensions
Profitability and earnings	→ Probability of breaching the minimum capital target → Risk-adjusted profit
Capital adequacy	→ Common equity Tier 1 capital adequacy → Current level of Solvency II position with and without transitional rules
Market risk	→ Market risk in per cent of total economic capital → Regulatory capital for market risk
Credit risk	→ Concentration risk, industries and large customers → Expected loss → Annual credit growth, total credit portfolio and business units
Liquidity risk	→ LCR in accordance with minimum requirements → NSFR in accordance with step-up plan → Deposits to loans
Operational risk	→ Operational losses and significant operational events → Quality in registered client details → Stability in IT operations
Reputation risk	→ Assessment of the Group's reputation risk, based on potential events and associated consequences
Anti-money laundering	→ Progress of all activities defined, and an assessment of the Group's AML-compliance

Group's risk management is satisfactory. Independent, effective audits shall contribute to ensuring satisfactory internal control and corporate governance, as well as reliable financial reporting. Group Audit receives its instructions from the Board of Directors of DNB ASA, which also approves Group Audit's annual plans and budgets. Group Audit is responsible for ensuring the establishment and performance of adequate, effective risk management and internal control. In addition, Group Audit shall consider whether risk identification and established management processes and internal control measures effectively improve the Group's ability to attain its targets.

RISK APPETITE

The risk appetite framework is defined as an element of the strategic governance of the Group and consists of the basic principles and overarching limits for risk management in the Group.

The Group's risk appetite framework includes a set of explicit statements about the different risk types and dimensions that are deemed particularly significant for DNB. Each statement specifies limits and/or evaluation principles which define the levels of acceptable risk. The limits are points of reference against which the Group's strategic and financial plans should be evaluated. Renewal of the risk appetite framework is done separately from the strategic and financial planning process.

All the statements in the risk appetite framework must be implemented throughout the organisation, usually by means of more precise risk tolerances for each type of risk. Operationalisation through the governance system, including links to individual remuneration, is important for making the risk appetite an effective management tool.

Measuring risks against the stipulated risk appetite limits provides an overview of the risk situation in the DNB Group. The risk appetite framework contains 17 risk dimensions, across different risk types and business areas. The table to the left gives an overview of the framework and associated dimensions for 2017.

Risk indicators have been established on lower organisational levels to underpin the limits in the risk appetite framework. The risk indicators can be in the form of limits for quantifiable risk or qualitative assessments of the risk level. They do not need to be based on the same measurement parameters as the ones used at the group level, but it must be possible to link them to the same risk types and measure the same trends. The procedures for monitoring risk indicators are tailored to the individual business areas and are meant to ensure that risk is kept within the level stipulated in the risk appetite framework.

MEASUREMENT AND MONITORING

Constant monitoring of risk appetite limits ensures that the risks which are considered to be the most significant are followed up and discussed in operative units in the organisation.

All deviations from stipulated risk appetite limits are followed up. Monthly reports enable management to implement measures to reverse a negative trend before the defined risk appetite level has been exceeded. A yellow traffic light triggers a formal process with clearly defined areas of responsibility. Group management decides whether remedial measures should be

Risk appetite governance principles

As part of the risk appetite framework, four governance principles have been defined that set out the procedures and responsibilities within the DNB Group.

- Ownership: The risk appetite framework is owned by the Board of Directors. All changes to the framework and the governance principles must be approved by the Board of Directors.
- Accountability and responsibility: Each risk appetite statement is owned by a designated individual, who is responsible for monitoring risk and preparing action plans if defined risk levels are exceeded. The statement owner is also responsible for evaluating whether the measurement picks up on changes of risk well enough.
- Annual review: The risk appetite framework must be reviewed at least once a year. This review must be independent of the strategic and financial planning process.
- Reporting: Group management receives monthly reports on risk levels in the DNB Group in the form of a "traffic light assessment". The Board of Directors receives quarterly status reports with comments and analyses.

implemented. A red traffic light means that a limit has been exceeded. This must be reported to the Board of Directors in the first subsequent board meeting. An action plan for reducing the risk in question must be presented at the same time.

RESOLUTION AND RECOVERY PLAN

The DNB Group has formulated recovery plans based on the recommendation from the European Banking Authority since 2013. The preparation of such a plan is required according to the EU’s Bank Recovery and Resolution Directive, BRRD, which came into force in the EU as of 1 January 2015.

The recovery plan is prepared as an integrated part of the Group’s risk and capital management framework and will be activated if pre-defined recovery indicators are breached. Recovery indicator breaches will trigger a thorough assessment of the situation and measures may be implemented. If recovery is not feasible, the Group will enter the resolution phase. The authorities will then be responsible for developing a resolution plan for this phase. DNB has also submitted a resolution plan , Living Will, to the US authorities concerning its operations in the USA.

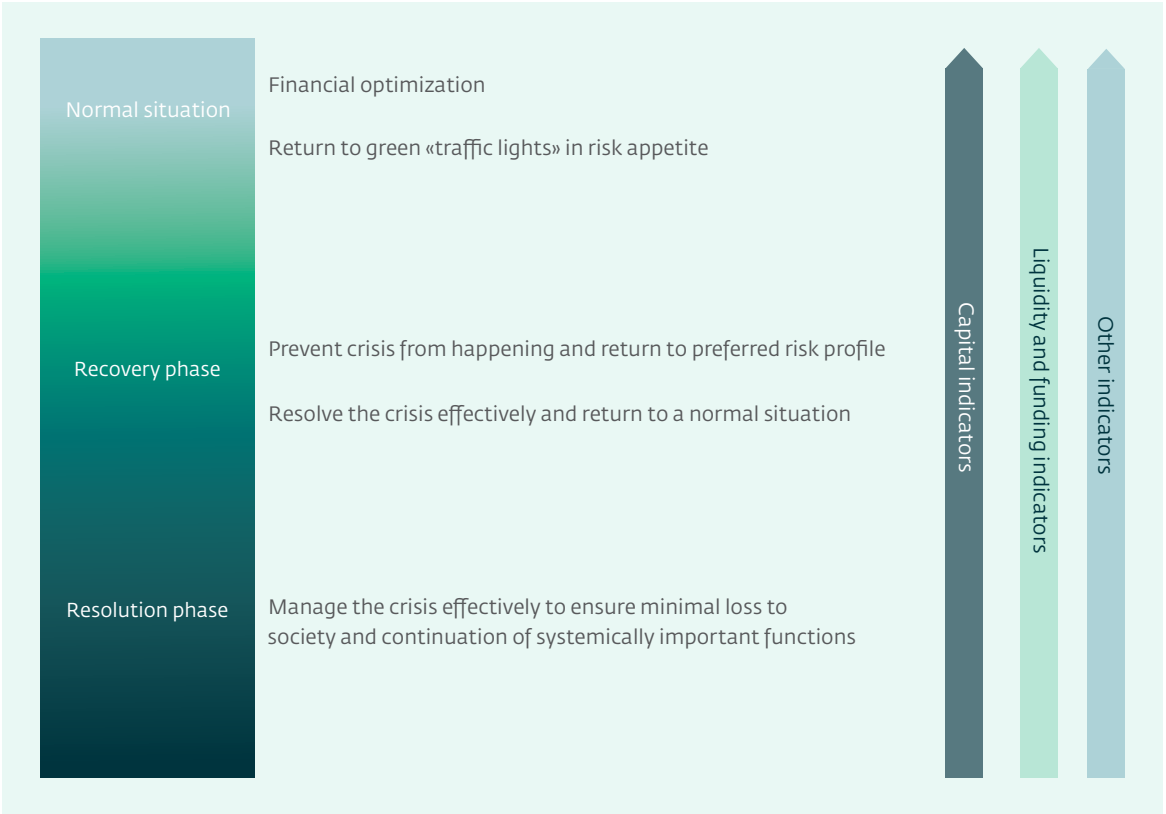
DNB has a hierarchy of contingency indicators and measures as illustrated in the figure to the right. Because the risk appetite framework functions as an early warning system, there are a number of overlaps between indicators in the risk appetite framework and recovery plans. In most cases, red lights in a risk appetite context are aligned with threshold values (recovery thresholds) in the recovery plan.

The recovery plan includes the following descriptions:

- Strategic analysis of the DNB Group and socially critical functions performed by DNB
- Operational and legal dependencies within and

- outside the Group
- Governance processes in recovery planning and recovery plan implementation
- Crisis scenarios that could trigger a recovery situation
- Recovery measures that could improve the Group’s capital adequacy and liquidity situation
- Preparatory measures to ensure the effectiveness of the recovery measures
- Communication plan in crisis situations

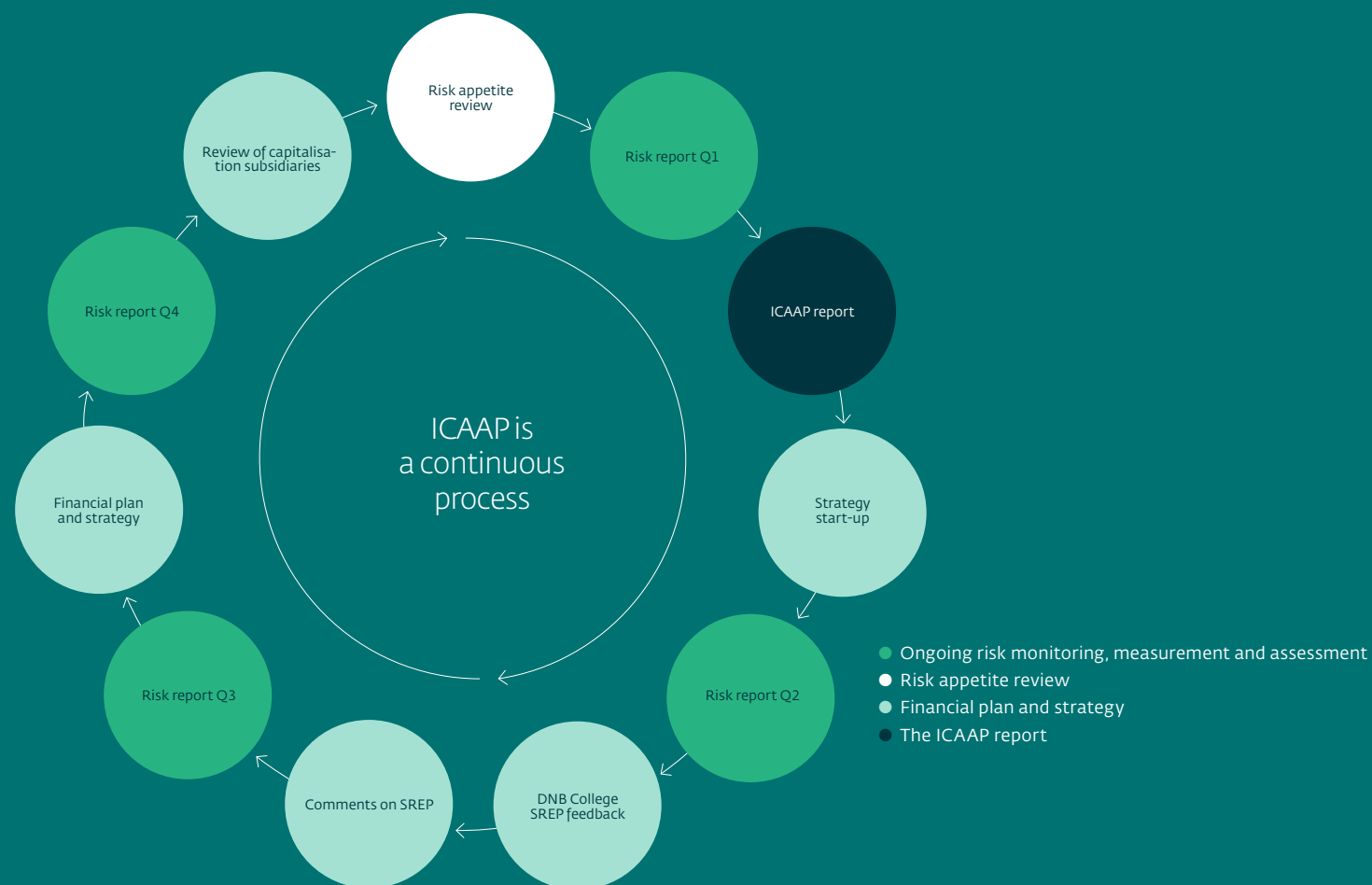
The recovery plan is updated annually. In 2017, the descriptions of governance processes were changed considerably due to harmonisation of indicators in the different scenarios. The changes were made in response to feedback from Finanstilsynet and are based on international practice. The indicators are reviewed quarterly as part of the risk reporting to the Board of Directors of DNB ASA.



3

Capital management and ICAAP

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Financial institutions are required to carry out an Internal Capital Adequacy Assessment Process, ICAAP, at least once a year. Capital requirement assessments should be forward-looking and take business plans, growth, access to capital markets and economic conditions into account.

The capital adequacy assessment process should also cover risks which are not included when the minimum requirement stipulated by the authorities is calculated. In addition, it should reflect the fact that there is some uncertainty attached to the methods and data used to quantify risk. The liquidity and funding situation must be reviewed in the Internal Liquidity Adequacy Assessment Process (ILAAP) in connection with capitalisation. The supervisory authorities do annual assessments of the ICAAP and ILAAP processes and outcomes of these, (Supervisory Review and Evaluation Process, SREP).

The diagram on the previous page shows ICAAP activities in DNB during the year. Annual updating of risk appetite limits, financial plans and strategies and setting financial targets are important elements of the ICAAP process. Quarterly risk reports are prepared for the Boards of Directors of DNB ASA and DNB Bank ASA and include assessments of the bank's capitalisation based on macroeconomic trends, risk exposure, the capital situation and expected future profitability. The risk reports are sent to the Risk Management Committee and the Boards of Directors of DNB ASA and DNB Bank at the same time as the Group's quarterly financial report, to give the Board a basis for weighing the Group's financial performance against changes in risk.

The targets and limits in the risk appetite framework are updated and renewed in the first quarter. The assessments in the ICAAP, ILAAP and feedback from the supervisory authorities through the Supervisory Review and Evaluation Process (SREP) are important elements of the decision-making basis. Targets for capital adequacy, the solvency margin and liquidity risk

are operationalised in the risk appetite framework. The risk appetite framework is subject to monthly review.

The Group's strategy and financial plan for the next three years are prepared in the second half of the year. Because of the capital requirements, the Group's capital situation and the need to build up capital have been central elements in the financial planning and strategy process for the past few years. In the financial planning and strategy process, the Group's return on equity target is converted to a required rate of return on allocated capital. Allocation of capital to the business units is a central element of DNB's governance model and an operationalisation of the principle that the Group's capital requirements should be allocated in full to all business areas. Economic capital is one of many factors on which the allocation of capital is based. The risk-adjusted return on allocated capital is an element of the risk appetite framework.

The Group's ICAAP is documented annually through a separate ICAAP report, which is presented to the Boards of Directors of DNB ASA and DNB Bank ASA and sent to Finanstilsynet. An international supervisory collegiate body has been established for DNB and is headed by Finanstilsynet. The ICAAP report is part of the basis for the supervisory collegiate's assessment of the DNB Group's risk and capitalisation. Most of the subsidiaries in DNB prepare their own ICAAP documentation, which is included in the Group's ICAAP. One of the central elements of the capitalisation assessment in DNB is the calculation of economic capital, which quantifies the total risk for all the main risk categories.

ASSESSMENT OF RISK PROFILE, CAPITAL REQUIREMENTS AND REGULATORY CAPITAL LEVELS

The capital adequacy regulations specify a minimum primary capital requirement based on risk-weighted

assets that include credit risk, market risk and operational risk. In addition to meeting the minimum requirement, the bank must satisfy various buffer requirements. The difference between buffer requirements and minimum requirements lies in the consequences of non-compliance. Non-compliance with minimum requirements could result in the bank being re-structured or wound up, while the consequence of non-compliance with buffer requirements is that measures would have to be implemented to strengthen capitalisation. Examples of penalties for non-compliance with buffer requirements include limits on dividend payments, interest payments on hybrid securities and variable remuneration payments to employees.

Finanstilsynet does assessments to determine whether there are risk elements in individual institutions that are not adequately covered by the basis of calculation for the minimum requirements and the general capital requirements (Pillar 1). These are referred to as the Pillar 2 requirements. In the event of non-compliance with the combined requirements, including the Pillar 2 requirements, the bank is obligated to give Finanstilsynet an account of the reasons for and planned measures to address this. In such a situation, Finanstilsynet will have the same intervention options as in the event of non-compliance with the buffer requirements, but with a greater scope of action.

The main conclusion of Finanstilsynet's assessment in last year's SREP process was that, based on the prevailing risk level and external factors, the DNB Group was adequately capitalised as at 31 December 2016. Finanstilsynet determined that the DNB Group, the DNB Bank Group and DNB Bank ASA should have a Pillar 2 capital add-on of 1.6 per cent. As per year-end 2017, that entailed a total common equity Tier 1 capital ratio of 15.2 per cent. Finanstilsynet also suggested that DNB should have an additional buffer of roughly one per cent.

According to the Group's capital strategy and dividend policy, the Group aims to be one of the best capitalised financial services groups in the Nordic region based on equal calculation principles. Dividends are determined on the basis of factors such as the need to maintain satisfactory financial strength and changes of external regulatory parameters. DNB's capitalisation guidelines specify the targeted capitalisation level, the frequency of reviews of DNB's capital situation and the measurement methods that are to be used, such as economic capital and stress tests. The capitalisation guidelines are reviewed each year based on the ICAAP and feedback from the authorities through the SREP.

ECONOMIC CAPITAL AND CAPITAL ALLOCATION

DNB calculates economic capital for all of the main risk categories. The simulation model used in the calculation, the Total Risk Model, calculates unanticipated losses for different types of risk and for the Group as a whole. The calculations cover all of the important business units, customers and products. The quantification is based on statistical probability distribution for the different types of risk derived from historical data. In cases where the quality of the historical data is not good enough, discretionary estimates are used. The model simulates the risk of loss attached to the different risk categories separately, before calculating the total risk. A diversification effect arises when the risks are evaluated together, because it is unlikely that all of the loss events would occur at the same time. Due to the diversification effects between different risk categories and business areas, the Group's economic capital ends up being lower than it would have been if all of the business areas had been independent companies.

DNB has determined that economic capital should correspond to 99.9 per cent of potential expected losses within a horizon of one year. The security level was trimmed from 99.97 per cent in 2017 to make it more comparable with regulatory capital.

Economic capital, DNB Group

NOK billion	31 Dec. 2017	31 Dec. 2016
Credit risk	40.2	43.7
Market risk	7.8	5.9
Market risk in life insurance	3.5	4.2
Insurance risk	1.4	1.4
Operational risk	8.5	9.0
Business risk	6.1	5.9
Gross economic capital	67.5	70.1
Diversification effect*	(11.2)	(13.2)
Net economic capital	56.2	56.9
Diversification effect in per cent of gross economic capital*	16.6	18.8

*Diversification effect refers to the risk reduction effect achieved by the Group as the different types of risks can not be expected to cause losses simultaneously.

Allocation of capital to the business units is a central element of DNB's governance model and is an operationalisation of the principle that the Group's capital requirements should be fully distributed among all the business areas. DNB uses risk-adjusted returns in management reports and in internal reports about activities on the different organisational levels. The allocation of capital in the pricing and management systems is meant to ensure a satisfactory long-term return on capital. The principles for allocation are adapted to the different risk types.

- Capital for credit risk exposure is distributed on the basis of the Group's internal calculation of economic capital for lending, multiplied by a factor to account for the fact that external requirements are higher
- Capital for market risk exposure in DNB Markets is calculated as reported risk-weighted assets multiplied by the Group's common Tier 1 capital ratio target
- Capital for operational risk exposure is calculated as a factor of income. The factor is the same for all units and reflects the Group's capital target.

MORE ABOUT INTERNAL ASSESSMENTS AND REGULATORY REQUIREMENTS

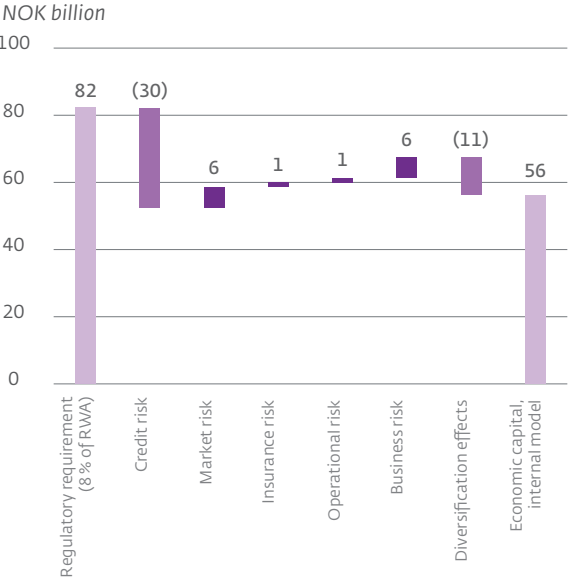
The key element in assessments of financial strength and capitalisation is to compare risk with available loss-absorbing capital, including the operating earnings that will be the first line of defence. In addition, various stress tests will be important references.

The figure on the right shows a comparison of economic capital calculated by means of DNB's own internal models and the regulatory capital requirement. Economic capital and the regulations are both based on the same confidence level, the 99.9th percentile. A corresponding measure of unexpected losses in the regulatory framework is 8 per cent of the risk-weighted volume. A specification of the main differences in risk measurement between the internal Total Risk Model and the capital adequacy regulations follows below.

For credit risk, there is a large difference between the minimum capital adequacy requirement and the internal model. The main reason for this is that 30 per cent of the credit portfolio, measured by risk-weighted volume, is measured by means of the standardised approach when the capital adequacy requirement is calculated, which gives far higher risk weights. In the total risk model, classification models are used for all portfolios, regardless of whether the models have formal IRB approval. The difference between the requirement and the internal measurement increased in 2017 because of stricter requirements for measuring loss given default (LGD) in the IRB portfolio.

The internal method for calculating market risk is more conservative than the method used to calculate the capital adequacy requirement. The main difference is that equity investments in the banking portfolio are treated as credits in the capital adequacy calculations and are assigned a risk weight of 100 per cent, and an associated capital requirement of 8 per cent,

Comparison of capital requirements and economic capital



whereas the economic capital calculated for the same investments is in the region of 45 per cent of the exposure. The internal market risk measurement includes elements that are not covered by the regulatory requirements (Pillar 1). Finanstilsynet deals with these types of risk by means of Pillar 2 add-ons.

DNB has a significant profit risk related to basis swaps in the banking activities. This is because derivative contracts that are used to convert funding in foreign currency to lending in Norwegian kroner are measured at fair value on an ongoing basis. In practice, the contracts are held till maturity, so fluctuations in value are neutralised over the term of the contract. The manner in which DNB has set up the basis swaps will ensure that they mostly provide gains for the Group in periods of market unrest.

In the Total Risk Model, market risk in the life insurance operations is treated separately, and takes asset volumes, asset mix, the size of buffer capital and the rate of return guaranteed to customers into account. The model also calculates the risk of accounting losses resulting from the liability adequacy test. The capital adequacy requirement for insurance operations depends on the amount of equity and other subordinated capital injected by the rest of the Group into the insurance arm. The measurement methods are therefore fundamentally different. DNB's model generally measures the risk as higher than what follows from the capital requirement.

SYSTEMIC RISK

In accordance with Norwegian regulations, banks' ICAAP should include an assessment of systemic risk. In the EU's capital adequacy regulation, systemic risk is defined as the risk of disruptions to the financial system that have potentially serious consequences for the financial system and the real economy. In order to assess whether the systemic risk entails an increase in capital requirements, the measures that have already been implemented to cover such risk must be reviewed. A high household debt-to-income ratio, high housing prices and the Norwegian economy's dependence on oil prices are factors that increase systemic risk in Norway. However, they are counteracted by other characteristic features of the Norwegian economy, such as a national currency, an independent monetary policy, considerable fiscal flexibility and a strong social security network. Risk in the housing market has been addressed by means of higher risk weights for residential mortgages in the calculation of the banks' capital adequacy requirements, and requirements for down payments, payments of principal and debt servicing capacity in the Regulation on Requirements for Residential Mortgage Loans. In addition, a 2.0 per cent counter-cyclical buffer requirement has been introduced. The analyses of the international rating agency

Standard and Poor's (S&P) are partly based on the Banking Industry Country Risk Assessment (BICRA), which covers key systemic risk elements. Like Sweden and a handful of other countries, Norway has a very good S&P score. Furthermore, the Norwegian financial sector is relatively small in relation to most other comparable European countries. DNB thus considers the level of systemic risk in Norway to be relatively low.

STRESS TESTING

Stress testing is an important element in assessments of the DNB Group's capitalisation and is also used in connection with financial planning. Stress tests are used to predict how changes in macroeconomic conditions will affect the need for capital. The group management team is involved in determining the scenarios and underlying assumptions that will be used in the stress tests and uses the outcome of such testing as a basis for strategies and action plans.

At least once a year, an extensive stress test is presented to the Board of Directors as a basis for evaluating whether the bank's risk profile is satisfactory. This is normally done in connection with the Group's ICAAP report. In 2018, DNB will participate in the stress tests of European banks coordinated by the European Banking Authority (EBA).

Stress testing is a second line function and is the responsibility of organisational units that are independent from the business areas. The Chief Risk Officer (CRO) has the primary responsibility for all stress testing. The stress tests are presented to the Group Advisory Credit Committee (GACC) or the Asset and Liability Committee (ALCO) and approved by the CRO. The CRO is responsible for recommending measures based on the conclusions of the stress tests.

In addition to the Group's ICAAP stress test, annual

stress tests of DNB Boligkreditt and DNB Næringskreditt are performed as well. Crisis scenarios are also part of the recovery plan, as described in more detail in the chapter on risk management and control in DNB. Individual credit portfolios are stress tested on the basis of closer assessments. For more information, see the chapter on credit risk.

ICAAP STRESS TEST

The ICAAP stress test assumes a significant deterioration of economic conditions and shows how this could affect the Group's total risk situation, profit performance and capitalisation. A stress scenario based on relevant risk factors is worked out every year. The scenario is reviewed by ALCO and approved by the CRO. The stress test uses DNB's model for calculating economic capital, the Total Risk Model, to estimate losses.

The diagram illustrates the process for carrying out stress tests in DNB. The first step is to prepare a qualitative description of the risk factors and the scenario that will be used. Based on this, a macro shock or changes of selected macroeconomic variables are determined. The next step is to design a complete and consistent macroeconomic scenario, partly with the help of macro models. The scenario is then translated into stressed parameters such as losses connected to different risk types, balance sheet developments and interest rate spreads. Finally, the results of the stress test are used to determine capital requirements, the stressed capital base and the effect on capital adequacy.

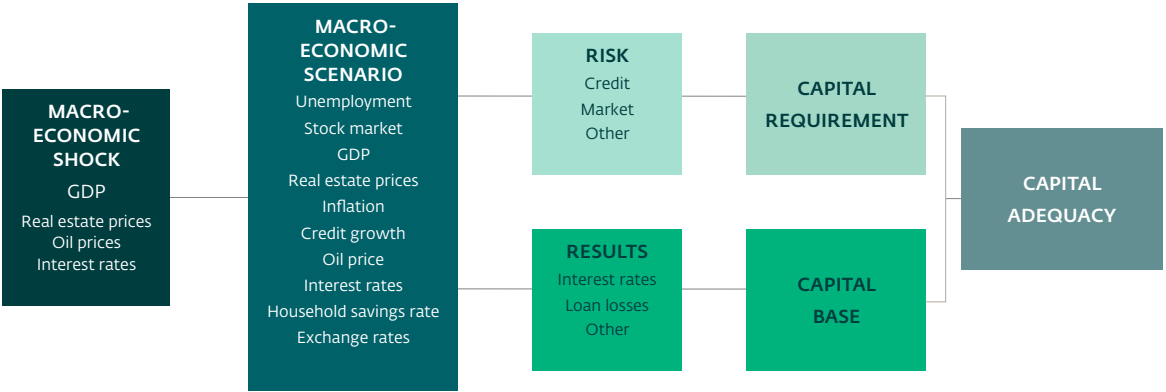
The economic shocks are converted into specific development paths for key macro variables. The most important ones are described below. The shocks are assumed to occur early in 2018. In the ICAAP stress test for 2018, emphasis was placed on the following risk factors:

- House prices plummet. This has ripple effects in the form of a drop in private consumption and investments, which leads to significant weakening of

- Mainland GDP and increased unemployment.
- Central banks outside Norway raise interest rates rapidly early in the scenario period, which leads to a global demand shock, partly because companies' have poorer debt-servicing capacity. Long-term interest rates and stock markets fall.
 - Global trade declines as a result of geopolitical instability and increased protectionism
 - Oil prices fall due to a combination of poor cooperation between the OPEC countries and, later on, a steep drop in global demand for energy
 - The GDP growth rate assumed in this scenario is based on historical data, as well as important macroeconomic variables for the Norwegian economy.
 - The oil price drops to USD 25-35 per barrel. Oil investments on the Norwegian continental shelf decline significantly.
 - The unemployment rate rises to around 6.5 per cent, which is higher than the level in the beginning of the 1990s.
 - House prices drop by more than 30 per cent. Households respond to falling house prices, declining real wage growth and an uncertain labour market by

- reducing their spending and increasing their rate of savings. This in turn reduces economic growth even more.
- Mainland GDP growth drops from 2 per cent to – 0.9 per cent the first year. The mainland economy shrinks by 3.5 per cent in the first three years.
 - The key policy rate has been cut to zero but higher money market spreads, especially in the beginning of the scenario will keep 3-month NIBOR at around 0.5 to 1.5 per cent throughout the stress test period.
 - The GDP of Norway's trading partners falls steeply in 2019. This is followed by stabilisation and weak growth in the global economy, lower than the long-term trend growth rate, and a steep decline in Norwegian exports of traditional goods and services despite a weaker NOK exchange rate.
 - The stress test showed a stable common equity Tier I capital ratio of about 16 per cent. The bank's profit would be negative in two of the four years. The negative profits would primarily be due to a significant drop in interest income and substantial loan losses.

Process for stress testing



4

Liquidity risk and asset and liability management

DNB had good access to both long-term and short-term funding throughout 2017. DNB seeks to maintain well-diversified funding, which includes a broad deposit and funding base from personal and commercial customers. However, the Norwegian funding market is relatively small, and DNB relies on international funding in various currencies for some of its lending in the domestic market.

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Definition

Liquidity risk is the risk that the Group will be unable to meet its obligations as they fall due, or will be unable to meet its liquidity obligations without a substantial rise in associated costs. Liquidity is vital to financial operations but as a rule this risk does not materialise until other events give rise to concern about the Group's ability to meet its financial obligations.

Liquid assets

NOK billion

621 (455)

Total long-term debt securities

NOK billion

596 (580)

Liquidity Coverage Ratio (LCR)

Per cent

117 (138)

Ratio of deposits to loans

Per cent

61.7 (62.7)

DEVELOPMENTS IN LIQUIDITY RISK IN 2017

Short term funding markets were affected by uncertainty about the effects of the new regulations for US money market funds (the Money Market Reform), which were implemented in October 2016, but the market adapted quickly without any major consequences. Low European interest rates dampened interest in short-term funding somewhat, but activity picked up in the second half-year on rising yield curves.

There was brisk activity in long-term funding markets at the beginning of the year, but the volumes were a bit lower than normal. The European Central Bank (ECB) continued its asset purchase programme in 2017. This reduced the need for new issues of covered bonds. Activity picked up again towards the end of the year, probably because of pre-funding by issuers who took advantage of the favourable market conditions.

The market for ordinary senior bonds declined slightly in the course of the year. This is because more issuers have started issuing so-called non-preferred, or subordinated, senior bonds that meet the upcoming Minimum Requirement for Own Funds and Eligible Liabilities (MREL). The MREL is a requirement that banks must have a minimum amount of own funds and eligible liabilities that can be written down or converted into equity (bail-in) when a bank is close to liquidation. This has also led to increased activity in the market for subordinated loans, because investors have started to regard these loans as more attractive than subordinated senior bonds. The prices of all type of instruments, including subordinated loans trended downward during the year.

The LCR, which measures short-term liquidity risk, limits the net refinancing need both on the overall level and in the main currencies Euro, USD and Norwegian kroner (NOK) within the course of seven days, 30 days and 90 days. The LCR stayed well above the minimum requirement of 100 per cent all year and came to 117 per

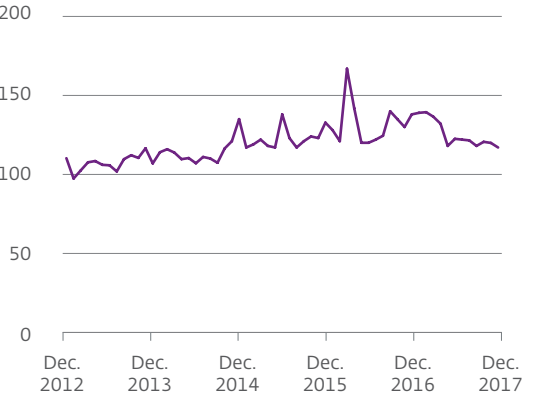
cent at the end of December. On 30 September 2017 a minimum requirement of a 50 per cent LCR in NOK was implemented in addition to the 100 per cent requirement for other important currencies like the euro and USD. The table below shows the LCR in the main currencies and in total for the last two years. The figure below show the development in total LCR since 2012.

The long-term risk measurement, Net Stable Funding Ratio (NSFR), defines the illiquid assets, including loans to customers, which must be funded by stable sources such as customer deposits or funding with a residual maturity of no less than 12 months. The NSFR remained steady at over 100 per cent last year.

LCR development, significant currencies, DNB Bank Group

Per cent	EUR	USD	NOK	Total
31 December 2017	191	137	93	117
31 December 2016	562	190	59	138

Development in total LCR, DNB Bank Group



FUNDING

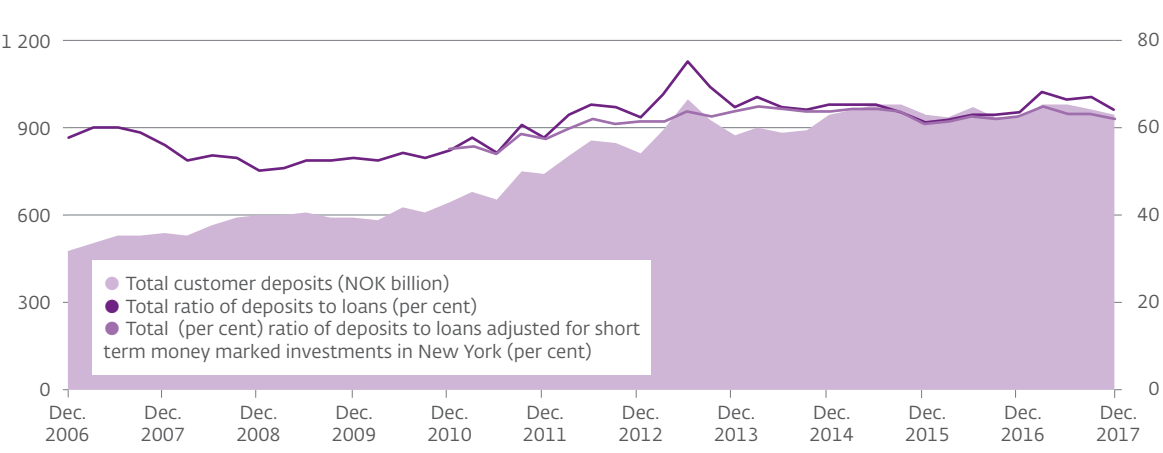
The nominal value of long-term debt securities issued by the Group came to a total of NOK 596 billion at the end of 2017, compared with NOK 580 billion a year earlier. At year-end 2017, the average remaining term to maturity for the debt securities was 4.0 years as compared with 3.9 years at the end of 2016.

The banking group's ratio of deposits to lending, measured as customer deposits in per cent of net lending to customers, decreased from 62.7 per cent at the end of 2016 to 61.7 per cent at the end of 2017. The DNB Bank Group's lending to customers has increased by NOK 39 billion, which corresponds to 2.6 per cent, since the end of 2016. Customer deposits increased by NOK 35 billion, or 3.5 per cent, in the same period. The ambition is for the banking group to have a deposit to loan ratio of at least 60 per cent.

Average term to maturity for long term funding, senior debt and covered bonds, DNB Bank Group



Customer deposits and ratio of deposits to loans, DNB Bank Group

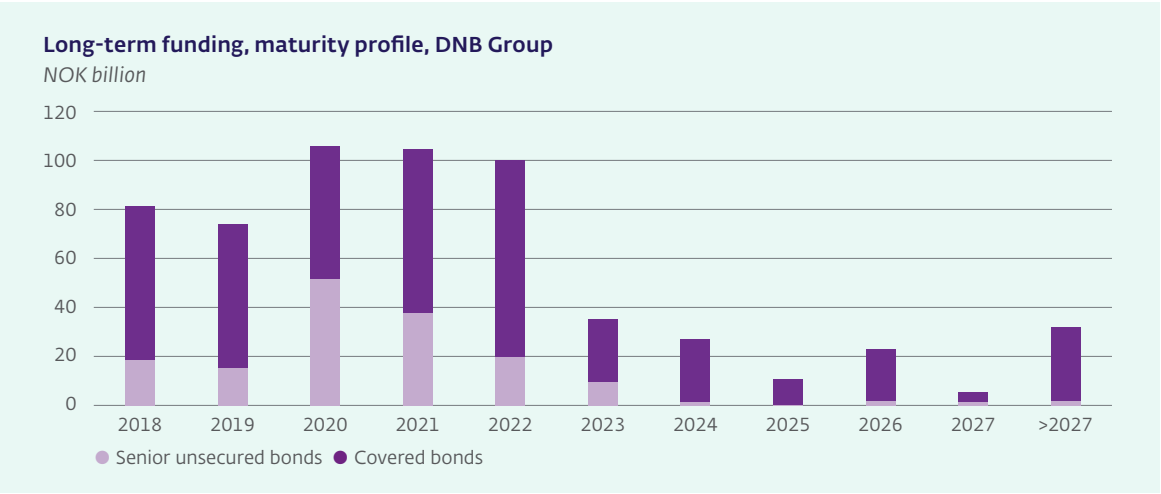


The figure on the previous page show the development in average term to maturity for long term funding, senior debt and covered bonds. The figure below shows the changes of the average maturity of the long-term in the form of senior unsecured bonds and covered bonds. Both figures show numbers for the DNB Bank Group. The average maturity has hovered around 4 years for the last few years while the ratio of deposits to loans has remained above 60 per cent since 2012.

Ordinary senior debt is mostly issued through the 45 billion euro Euro Medium Term Note (EMTN) programme. Senior bond programmes have been established in US dollars and Japanese yen, too. Covered bond programmes have also been established in Europe and the USA. Measured by outstanding value, the national covered bond market in Norway has become bigger than the Norwegian government bond market and is as liquid as the government bond market. Covered bonds are important long-term funding instruments in DNB. They are issued by Boligkreditt AS and DNB Næringskreditt AS and

secured by the companies' portfolios of residential and commercial mortgages, respectively. Covered bonds have proved to be a more robust and much lower priced funding instrument in turbulent periods than ordinary senior bonds.

DNB uses a number of short-term commercial paper programmes for short-term funding. These programmes give DNB good access to short-term funding as well as considerable flexibility with respect to catering to investors' interests and meeting the bank's liquidity requirements. In addition, DNB attracts substantial amounts from other banks, central banks and money market funds in the form of business deposits and excess liquidity. Together with commercial paper funding, they constitute a short-term liquidity buffer.



Funding programmes at, 31 December 2017

DNB Bank ASA		Exposure		Size
Euro Medium-Term Note Program (EMTN)	EUR	16.2 billion	EUR	45 billion
USD 144A Medium-Term Note Program	USD	3.3 billion	EUR	10 billion
Samurai Shelf (JPY)	JPY	65.0 billion	JPY	500 billion

DNB Boligkreditt AS		Exposure		Size
Euro Covered Bond Program	EUR	37.4 billion	EUR	60 billion
USD 144A Covered Bond Program	USD	4.8 billion	USD	12 billion

Commercial papers as at, 31 December 2017

		Exposure		Size
United States Commercial papers (USCP)	USD	12.9 billion	USD	18 billion
Yankee CD*	USD	5.1 billion	USD	15 billion

European programs			EUR	15 billion
European commercial paper (ECP)	EUR	0.66 billion		
London CD program	EUR	0.62 billion		

*Certificates in the United States issued by the US branch of foreign bank, in this case DNB's New York branch. This unlike the other commercial paper program in the United States: USCP program, where the issuer is DNB Bank ASA, Oslo.

PLEDGED ASSETS

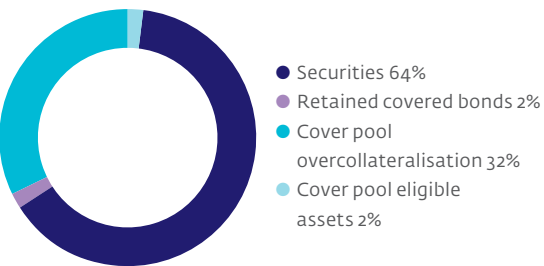
The use of covered bonds has contributed to raising awareness of asset encumbrance. The proportion of loans secured by pledged assets is high in Norway. This is because Norway has no securitisation market and almost all loans are kept on the banks' balance sheets. In addition, the home ownership rate is quite high in Norway and this ownership is loan-financed. The current level of asset encumbrance is comfortable considering the Group's diversification, capitalisation and liquidity.

As per 31 December 2017, pledged assets accounted for almost NOK 500 billion, which is about 20 per cent of the balance sheet for the DNB Bank Group. DNB publishes quarterly Fact Books containing information about pledged assets and secured lending. Covered bonds (residential property) comprise 93 per cent of the pledged assets.

Assets available for collateralisation came to NOK 684 billion at the end of 2017.

The figure on the next page shows the distribution by

Additional assets available for secured funding, DNB Bank Group, as at 31 December 2017
By asset type.



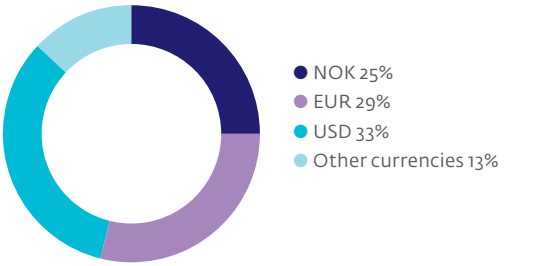
LIQUID ASSETS

As an element of its ongoing liquidity management, DNB needs to have a holding of securities in the form of bonds as well as other liquid assets such as deposits in other banks and central banks. DNB is a bank with a good credit rating in a strong economy, and attracts substantial amounts from other banks, central banks and money market funds. The funds include business deposits and excess liquidity from national and international banks, which, together with commercial-paper financing, serve as a short-term liquidity buffer.

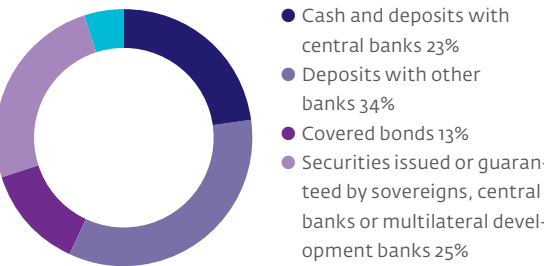
Among other things, the securities are used as collateral for short-term loans from central banks and are an element of the liquidity buffers for ensuring fulfilment of regulatory liquidity requirements.

Total liquid assets amounted to NOK 621 billion as at 31 December 2017. The figures to the right show the distribution of total liquid assets at the end of 2017 by currency and asset type.

Liquid assets by currency, DNB Bank Group, as at 31 December 2017
Per cent



Liquid assets, DNB Bank Group, as at 31 December 2017
Per cent



THE BOND PORTFOLIO

The bank's bond portfolio consists of an international portfolio and a Norwegian portfolio. At year-end 2017, the total bond portfolio amounted to NOK 167 billion. The Norwegian portfolio totalled NOK 78 billion, of which Norwegian government bonds and other level 1 public sector bonds accounted for NOK 40 billion. Other level 1 assets in the form of covered bonds accounted for NOK 32 billion while the remainder consisted of level 2A assets. Level 1 and level 2A refer to the categorisation of liquid assets within the LCR framework, where level 1 represents the most liquid assets.

The international liquidity portfolio totalled NOK 89 billion at year-end and consists of a trading portfolio and a portfolio of foreign currency bonds held to maturity. The trading portfolio totalled NOK 79 billion, and 96 per cent of the securities in the portfolio were rated AAA or higher. Public sector bonds comprised 72 per cent of the portfolio. The remainder consisted of covered bonds. The weighted average maturity in the trading portfolio was 2.5 years and the change in value resulting from a one basis point change in spreads was NOK 19.2 million at year-end 2017.

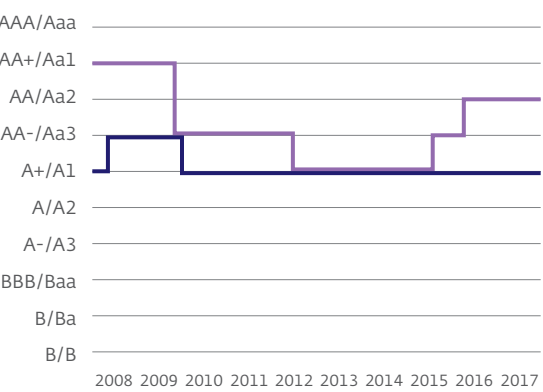
The hold-to maturity portfolio came to NOK 9.6 billion at the end of 2017, and 52 per cent of the securities were rated AA or higher. No new investments are added to the portfolio. There are no synthetic securities in the portfolio and no investments in US subprime bonds or Collateralised Debt Obligations. The average maturity was 3.7 years at the end of 2017 and the change in value resulting from a one basis point change in spreads was NOK 3.6 million. For more information about this portfolio, see the attachment of this report.

RATINGS

Credit ratings are forward-looking and are meant to reflect how future events could impact the issuer's creditworthiness. The credit rating represents the rating agencies' assessment of the issuer's capacity and willingness to meet financial obligations on time. Strong credit ratings issued by recognised rating agencies are thus important for ensuring predictable, flexible access to funding. The short-term credit rating is an expression of the probability of an issuer failing to meet its financial obligations in the current year, and of the expected financial loss resulting from non-fulfilment of the obligations. The long-term credit rating is an expression of the same probability but over a period of one year or more. In 2017, the rating agency Standard & Poor's upgraded DNB's outlook from «negative» to «stable».

The figure below gives an overview of the development in DNB Bank ASA's long-term credit ratings.

DNB Bank ASA's long-term rating history



● Standard & Poor's ● Moody's
Source: DNB, Standard & Poor's and Moody's

Ratings of DNB Bank ASA			
Rating agency	Rating	Latest rating report	Latest rating action
Standard & Poor's	Short term: A-1 Long term: A+ Outlook: Stable	Standard & Poor's rating – April 2017	29 March 2017
Moody's	Short term: P-1 Long term: Aa2 Outlook: Negative	Moody's Credit Opinion – August 2017	16 March 2016
Dominion Bond Rating Service (DBRS)*	Short term: R-1 (middle)* Long term: AA (low)* Trend: Stable*	DBRS pressemelding – August 2017	29 September 2015
Scope Ratings*	Short term: S-1* Long term: AA-* Trend: Stable*	Scope rating report - February 2017	2 February 2017
* Unsolicited rating			

LIQUIDITY RISK MANAGEMENT AND MEASUREMENT

The Group Policy for Financial Management and Reporting clearly states that DNB's liquidity strategy and limits must be consistent with the Group's risk appetite and have to be approved by the Board of Directors at least once a year. The group policy is elaborated on in a standard for managing liquidity risk which sets out more detailed requirements for organisation, the division of responsibilities and risk reporting. The standard is operationalised further in various instructions, primarily the Instructions for Limits and Strategy for Liquidity Risk Management in DNB Bank Group, which also describes the procedures for internal liquidity risk management.

Like the risk attached to the bank's operations in general, liquidity risk should be low and bolster the bank's financial strength and ability to withstand different events and trends. The bank thus seeks to

have a balance sheet structure which reflects the liquidity risk profile of an international bank with AA level long-term credit ratings issued by recognised rating agencies. Maintaining a low risk profile calls for adequate diversification of the sources of funding with respect to both contractual counterparties and instruments.

The organisation of liquidity management in DNB is based on a clear authorisation and reporting structure and is in conformity with the Norwegian regulations on prudent liquidity management. The Boards of Directors of DNB Bank ASA and DNB ASA set the limits and guidelines and regularly review the bank's liquidity risk. The Board reviews the limits at least once a year. The limit structure for liquidity risk is in conformity with the structure in the EU capital requirements regulations. Internal limits for the LCR and NSFR are stipulated in the Group's risk appetite framework, along with the required ratio of deposits to loans for the DNB Bank Group.

The principles for liquidity and associated limits are proposed by Group Treasury and endorsed by Group Risk Management as part of the overarching principles for risk management, before being approved by group management and resolved by the Board of Directors. Group Treasury is responsible for ensuring that the Group stays within the liquidity limits set by the Board of Directors at all times. The unit is also in charge of managing the bank's liquidity portfolio and providing funding to international subsidiaries and branch offices. Group Treasury's liquidity risk responsibilities are an element of the Group's first line defence. The second and third lines of defence are handled by Group Risk Management and Group Audit, respectively.

The DNB Bank Group's liquidity risk management is centralised and has been delegated to DNB Bank ASA. The liquidity risk in branch offices and subsidiaries is consolidated in the banking group's balance sheet and included in the basis for the banking group's liquidity management. Liquidity risk within the banking group is managed on both the consolidated and individual levels. DNB ASA is funded by the banking group and its primary function is to be a financially sound equity-based owner. The subsidiaries DNB Livsforsikring AS, DNB Forsikring AS and DNB Asset Management AS manage customer assets in accordance with internal liquidity rules.

Group Treasury is responsible for providing funding to subsidiaries and branch offices outside Norway. DNB Bank ASA and Boligkreditt ASA have entered into a bilateral agreement that regulates the coordination of funding and liquidity between these two entities.

The Asset and Liability Committee (ALCO) gives the CFO advice about principles and methods for calculating and measuring risk exposure, including liquidity risk exposure, and considers these before they are approved by group management and the Board of Directors.

The object of the liquidity risk limits is to reduce the bank's dependence on short-term funding from domestic and international money and capital markets. The reason for this is that funding from such sources tends to be more credit-sensitive than ordinary deposits. The Board of Directors approves the limits once a year, or more frequently if necessary.

Liquidity risk is managed by means of both the LCR and the NSFR. The LCR and operational liquidity are monitored and reported daily. Other liquidity risk reports, including reports on the banking group's structural liquidity limits, the use of short-term liquidity limits and NSFR are submitted monthly to Group Treasury, ALCO and group management. The liquidity risk limits and ratio of deposits to lending are reported to the Board of Directors quarterly. The risk management unit in DNB Markets is responsible for reporting deviations from liquidity risk limits to the relevant parties and committees. Deviations that trigger a red light according to the risk appetite framework must be reported to the Board of Directors in the first possible board meeting. Minor deviations are reported quarterly in the Group's risk report.

The credit ratings of the underlying securities in the bond portfolio are continuously monitored and reported. Monitoring of market risk in the liquidity portfolio is discussed in the chapter on market risk.

STRESS TESTING OF LIQUIDITY RISK

The bank conducts regular stress tests to ensure that DNB has sufficient liquid assets to cope with difficult situations in a satisfactory manner. The bank needs to regularly review the assumptions on which liquidity risk management is based. This includes reviewing the bank's assets that are classified as liquid and used as collateral in Norges Bank or other central banks. The degree to which assets defined as stable also meet the requirements for stability in a stress situation is also assessed. Stable assets are the portion of the bank's funding that is not deemed likely to fluctuate substantially on the short term. Examples include deposits from customers, subordinated loans, equity capital and long-term covered bonds.

DNB simulates the liquidity effect of a downgrading of the bank's credit rating due to one or more negative events. The results of such stress testing are included in the bank's contingency plan for liquidity management during a financial crisis. The effects that a financial crisis lasting for up to 12 months could have on liquidity are tested. The stress tests differentiate between a financial crisis which only affects the bank, a so-called bank-specific crisis, a crisis which affects the banking industry in general, a so-called systemic crisis, and a combination of the two. Applied stress testing factors are derived from historically observed data. Expert assessments are used in cases where the available data is limited, or market developments are deemed to be of little relevance. Stress factors are continually reviewed.

The need to strengthen DNB Boligkreditt's cover pool in a stress situation is quantified in an extended stress test. This stress test estimates the bank's potential liquidity exposure in the event of a steep fall in housing prices combined with a major change in the market value of the derivative contracts between DNB Boligkreditt and DNB Bank ASA. Weakening of

the NOK is the factor that has the greatest effect on changes in the value of the derivative contracts. This counterparty risk is reported weekly and is closely monitored and managed by Group Treasury.

A reverse liquidity stress test is used to identify circumstances that could drain the bank's liquidity reserves in the longer term. The combined stress scenario described above is used as the point of departure. In addition, it is assumed that there will no longer be a market for issuing and refinancing covered bonds and that 40 per cent of the large corporate customers withdraw their deposits. A calculation is then done to determine the amount of deposit attrition among private individuals and small businesses the bank can withstand in the course of 30 days before its liquidity reserves become negative.

The stress tests are performed each quarter, and the results are reported to the bank's Board of Directors. The stress tests provide information about potential challenges in the funding situation and form the basis for the Group's contingency plans, including the setting and possible adjustment of liquidity limits.

CONTINGENCY PLAN IN THE EVENT OF WEAKENED REFUNDING ABILITY

DNB has a contingency plan for liquidity that includes descriptions of how the bank should handle liquidity crises that either only affect the bank or affect the entire industry. Based on the types of crises that could affect the bank's liquidity situation and assessments done by ALCO and group management, Group Treasury sets up a plan for remedying the liquidity shortfall. The plan specifies triggers and time frames for all measures that are to be implemented, in addition to the priorities with respect to funding sources and costs of alternative solutions and the possible effect on the banks' capital coverage. Possible measures include making use of assets available as collateral, changing

deposit terms, restricting lending and pledging holdings of collateral to raise money in the market for repurchase agreements (the repo market) and draw on central bank facilities.

5

Credit risk

The quality of DNB's credit portfolio is generally stable and sound. The portfolios of mortgage loans and loans to small and medium-sized enterprises in Norway had steady growth and very low losses in 2017. The large corporate portfolio has been rebalanced and the exposures to shipping and oil-related industries have been trimmed over the last few years. Most of DNB's exposures in the offshore service segment have been restructured. Their funding and liquidity are assured for the next two years.

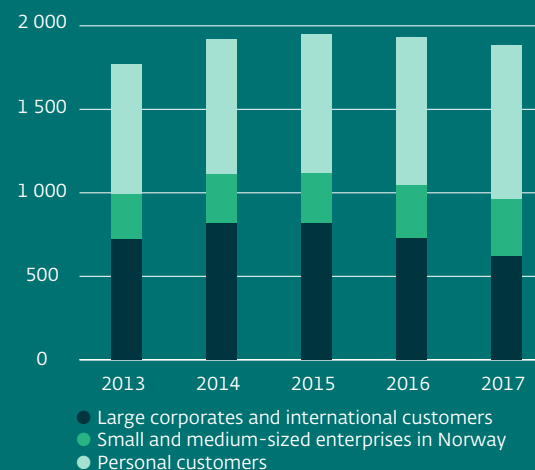
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Definition

Credit risk is the risk of financial losses due to failure on the part of the Group's customers to meet their payment obligations towards DNB. Credit risk is attached to all claims against customers, primarily loans, but also liabilities in the form of other extended credits, guarantees, interest-bearing securities, approved, undrawn credits, derivative trading and interbank deposits. Credit risk also includes residual value risk and concentration risk. Residual value risk is the risk that the value of collateral securing exposure is lower than expected. Concentration risk includes risk associated with large exposures to a single customer and clusters of commitments in geographical areas or industries, or with homogeneous customer groups.

Development in total credit portfolio, EAD

NOK billion



Capital requirements

NOK billion

70.7 (65.7)

Economic capital

NOK billion

40.2 (43.7)

Net credit losses

NOK billion

2.4 (7.4)

DEVELOPMENTS IN CREDIT RISK IN 2017

House prices soared in 2016 but this trend was reversed in 2017 and house prices in Norway dropped 2.1 per cent. The Oslo market stood out with a price drop of 11.5 per cent from the peak in May. This was not enough to offset the steep rise in prices in 2016. The price fall was partly due to tightening of the regulation on requirements for residential mortgage lending in 2017. The forecasts for 2018 and 2019 indicate that house price growth will flatten. Twelve-month growth in lending to Norwegian households was stable and came to just over 6 per cent through the year.

Rents for office property in Oslo are now 3 per cent higher than the previous peak, which was in 2014. The activity level in the market for buying and selling property has been very high in recent years because low interest rates have increased the appeal of commercial property relative to other asset classes.

Compared with 2016, most shipping markets strengthened in the course of the year due to slowing fleet growth and increased demand. The exceptions were the tanker and liquified petroleum gas (LPG) markets where strong fleet growth pulled freight rates downward. The tanker market is volatile and is exposed to geopolitical factors. The upturn in the dry bulk market that started in 2016 continued, though earnings are still below historical averages. Growth also continued in the container shipping industry in both the liner and charter markets.

The price of oil rose more than 20 per cent in 2017. With the highest oil prices since December 2014 and historically high demand, the outlook for the oil and gas companies was positive at the end of 2017. There are signs of increased demand and better prospects for oil service, including a rise in investments on the Norwegian continental shelf as of 2019. After severe cost cuts, some of the new projects in the North Sea will be

profitable at an oil price of between 40 and 50 dollars a barrel, and some will even be profitable at lower prices.

It will take time for rates and earnings in the offshore industry to rise noticeably because of a considerable oversupply of rigs and vessels, though there are major variations between different companies and markets.

A number of companies in the offshore sector were restructured in 2017, especially offshore service vessel companies and some rig companies. The restructuring has involved various interests with different positions in the companies. All of the stakeholders have contributed, and in most cases capital was injected in the companies. The restructuring has also led to consolidation in the market, where large companies merge and small companies that are not purchased disappear.

The quality of DNB's credit portfolio was mostly stable and sound. Measured by EAD, the portfolios of residential mortgages and credit to small and medium sized Norwegian enterprises (SME) showed good growth of 5.3 and 8 per cent, respectively in the course of the year, with very low losses. The large corporate portfolio has been rebalanced over the last two years through strong reduction of the cyclical portfolio. There are still challenges in the offshore sector, but funding and liquidity are assured for most of DNB's customers for the next few years.

Net credit losses came to NOK 2.4 billion in 2017, NOK 5 billion less than in the preceding year. Net individual impairments came to NOK 3.7 billion.

The figure shows changes of the portfolio measured by the expected Exposure at Default (EAD). The portfolio does not include banks or bonds held to maturity. All together the EAD for the banking group was reduced by 2.4 per cent in 2017. The Large Corporates and International portfolio was reduced

by 15 per cent. The reduction in EAD was primarily the result of deconsolidation of the portfolio in the Baltics through the founding of Luminor Group AB. The above-mentioned rebalancing of the large corporate portfolio led to a major reduction of EAD in the Ocean Industries segment in the course of the year. Exposure to the shipping, oil and gas and offshore industries was reduced by 19 per cent in the course of the year.

Exposure to personal customers and small and medium-sized enterprises increased. Residential mortgages, car loans and leasing, factoring and

financing of residential property accounted for most of the increase. The effects of currency exchange rates were modest. Most of DNB's lending is in NOK, 13 per cent is in US dollars and 5 per cent in euro.

Development in the credit portfolio*, EAD

NOK billion



IMPORTANT TERMS USED TO DESCRIBE CREDIT RISK

DNB calculates PD, EAD and LGD on the basis of internal models for all credit exposures.

- **The probability of default (PD)** is the probability that a given customer will go into default during the next twelve months. PD is calculated on the basis of financial and non-financial factors and forms the basis for internal credit risk classification. Non-performing and doubtful exposures are automatically assigned a PD of 100 per cent.
- **Exposure at default (EAD)** is the share of the approved credit that is expected to be drawn at the time of any future default at the same time as there is a downturn in the market
- **Loss given default, (LGD)** indicates how much the Group expects to lose if the customer fails to meet his obligations. The model takes the collateral pledged by the customer, future cash flows and other relevant factors, such as a severe slump in the market, into consideration.
- **Expected loss (EL)** indicates the average annual expected loss over a full economic cycle.
 $EL = PD \cdot LGD \cdot EAD$.
In normal times, EL should be higher than actual losses because the calculation takes both higher probability (the PD element) and higher losses (the LGD element) during a recession into account.

In the text below, reference is made to four risk categories which are defined as follows:

- Low risk: PD 0.01 – 0.75 per cent.
- Moderate risk: PD 0.75 – 3 per cent.
- High risk: PD over 3 per cent, but not defaulted.

→ Non-performing and doubtful exposures.
For internal reporting purposes, the defaulted exposure portfolio is split into two sub-portfolios: a non-performing portfolio and a doubtful exposure portfolio. The latter contains non-defaulted exposures and restructurings on which impairment losses have been recorded. Both risk categories are assigned a PD of 100 per cent.

DNB defines forbore exposures as loans or credits whose terms and conditions have been changed in a manner that would not have been approved if the customer had not had financial problems.

DEFINITION OF DEFAULT
DNB's definition of defaulted exposure (non-performing and doubtful) is in conformity with the IRB rules (Section 10-1 of the Norwegian capital adequacy regulations): An exposure is deemed to be in default if an owed amount is more than 90 days overdue, the overdue amount is significant, and the event of default is not due to delays or incidental circumstances that affect the counterparty. In DNB, a significant overdue amount is defined as more than NOK 2 000. The amount for credit cards is NOK 200.

- An exposure should also be classified as defaulted if the bank:
- Due to a weakening of the counterparty's creditworthiness, records an impairment loss representing a not insignificant amount.
 - Due to a weakening of the counterparty's creditworthiness, sells a claim at a reduced price and the reduction represents a not insignificant amount.
 - Expects debt settlement or bankruptcy

- proceedings to be opened against the counterparty or for the counterparty to be placed under public administration.
- Agrees to changes of terms and conditions, due to the counterparty's payment problems, that significantly reduce the value of the cash flow.
 - Restructures the loan due to the counterparty's financial problems to prevent non-performance of obligations.
 - Has other reasons for not expecting the payment obligation to be met (anticipated default).

Anticipated default means that there is a probability that ordinary business operations will not give the customer sufficient debt-servicing capacity to meet all of its debt obligations. The factors used to evaluate debt-servicing capacity include:

- Sufficient cash flow to service all financial obligations, including an assessment of the refinancing risk
- The probability that new capital will be injected
- Sale of assets

The rule for commercial customers is that if an event of default has occurred, the borrower is deemed to have defaulted on all of its loans. If controlling interests or financial ties between multiple debtors in a corporate group are likely to make it hard for the other debtor(s) to meet financial obligations, the default of one debtor will result in all of the debtors being defined as being in default at the same time.

For personal customers, an event of default is deemed to have occurred if the exposure has been non-performing for more than 90 days

or if the outcome of an individual assessment indicates that the exposure should be classified as non-performing before 90 days have passed.

The definition of default in the IRB rules is used to describe the portfolios' credit risk and calculate capital adequacy requirements and in information about the IRB portfolios. The accounting definition of default (IFRS) is used in descriptions and tables dealing with impairments and defaults.

In September 2016, the European Banking Authority, EBA, published new recommendations on the definition of defaulted exposures. DNB has started making preparations to ensure these recommendations can be followed. The preparations include clarification/specification of the definition of default, materiality threshold levels and a required minimum disqualification period after non-performing exposure has been reclassified as performing. This will entail major changes for DNB. The final deadline for compliance with the guidelines is 1 January 2021 but clarification of requirements and earlier implementation may be decided by local supervisory authorities.

DEVELOPMENT OF CREDIT RISK IN SELECTED INDUSTRIES

Three industries are monitored especially closely either due to the size of the portfolio or because the industries are seen as challenging. These are the commercial real estate, oil-related and shipping industries. DNB regards exposures to the oil and gas sector, oil supplier industry, pipeline transport and offshore industries as oil-related exposures. Descriptions of the bank’s residential mortgage portfolio and the aforementioned industries follow below.

RESIDENTIAL MORTGAGES

DNB’s residential mortgage portfolio mainly consists of loans to finance homes in Norway. Measured by EAD, the Norwegian residential mortgage portfolio comprised 44 per cent of DNB’s credit portfolio at the end of 2017. DNB has a market share of approximately 25 per cent, though it has trended slightly downwards in recent years. Residential mortgages are an important product for banks, not least because customers tend to use their mortgage provider as their primary bank. Offering real estate broking, insurance and financing helps create a safe and simple framework for buying and selling homes.

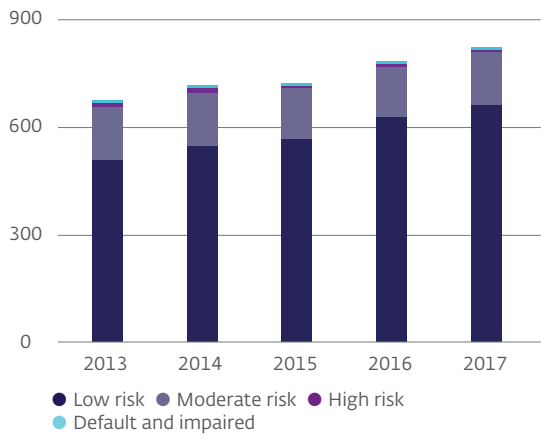
82 per cent of the bank’s residential mortgage portfolio was transferred to DNB Boligkreditt AS at the end of 2017 and serves as the basis for issuing covered bonds.

DNB’s portfolio is of high quality, and approximately 81 per cent of the loans were classified as low risk at the end of the year. This is the same percentage as the year before. The default level in the residential mortgage portfolio is still very low and is far lower than the expected loss. At year-end 2017, the percentage of non-performing and doubtful loans was 0.2 per cent of the portfolio, which is the same as the year before.

The regulation on requirements for residential mortgage lending was tightened further as of 1 January 2017 in an

effort to curb the strong growth in house prices and household debt, especially in Oslo. According to the new rules, the down-payment requirement for residential mortgage borrowers is 15 per cent. The required down payment for those buying a second home in Oslo has been raised to 40 per cent. Borrowers must be able to tolerate a five-percentage point rise in interest rates and loans cannot be granted if they would cause the customer’s total debt to exceed five times his/her gross annual income. As a rule, interest-only loans (including home equity credit lines) may not exceed 60 per cent of the appraised value of the home. Financial institutions in Norway are permitted to grant exceptions to these rules for up to 10 per cent of their total approved mortgage loans, except in Oslo where the rules have been tightened and the limit is 8 per cent. DNB monitors lending practices closely to ensure compliance with the mortgage lending regulation in all parts of the bank.

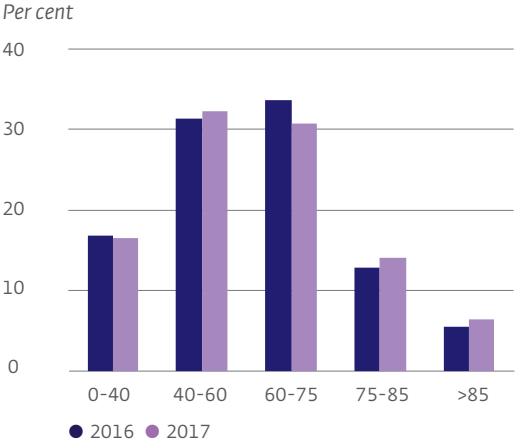
Development in retail mortgage loans, EAD
NOK billion



The loan-to-value ratio (LTV) is a measurement of the degree to which a mortgaged asset, e.g. real property, is loan-financed. For the residential mortgage portfolio, this is calculated as the size of the loan(s) divided by the appraised value of the property. Short-term bridge financing and loan offers are not included in the basis of calculation. The market values of all the homes are updated with a new estimated value each quarter. The EAD-weighted average loan-to-value ratio for residential mortgages hardly changed all year and was 59.6 per cent at the end of 2017, compared with 59.2 per cent one year earlier.

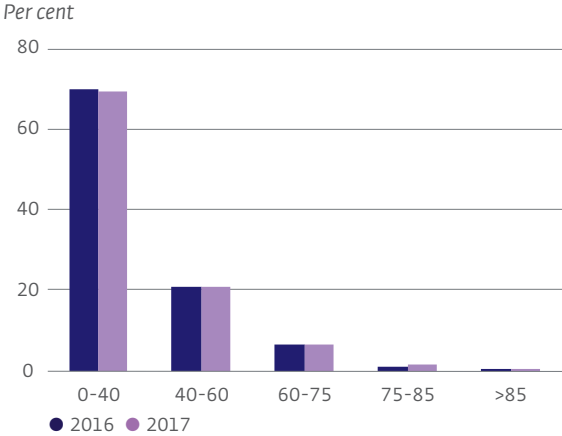
The figure on the left shows an object-oriented distribution of the Norwegian mortgage portfolio. That is, all loans associated with the same property are included in the calculation, and the total lending volume per security object is placed in the same loan ratio.

Loan-to-value ratio by collateral, retail mortgage loans, granted volume



Alternatively, the loan-to-value ratio can be presented as portions of the loans distributed among LTV intervals. The figure on the right shows the distribution of residential mortgage loans among LTV intervals. As an example, a loan with an LTV of 65 per cent would be placed in the first three intervals. The portion of the loan that is within 40 per cent of the home’s value is put in the interval 0 to 40, twenty per cent of the loan is placed in the interval 40 to 60 and the remaining 5 per cent is put in the interval 60 to 75. In 2017 approximately 91 per cent of the approved volume was within 60 per cent of the market value of the homes.

Loan-to-value ratio, distributed by LTV intervals, retail mortgage loans, granted volume



COMMERCIAL REAL ESTATE

Commercial real estate (CRE) credits accounts for NOK 185 billion, or roughly 10 per cent of DNB's total credit portfolio, measured by EAD. The portfolio consists of office premises to let, shopping centres/retail premises, hotels and logistics properties. The portfolio of residential property, which came to NOK 91.3 billion at the end 2017, is not included here. In 2017, NOK 4.5 billion in loans was sold to DNB Livsforsikring AS.

The bond market is an increasingly important source of funding, and property companies in Norway issued a record-high volume of bonds in 2017. The Norwegian bond market amounted to NOK 33 billion at the end of the year.

DNB finances projects and properties with stable, predictable cash flows. The liquidity of the property, the term of the leases, the lessees and residual value are central elements in assessments to determine which projects will be financed. Financing for construction

Development in CRE portfolio, EAD

NOK billion



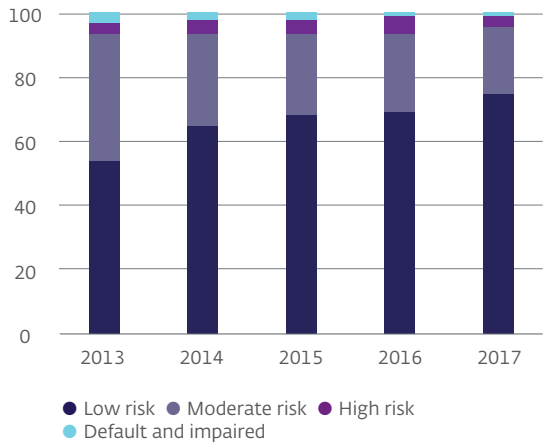
projects may be granted if a sufficient proportion of the building area has been pre-sold or pre-let.

The commercial real estate portfolio was reviewed in 2017 and the internal segment codes were tidied. This led to a reduction of the volume because some of the exposure that was previously erroneously classified as "other commercial real estate" is now reported as residential property. Aside from that, the volume of loans and credits secured by mortgages on commercial real estate was virtually unchanged during the year.

The credit quality was somewhat improved during the year, and 96 per cent of the portfolio was classified as either low or moderate risk at the end of 2017. The volume of non-performing exposure was reduced and came to 0.6 per cent of the portfolio, as compared to 1.5 per cent the year before.

Development in credit quality, CRE portfolio

Per cent



OIL-RELATED PORTFOLIO

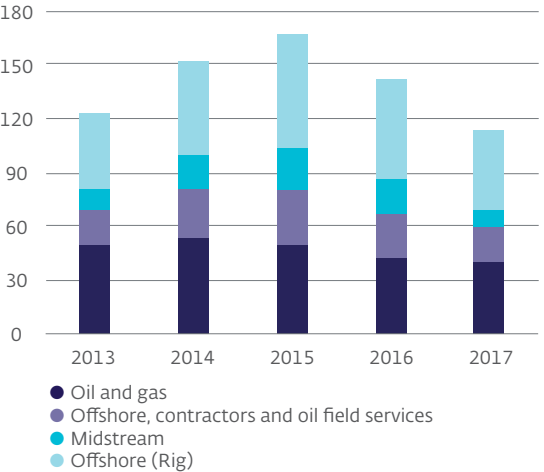
DNB has been a bank for oil-related industries since the 1970s. The portfolio is well-diversified with respect to both sub-sectors and geography. The aim is to have a low-risk portfolio consisting of exposures to financially sound companies.

At the end of 2017, there were indications that the prospects for oil service, and offshore in particular, will improve, partly due to an expected increase in investments on the Norwegian continental shelf as of 2019.

The volume in this segment was reduced by 20 per cent in 2017 to NOK 113 billion at year-end. The portfolio has declined by roughly 33 per cent in the last two years. This is in line with DNB's strategy of reducing risk concentrations in volatile industries.

Development in oil related portfolio, EAD

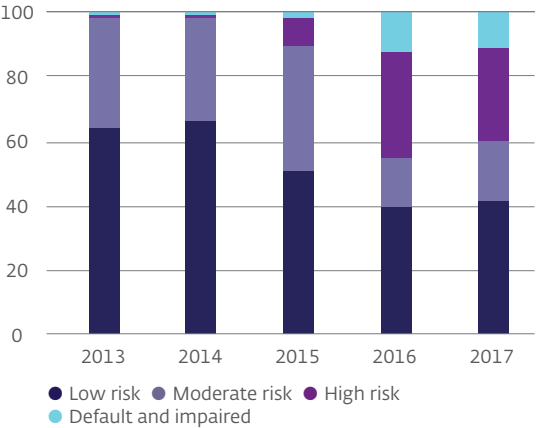
NOK billion



In 2017, measured by EAD, 6 per cent of DNB's credit portfolio was oil-related. The percentage of high-risk exposure in the oil-related portfolio has been substantial in the last two years, but the trend stabilised in 2017 and there were indications of an improvement of credit quality towards the end of the year. At year-end, 60 per cent of this portfolio was classified as low or moderate risk. The percentage of non-performing and doubtful exposures has shrunk by 2.1 percentage points to 11.4 per cent since 2016.

Development in credit quality, oil related portfolio, EAD

Per cent



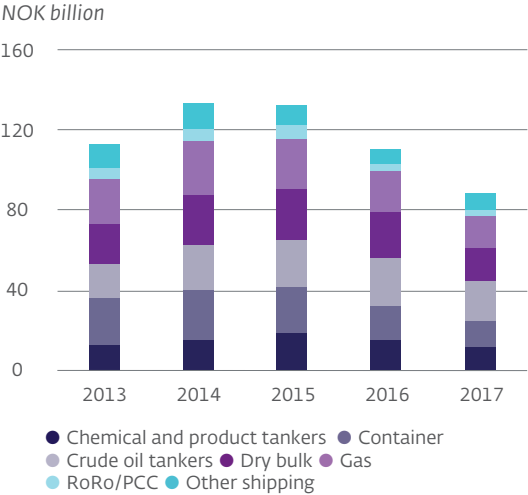
SHIPPING

DNB is one of the world’s leading ship financing banks and is active in this sector all over the world. Since shipping is a highly cyclical industry, analyses and close monitoring are very important.

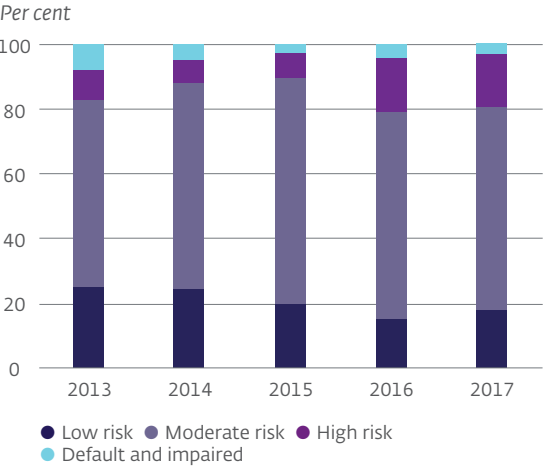
Downsizing of the portfolio continued in 2017. The portfolio was reduced by 20 per cent during the year. At the end of 2017 the shipping portfolio comprised NOK 88 billion, or 4.7 per cent of DNB’s credit portfolio.

Some segments in the shipping industry have been through a challenging period and the proportion of high-risk exposure in the portfolio consequently increased. The trend reversed in several of these segments in 2017, which led to some improvement of the credit quality. The non-performing and doubtful exposure was reduced by 1.1 percentage points in 2017 and came to 3.2 per cent of the portfolio at the end of the year. The reduction was mostly due to exposures being returned to performing status. At the end of the year, 80 per cent of the portfolio was classified as low or moderate risk.

Development in the shipping portfolio, EAD



Development in credit quality, shipping portfolio, EAD



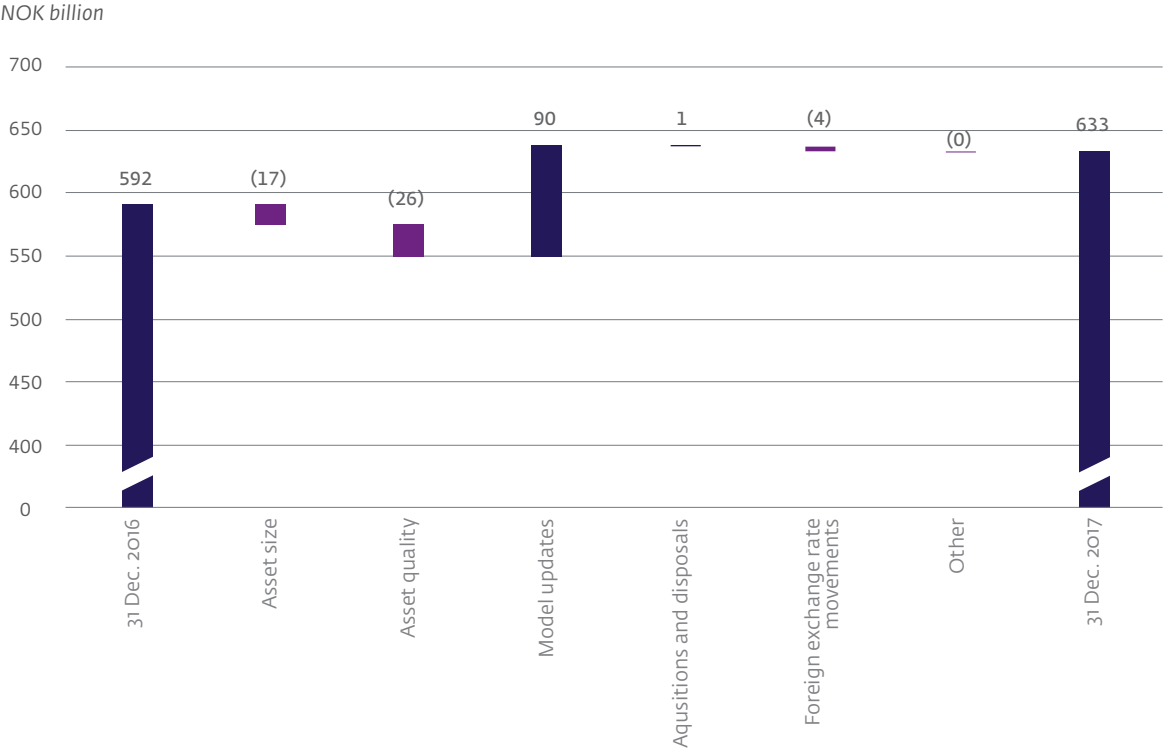
CAPITAL REQUIREMENTS FOR CREDIT RISK

The total capital requirement for credit risk in the DNB Bank Group at the end of 2017 came to NOK 70.7 billion, an increase of NOK 5.0 billion compared to the year before. NOK 2.1 billion of this increase was related to the standardised approach portfolio and NOK 2.9 billion was related to the IRB-approved portfolio.

The figure shows the change of the risk-weighted assets in the credit portfolio in the DNB Bank Group that is reported by means of the IRB approach, broken down into the underlying explanations for the changes. The reduction of the credit volume in 2017 corresponded to a NOK 17 billion decline in risk-weighted assets. Most of this reduction was due to rebalancing of the large corporate portfolio. In addition, a number of non-performing exposures in the large corporate portfolio were reinstated to current status, which reduced RWA by another NOK 26 billion. The increase in RWA is due to changes of models,

more specifically upward revision of the LGD level in the large corporate portfolio. The calibration levels in the LGD models were temporarily raised pending completion of an analysis and recalibration of the LGD models. In isolation this adjustment increased RWA by NOK 90 billion.

Development in risk weighted assets, credit risk, IRB-portfolio



*Excluding investments in securitisation

Specification of risk-weighted assets and capital requirements, credit risk, DNB Bank Group

NOK million	Nominal exposure	EAD	Average risk weights in per cent	Risk weighted assets	Capital requirement 31 Dec. 2017	Capital requirement 31 Dec. 2016
IRB approach						
Corporate	964 724	790 118	55.7	439 960	35 197	32 619
- of which SME	204 074	176 740	44.3	78 341	6 267	6 194
Specialised Lending (SL)	11 582	10 645	53.3	5 676	454	356
Retail - mortgage loans	748 668	748 668	22.1	165 245	13 220	12 465
Retail - other exposures	99 660	85 663	25.5	21 812	1 745	1 901
Securitisation	9 613	9 613	81.4	7 827	626	937
Total credit risk, IRB approach	1 834 246	1 644 706	38.9	640 519	51 241	48 279
Standardised approach						
Central government	107 116	76 481	0.1	74	6	7
Institutions	286 838	142 630	29.0	41 400	3 312	2 243
Corporate	174 572	141 048	87.0	122 703	9 816	8 799
Retail - mortgage loans	58 925	56 340	49.0	27 588	2 207	1 805
Retail - other exposures	117 871	47 773	77.0	36 765	2 941	2 939
Equity positions	8 049	8 048	102.9	8 281	662	703
Securitisation	0	0	0	0	0	41
Other assets	10 880	10 880	58.9	6 410	513	859
Total credit risk, standardised approach	764 251	483 198	50.3	243 221	19 458	17 395
Total credit risk	2 598 497	2 127 905	41.5	883 739	70 699	65 674

OVERVIEW OF CREDIT EXPOSURES

The following terms are used to describe credit exposure:

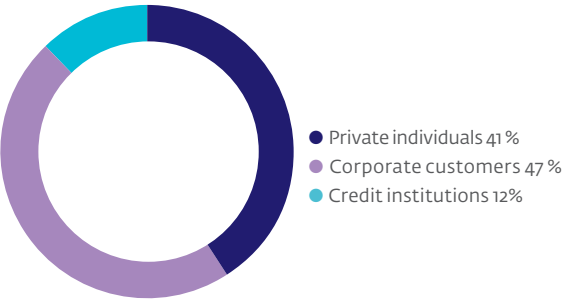
- Net exposure is the net nominal amount of exposure after impairment losses and write-offs. Exposures towards banks and bonds held to maturity are included. The activities in the Baltics are excluded. The exposures differs from exposures shown in tables which displays risk weighted assets and capital requirements where the exposures are before any allowance/impairments but after considering write-offs.
- Gross exposure is the gross nominal amount of on- and off-balance-sheet exposure before impairment losses and netting. As in net exposures the exposures towards banks and the portfolio held-to-maturity are included, while the activities in the Baltics are excluded.

NET EXPOSURE BY CUSTOMER SEGMENT, INDUSTRY AND COUNTRIES

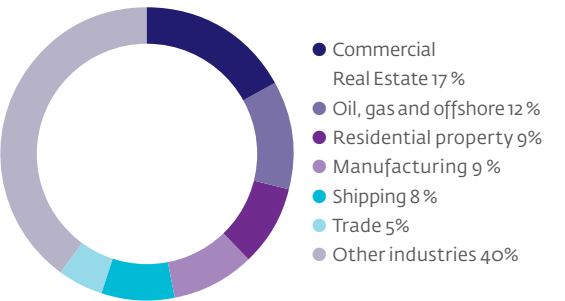
The DNB Bank Group's net exposure came to NOK 2 200 billion at the end of 2017, down by NOK 2.2 billion from year-end 2016. The figures show net exposure broken down by customer segment, industry and country. Most of DNB's credit portfolio is linked to Norway or Norwegian customers. Norwegian-related exposures accounted for 70 per cent of the portfolio at year-end 2017. 41 per cent of the total credit exposure consisted of loans or credit to personal customers.

The business loan portfolio is well diversified among different industries. Commercial real estate is the predominant industry and accounted for 17 per cent of the portfolio at the end of the year. More detailed information can be found in the attachment.

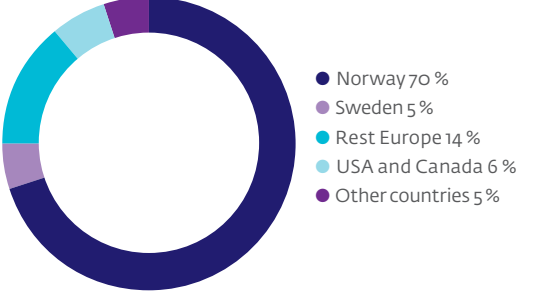
Net exposure split by customer segments, DNB Bank Group, 31 December 2017
Per cent



Net exposure, corporate portfolio split by industry segments, DNB Bank Group, 31 desember 2017
Per cent



Net exposure split by geography, DNB Bank Group, 31 December 2017
Per cent



GROSS CARRYING AMOUNT WITH FORBEARANCE MEASURES

Forborne exposure is a credit whose terms and conditions have been changed in a manner that would not have been approved if the customer had not had financial problems. This includes non-performing and performing exposures. The object of forbearance is to help customers get through financially challenging periods and the customers are expected to meet their obligations at a later date. Forbearance is an element of DNB's strategy for limiting losses. The most common forms of forbearance are:

- Changing the term of the loan
- Refinancing
- Debt forgiveness, including forgiveness of overdue interest payments
- Deferment of overdue interest payments

Procedures for handling these exposures have been incorporated in the credit process. Operative guidelines have been prepared describing the procedures in the line organisation for identifying, analysing, approving and tagging forbearance cases in the system.

Since 2014, the bank has reported forborne exposures to Finanstilsynet. The DNB Bank Group's total exposure including forborne exposure came to NOK 44.3 billion at year-end 2017.

Total forborne exposure increased by NOK 3.8 billion in 2017. Non-performing exposure was reduced by NOK 1.5 billion in the course of the year. A substantial portion of this reduction was due to restructuring and the reinstatement of non-performing exposure to current status. Forborne but still performing exposure increased by NOK 5.2 billion in 2017. This was largely because of the reinstatement of restructured exposures to performing status.

Gross carrying amount with forbearance measures, DNB Bank Group

NOK million	31 Dec. 2017	31 Dec. 2016
Exposures with forbearance measures not in default	30 134	24 906
Exposures with forbearance measures in default	14 176	15 648
Total exposures with forbearance measures	44 310	40 554

IMPAIRMENT AND DEFAULTS

The term default as used here is based on the accounting definition (IFRS). According to this definition exposures that have been restructured to avoid default are performing. For a more detailed definition of default, see the text box at the beginning of the chapter.

If a loss event occurs that gives objective proof of a reduced future cash flow for servicing a loan, DNB must promptly consider whether an impairment loss should be recorded. Loss events include:

- Serious financial problems
- Default or other material breaches of contract
- The approval of deferred payment or new credit to pay instalments
- Renegotiation of interest rates or other loan terms due to financial problems or the likelihood that the borrower will enter into debt negotiations
- Other financial restructuring, or if the borrower is subject to bankruptcy or winding up procedures

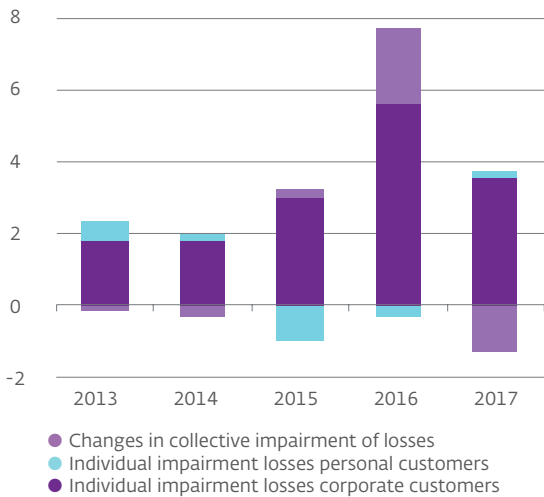
Impairment is calculated as the difference between the value of the loan in the balance sheet and the net present value of estimated future cash flows discounted by the internal rate of return on the loan, which is the bank's funding cost plus the original margin and amortised fees.

Net individual and collective impairment losses

The DNB Bank Group's net impairment losses on loans and guarantees came to NOK 2.4 billion in 2017. Net individual impairment losses on loans and guarantees came to NOK 3.7 billion, NOK 1.6 billion less than in the preceding year. Most of the individual impairment losses were in the large corporate portfolio and were linked to individual customers in different industries. Individual impairment losses in the oil-related portfolio came to NOK 1.8 billion.

Loans which have not been individually evaluated for impairment are evaluated in groups. This is called collective assessment of impairment. Loans are grouped according to similarities in risk and value characteristics, based on industries and risk categories. DNB uses a model that estimates the need for impairment per industry based on changes in portfolio quality and macroeconomic trends. Just like individual impairment assessments, collective impairment assessments are based on discounted cash flows. The discount factor is determined on the basis of statistics derived from individual impairments. DNB uses economic trends in selected industries as objective evidence for collective impairment. This calculation is based on real estate leasing levels, oil price, salmon price, output gap, shipping indices and the development in housing prices. Collective impairment allowances reduce the value of loans and guarantees in the balance sheet, and changes during the period are

Development in net impairment losses, DNB Bank Group
NOK billion

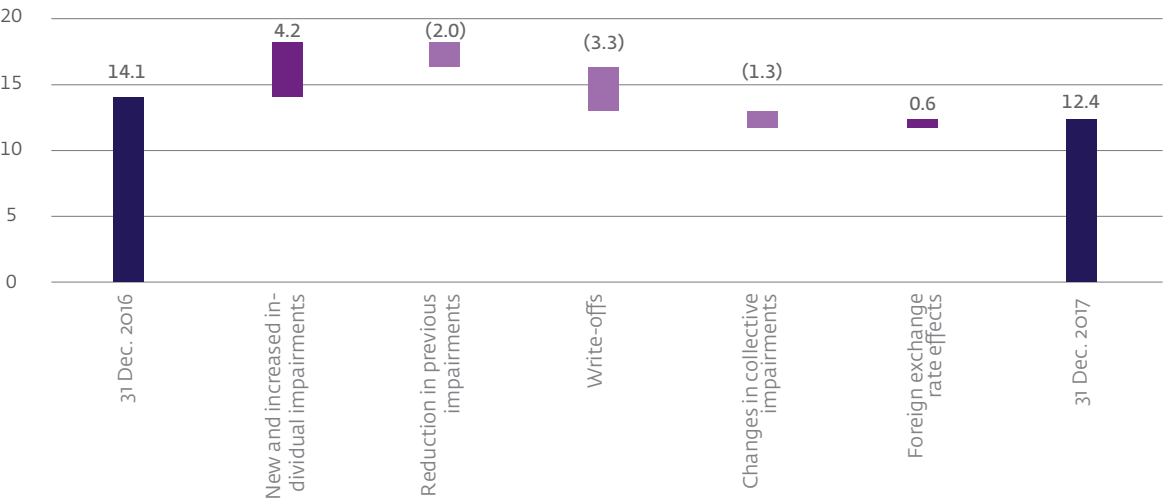


recorded under «Impairment of loans and guarantees». Collective impairment losses declined by NOK 1.3 billion in 2017. The decline was due to positive development in the credit portfolios, the transition to individual impairment assessments and more favourable economic conditions for the shipping and offshore industries.

DNB is well-positioned to meet new regulatory requirements after the implementation of IFRS 9. The effect of implementing IFRS 9 is estimated to come to NOK 2 billion after taxes and IFRS 9 is expected to reduce DNB's common equity Tier 1 capital ratio by roughly 28 basis points. DNB does not plan to apply the transitional capital requirement rules issued by Finanstilsynet.

Accumulated impairment losses on the DNB Bank Group's balance sheet
The figure below shows the change in accumulated impairment losses on the balance sheet, including collective impairment losses from year-end 2016 to the end of 2017. Impairment losses linked to operations in the Baltic are not included in the figures for year-end 2017. Accumulated impairment losses were reduced by NOK 1.7 billion and came to NOK 12.4 billion at the end of the year. New and increased impairment losses amounted to a total of NOK 4.2 billion in 2017, NOK 1.7 billion less than in 2016. The increase was partly related to the offshore portfolio but mostly linked to a few large individual exposures. The reduction of impairment losses from previous years and write offs of confirmed losses came to a total of NOK 5.3 billion. Write-backs of previous collective impairment losses came to NOK 1.3 billion.

Development in accumulated impairment losses, DNB Bank Group
NOK billion

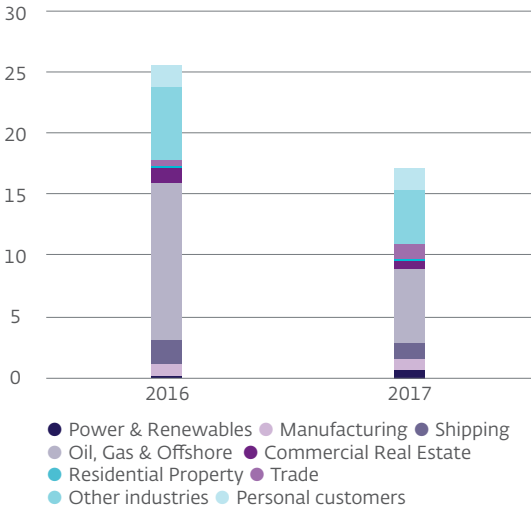


Net non-performing and doubtful exposures

Net non-performing and doubtful exposures in the DNB Bank Group declined by NOK 8.4 billion in 2017 and amounted to NOK 17.3 billion at year-end. This corresponds to 1 per cent of the loan portfolio. Deconsolidation of the operations in the Baltics accounted for NOK 2.2 billion of the reduction. The figure below shows the distribution of net non-performing and doubtful exposures by customer group and industry. More detailed information can be found in the attachment to the report.

Net non-performing and defaulted exposures, DNB Bank Group

NOK billion



Past due exposures not subject to impairment, gross carrying values, 31 December 2017

NOK million	Less than 30 days	0 to 60 days	60 to 90 days	90 to 180 days	180 days to 1 year	More than 1 year
Loans	11 186	2 005	516	2 216	5 097	5 001
Debt securities	0	0	0	0	0	0
Total exposures	11 186	2 005	516	2 216	5 097	5 001

Gross past due loans and overdrafts

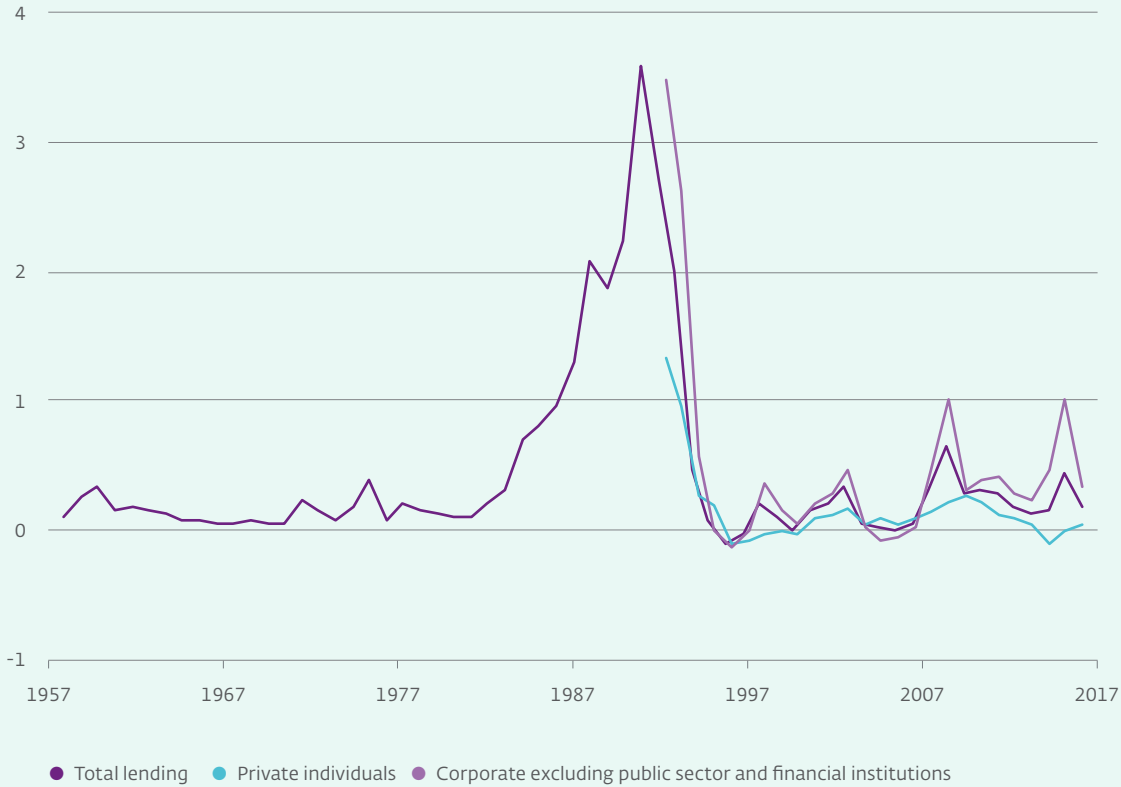
The table below shows past due amounts on loans and overdrafts on credit lines/deposit accounts broken down by the number of days after the due date. Past due loans and overdrafts on credit lines/deposit accounts are subject to continual monitoring. In cases where it has been determined that the customer's payment ability is likely to deteriorate, the exposure is assessed for impairment. When the assessment is that there is no need for impairment the main reason for this is that the value of the pledged collateral exceeds the outstanding balance on the loan. The volume of past due loans and credit lines that were overdrawn for than 90 days decreased last year. This decrease reflects the gradual improvement in the oil related industries.

DEVELOPMENT IN ANNUAL NET IMPAIRMENT LOSSES

The diagram shows the development in net annual impairment losses for the period 1957-2017. As of 1992, net impairment losses are also broken down on personal customers and corporate customers, excluding the public sector and financial institutions. The period from 1987 to 1993 is referred to as the Norwegian banking crisis and was characterised by much higher impairment losses than normal. Other years that stand out were 2009, when the financial crisis led to increased losses, inter alia linked to operations in the Baltics, and 2016 when DNB was compelled to record substantial impairment losses on the oil-related portfolio.

Net impairment losses per year, 1957 - 2017

Per cent



INTERNAL MEASUREMENT METHODS (IRB)

DNB started using internal risk models in 1995. The bank received its first formal permission to use the IRB approach in early 2007. Most of the risk models used in the bank's IRB system have now been approved by Finanstilsynet. The calculations from the IRB system are fully integrated in the bank's internal management tools. DNB only uses the advanced IRB (AIRB) approach for its corporate portfolios. The foundation IRB (FIRB) is not used by DNB. There is no distinction between AIRB and FIRB for retail.

The IRB approach is used for most of the companies in the corporate portfolio to which the DNB Bank Group has exposure. The standardised approach is used for housing cooperatives and newly-founded businesses. The exposures in the Baltic countries and Poland are also reported by means of the standardised approach. Retail, which mostly consists of DNB's residential mortgage portfolio, is reported using the IRB approach. The exceptions are Private Banking and exposures in the Baltic countries and Poland, which are reported by means of the standardised approach. The retail - other exposures portfolio largely consists of credit cards. Securitisation is investments in securitisation held to maturity. Both are reported using the IRB approach.

The purpose of the IRB regime is to ensure sound risk management and fulfilment of capital adequacy requirements. This calls for high quality and transparency throughout the value chain. The Board of Directors assesses the need for capital on the basis of risk measurements and an overall evaluation of operating parameters and business and strategic targets. All links in the value chain must be validated to determine whether the authorities' requirements and internal quality requirements have been met. The validation will thus both verify the adequacy of the system and identify needs for improvement.

Reporting methods for credit portfolios in DNB

Asset class	Main reporting method
Corporate and Specialised Lending (SL)	AIRB
Retail - mortgage loans	IRB
Retail - other exposures	IRB
Securitisation	AIRB
Governments and central banks	Standardised approach
Institutions	Standardised approach
Equity positions and other assets	Standardised approach

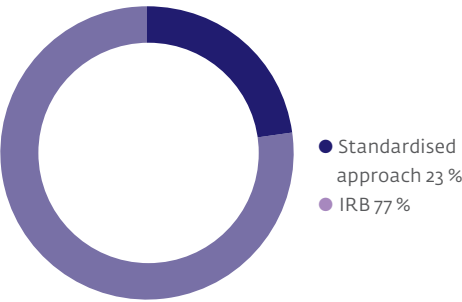
A standard has been established for the decision-making process for risk classification and quantification models that sets out the guidelines for all work on classification models in DNB. Suggested changes and new models must be presented to the Group Advisory Credit Committee (GACC) for consideration and any changes must thereafter be approved by the Chief Risk Officer (CRO). Affected parties are expected to have been involved in the process and to have been able to make suggestions along the way. The independent unit in charge of validating the IRB models also needs to

do an assessment before any decision is made. Group Audit is not involved in the development of IRB models but prepares an annual IRB compliance report. Group Audit normally does an independent assessment when applications for new IRB models are submitted.

In its circular 3/2015, Finanstilsynet specified the changes of models for which permission must be requested and the ones that are subject to a duty of notification or must be reported afterwards.

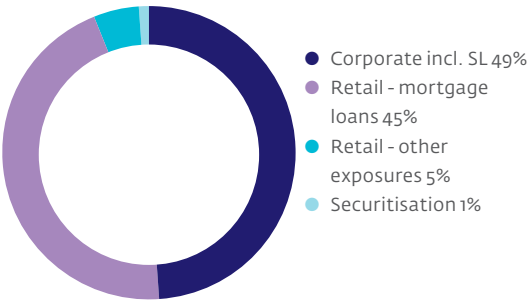
EAD broken down by credit measurement approach, 31 December 2017

Per cent



Asset classes in IRB portfolio, EAD, 31 December 2017

Per cent



The table above shows the reporting methods used for the different credit portfolios in DNB, distributed among asset classes.

The figure on the bottom left shows the proportions of DNB's portfolio which were reported by means of the different methods as per 31 December 2017. The figure on the right shows the distribution of asset classes in the IRB portfolio. Measured by EAD, 77 per cent of the portfolio was reported according to IRB models at year-end 2017, compared to 79 per cent at year-end 2016.

THE MOST IMPORTANT AREAS OF APPLICATION FOR THE IRB MODELS ARE:

- Capital adequacy calculations
- Decision-support in the credit process
- Setting limits in the risk appetite framework and credit strategies
- Risk measurement and ongoing reporting
- Pricing risk and measuring portfolio profitability

RISK CLASSIFICATION

DNB divides its performing credit portfolio into ten risk grades based on the PD for the exposures. The risk classification should reflect the long-term risk on the customer and the exposure. Non-performing and doubtful exposures are assigned a PD of 100 per cent.

RISK CLASSIFICATION MODELS

DNB's models for classifying risk on individual customers are adapted to industries and segments and are updated if calibrations show that their explanatory power has diminished over time.

DNB's models reflect the fact that different variables give the best explanations for risk in different portfolios. As far as possible, DNB's IRB models are developed on the basis of historical data using statistical methods. This is the case for the models used for residential mortgages and small and

medium-sized enterprises. There tends to be less and less available data the farther we go back in time. A distinction is therefore made between the underlying data for developing models and the data used for calibrating them. The historical data used in connection with calibration covers a longer period of time that includes a major economic slump.

There are fewer customers and few defaults in the large corporate portfolio. These models are therefore developed as expert models, where adjustments of the models are based to a greater degree on expert assessments than on observed defaults. DNB also uses data from Global Credit Data (GCD) and has been a member since 2008. GCD is a non-profit organisation owned by 53 member-banks that collects important default data from member banks and has the world's biggest corporate loan-loss databases. The data can be used by member banks to improve their internal credit models and compare the observed default frequencies, LGD or EAD of different banks.

The PD level in the models should reflect the expected average default frequency over a full business cycle. By the same token, the EAD and LGD models should reflect exposure at default and loss given default during an economic slump. DNB is required to include the Norwegian banking crisis in the period 1988-1993 in the underlying data for calibrating models.

DNB's PD models give a cross between completely stable and anticipatory estimates. In the context of risk reporting and internal governance it is advantageous for the PD models to capture changes in risk reflecting the economic situation. On the other hand, major fluctuations of the capital adequacy requirement from month to month are not desirable. An uncertainty factor is added to the PD estimate to increase the probability that the models do not underestimate the risk over time.

Finanstilsynet has stipulated that, in practice, PD in the large corporate portfolio should provide a virtually invariable capital requirement that is not sensitive to cyclical fluctuations. In addition, a floor has been set for LGD which makes the models more conservative.

Finanstilsynet has set requirements for the PD level in the residential mortgage portfolio by defining the level during recessions in addition to weighting good and bad economic periods. In addition, there is a minimum PD requirement of 0.2 per cent for all credit agreements. Finanstilsynet has also issued requirements for LGD levels. As a result of these requirements, the risk-weights for the residential mortgage portfolio are much higher than they would have been if they had been based on internal calculations of PD and LGD.

The risk models are also used in internal processes and DNB wants the models to maintain the ability to pick up on changes of the risk situation. Finanstilsynet consequently gave DNB permission to use two sets of risk parameters for the large corporate portfolio and the residential mortgage portfolio. The internal risk models are more risk-sensitive and should be able to give both higher and lower levels than what is assumed in the calculation of capital adequacy.

Models used in IRB reporting at year-end 2017
No new models were implemented in 2017. Several models have been developed but need to be approved by Finanstilsynet before they can be implemented. This applies to PD models for object and accounts receivable financing and the small enterprise segment, and an EAD model for all corporate customers.

The calibration levels in the LGD models for large corporates were temporarily adjusted upward in 2017. In parallel with this, work started on updating the calibration levels in the PD and LGD models for large corporate customers.

The tables on the next page show the most important models used in DNB that are approved for IRB reporting together with a brief description of each model. Comments are included where models have been adjusted to meet requirements issued by Finanstilsynet. For a full overview of all the IRB models used by DNB, please see the attachment.

DNB's credit risk classification

Risk grade	From PD	To PD	Moody's	Standard & Poor's
1	0.01	0.10	Aaa - A3	AAA - A÷
2	0.10	0.25	Baa1 - Baa2	BBB+ - BBB
3	0.25	0.50	Baa3	BBB÷
4	0.50	0.75	Ba1	BB+
5	0.75	1.25	Ba2	BB
6	1.25	2.00		
7	2.00	3.00	Ba3	BB÷
8	3.00	5.00	B1	B+
9	5.00	8.00	B2	B
10	8.00	Defaulted *	B3, Caa/C	B÷, CCC/C

* PD in risk grade 10 goes to maximum 40 per cent

Models approved for capital adequacy calculations (IRB)

PD models

Commitment category	RWA, NOK billion	Number of models	Model description and method	Number of years of loss data	Requirements from Norwegian FSA
Corporate, large corporates scorecard	273	3	Scorecard models based on expert evaluations combined with a statistical approach. Expert evaluations are an essential amendment as the bank has too few observed defaults in the portfolio to rely exclusively on statistics. The models include both quantitative and qualitative risk drivers, and the bank has separate scorecards for shipping and acquisition financing. The Norwegian banking crisis during the early 90s is taken into account when calculating the long-term calibration level, while the recent shipping crisis sets the extrem economic downturn for this scorecard. The models are divided by industry segments.	>10 years	Level determined based on a formula from the Norwegian FSA (Finanstilsynet)
Corporate, large corporates simulation	42	3	Simulation models are used for companies like SPVs (Single Purpose Vehicle) where the main source of debt servicing is income generated by the entity's assets. Possible future scenarios are randomly generated based on a set of risk drivers. The simulated PD is then adjusted by qualitative factors based on a scorecard approach. The models are based on industry segments. The Norwegian banking crisis during the early 90s is taken into account when calculating the long-term calibration level. The models are divided by industry segments.	6-10 years	Level determined based on a formula from the Norwegian FSA (Finanstilsynet)
Corporate, SME	83	5	Statistical scorcard models based on industry segment and size, to ensure that variables and critical values may vary between different segments. Accounting data are included, as is some behavioural indicators. The Norwegian bank crisis during the early 90s is taken into account when calculating the long-term calibration level.	>10 years	
Retail, residential mortgages	165	2	Statical regression models using information regarding the customer's financial position, demography, and payment record. The calibration level is set by the Norwegian FSA (Finanstilsynet), with minimum requirements for to AIRB parameters for retail mortgage portfolios. The models are divided by new or existing customer.	>10 years	Limit (floor) determined based on a formula from the Norwegian FSA (Finanstilsynet)

LGD models

Commitment category	RWA, NOK billion	Number of models	Model description and method	Number of years of loss data	Requirements from Norwegian FSA
Corporate, large corporates general	309	3	Scorecard models based on expert evaluations combined with a statistical approach. Expert evaluations are an essential amendment as the bank has too few observed defaults in the portfolio to rely exclusively on statistics. The input includes seniority, covenants and collateral. The Norwegian banking crisis during the early 90s is taken into account. The downturn period is set by the Norwegian FSA (Finanstilsynet). The models are divided by industry segments.	6-10 years	
Corporate, large corporates SPV (Single Purpose Vehicle)	51	3	Simulation models are used on companies like SPVs where the main source of debt servicing is the income that is generated by the entity's assets. Possible future scenarios is randomly generated based on a set of risk drivers. The model identifies under which scenarios the cash flow are not sufficient to cover the entity's debt obligations. These scenarios are used to calculate the LGD. The downturn calibration level is set in light of the Norwegian banking crisis during the early 90s. The models are divided by industry segments.	6-10 years	Limit (floor) determined based on a formula from the Norwegian FSA (Finanstilsynet)
Corporate, SME	85	3	Statical scorecard models where collateralisationis a key explanatory variable. In the model, the downturn calibration is set in light of the Norwegian banking crisis during the early 90s. The models are divided by industry segments.	6-10 years	
Retail, residential mortgages	165	1	Classification model based on demographic information and collateral values. The calibration level is set by the Norwegian FSA (Finanstilsynet) with minimum requirements for to AIRB parameters for retail mortgage portfolios.	>10 years	Limit (floor) determined based on a formula from the Norwegian FSA (Finanstilsynet)

EAD models

Commitment category	RWA, NOK billion	Number of models	Model description and method	Number of years of loss data	Requirements from Norwegian FSA
Corporate	446	2	Model combining expert evaluations and a statistical approach to determine credit conversion factors. Expert evaluations are chosen where the bank does not have a sufficient number of defaults in the portfolio to calculate the credit conversion factors. The models are divided by size.	6-10 years	
Retail, residential mortgages	165	1	Credit conversion factors estimated using statistical methods.	6-10 years	

VALIDATION

Validation is a key element in the quality assurance of DNB's IRB system. According to the capital adequacy regulations and DNB's Standard for Validation, a validation report must be presented to the Board of Directors at least once a year as a basis for assessing whether the Group's credit risk is adequately classified and quantified.

Quantitative validation involves testing the models' discriminatory power and ability to determine the correct level (calibration) of risk parameters for all portfolios on which there are sufficient statistics for this. The discriminatory power is the PD model's ability to differentiate between customers that are likely to default on their loans and the ones that are unlikely to do so. If there is insufficient data for testing purposes, the models are validated to a greater extent on the basis of the use and diversity of the input parameters. The ranking ability of the model is dependent on sufficient variation in customers' exposures to the different risk parameters in the model. If the customers are classified more similarly than was assumed when the model was developed, the value of the individual risk parameters will be reduced, and the model's ranking ability will be weakened. This may indicate a need to change the model and find new risk parameters that are more effective for differentiating between good and bad customers.

When evaluating the LGD models, DNB employed methods to test the model's ability to predict which exposures the Group will incur large losses on and the ones on which significant losses are not anticipated.

The calibration level is validated by means of tests to determine whether the risk parameters have been set at the right level. The criterion for determining this is whether predicted values are consistent with observed outcomes, or whether deviations are anticipated or acceptable given the phase of the business cycle at the

time in question.

The predicted default frequency is meant to express the estimated average during a full economic cycle. The tests are therefore based on the maximum number of periods available for the individual model or portfolio. The LGD level should reflect the loss severity in a recession lasting several years. Over a normal period of several years, the average observed loss severity should thus be lower than the predicted LGD. The same applies to predicted EAD.

In the qualitative validation, both the design of the IRB system and the IRB process are tested. Validating the design of the IRB system involves reviewing the underlying assumptions in the IRB models, including the development of the classification method, data quality,

stability and documentation. Furthermore, checks are carried out to make sure that the IRB system is in conformity with internal and statutory requirements. Checking how the risk models are used in decision-making processes and external reporting is thus an important part of the qualitative validation.

Comparison of risk parameters with actual outcomes

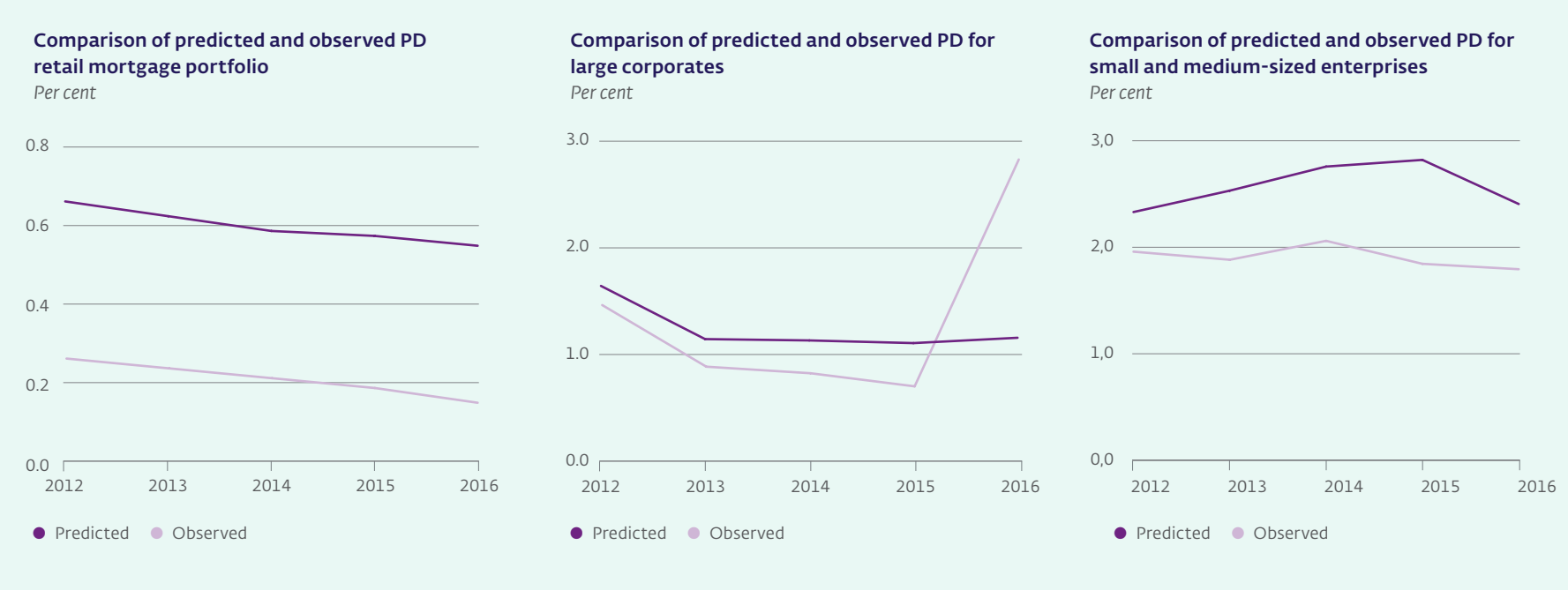
The validation results for 2017 are being processed and will be considered by the Board in July 2018. After they have been approved, they will be posted in the attachment to this report. The comments and figures in this text are based on those in the report for 2016.

The validation report showed that most of the models have good predictive ability.

The observed default frequency has been lower than expected for residential mortgage loans throughout the period. The predicted values for commercial loans and other retail exposures were also higher than the observed default frequency in the period.

The observed default frequency among large corporate customers is volatile because there are so few defaults in the portfolio. There have been twice as many defaults in the last year as there were in the year before. A large proportion of the defaults are related to shipping, oil and gas-related industries, which have all been through a very rough period.

Different conversion factors are used for the various types of products that are included when the predicted EAD is calculated. EAD for binding offers is based on

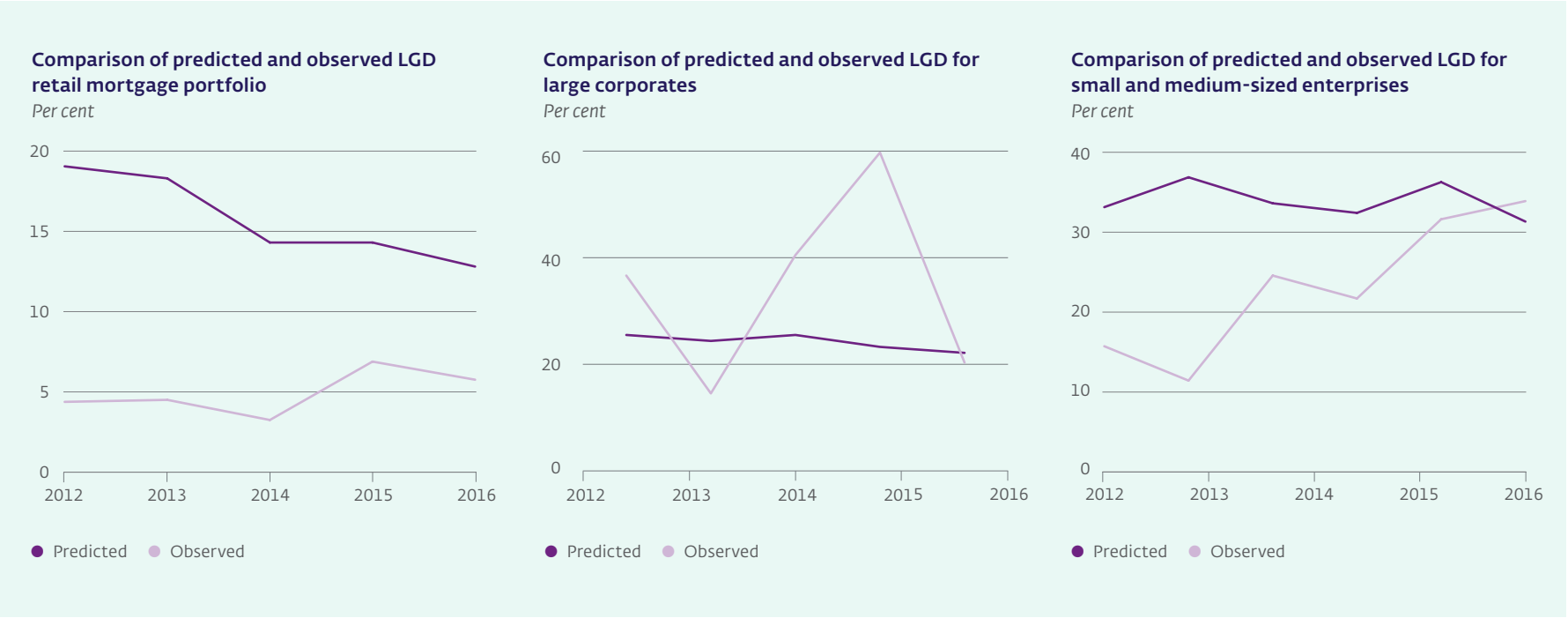


a set acceptance ratio calculated on the basis of the previously registered percentage of customers that have accepted offers from the bank. Assessments of the conversion factors for EAD are based on observed exposures at default relative to the associated predicted EAD 12 months prior to the time of default. There is not enough underlying data on the large corporate customers to do a statistically robust assessment of the predicted EAD.

The LGD table in the attachment shows the predicted volume-weighted severities at the beginning of the year compared with the observed volume-weighted severities for defaults that occurred in the course of the year in the period from 2012 to 2016. The predicted values are based on the non-performing and doubtful portfolio, which normally gives an average that is higher than the average for the entire portfolio. The large corporate portfolio is an exception, as the predicted values there are the average for the entire performing portfolio at the beginning of the year.

The figures to the right show the validation results for some of the LGD models.

The observed loss severity is much lower than the loss at default predicted by all the models in the personal customer segment. The observed loss severity in the corporate portfolio has been high for the last two years because a large percentage of the customers are still in default, which entails high loan loss provisions. For the time being, the severity is thus an uncertain estimate which will change until the defaults are resolved. The estimated loss severity for large corporate customers for the last three years is especially uncertain. In this portfolio, the estimated severity is only known for 16 per cent of the defaulted volume. The predicted severities have been proven to be too low relative to their calibration levels in some of the sub-portfolios. New levels for both PD and LGD have consequently been proposed and are awaiting Finanstilsynet's approval.



TOTAL EXPOSURE FOR APPROVED IRB PORTFOLIOS

NOK 1 635 billion, which corresponds to 77 per cent of DNB's credit portfolio, was reported according to the IRB approach at the end of 2017. The IRB portfolio largely consists of business loans and residential mortgages (retail, mortgage on real property). The most important key figures for these portfolios are shown below. The key figures for other IRM portfolios can be found in the attachment.

The risk parameters DNB uses to measure risk in the large corporate and residential mortgage portfolios are different from the ones that have been approved for calculating capital adequacy by means of the advanced IRM method. The approved models have mandatory elements that make for more stable capital requirements. More risk-sensitive risk models are preferable for internal management purposes. Internal risk measurements can thus be either higher or lower than the ones used to calculate capital adequacy. The tables on the next pages show key figures from capital adequacy calculations and from internal risk monitoring.

PD DISTRIBUTION IN THE IRB PORTFOLIOS

The tables show the different risk parameters for the IRB portfolios distributed by PD interval in accordance with the EBA's guidelines for Pillar 3 reporting.

Around 11 per cent of the IRB portfolio retail – mortgage loans is in the lowest PD interval for internal reporting. Finanstilsynet has stipulated that credit agreements cannot be assigned a PD of less than 0.2 per cent in connection with the calculation of capital adequacy. In the internal PD reporting, 70 per cent of the portfolio has a PD of less than 0.5 per cent, while the corresponding proportion in the capital adequacy calculation is 43 per cent. There is an equivalent difference for LGD. Finanstilsynet has set a floor of 20 per cent for LGD. The internal LGD figure shows the loss severity calculated

by means of internal models. The calculated LGD for the residential mortgages is less than 10 per cent.

In the corporate portfolio excluding small and medium-sized enterprises (the large corporate portfolio), the volume in the lowest PD interval is 6 per cent higher in the internal risk measurement than the PD used in the capital adequacy calculations. 52 per cent of the internally reported volume has a PD of less than 0.5 per cent, compared to 44 per cent in the capital adequacy calculations. The PD for the total portfolio was lower in the internal reports than in the capital adequacy calculations at the end of the year. Internal PDs were higher in shipping and offshore portfolios. For more information see the table by industry on the next page.

The corresponding figures for other IRB portfolios, the small enterprises portfolio, specialised lending and other retail can be found in the attachment to this report together with corresponding tables for the end of 2016.

The table on the next page shows the distribution of the IRB portfolio by industry.

Total IRB Retail, residential mortgages

	Capital requirement, 31 December 2017				Internal reporting, 31 December 2017			
	EAD, NOK billion	PD, %	LGD, %	Risk weight, %	EAD, NOK billion	PD, %	LGD, %	Risk weight, %
PD 0.00 to 0.15	0.0				80.8	0.11	9	2.4
PD 0.15 to 0.25	80.8	0.20	18	7.8	228.3	0.18	10	3.7
PD 0.25 to 0.50	241.9	0.31	20	11.6	215.8	0.37	10	6.5
PD 0.50 to 0.75	195.0	0.63	20	19.5	75.9	0.62	10	9.8
PD 0.75 to 2.50	178.0	1.37	21	33.2	131.5	1.19	10	14.9
PD 2.50 to 10.00	49.6	3.41	21	57.6	14.4	3.42	11	30.1
PD 10.00 to 100.00	2.0	16.52	22	116.5	0.7	19.49	12	60.6
Performing portfolio	747.4	0.88	20	21.7	747.4	0.53	10	7.5
Defaulted exposures	1.3	100.00	25	217.2	1.3	100.00	14	86.6
Total	748.7	1.06	20	22.1	748.7	0.70	10	7.7

IRB Corporate excluding small and medium-sized enterprises

	Capital requirement, 31 December 2017				Internal reporting, 31 December 2017			
	EAD, NOK billion	PD, %	LGD, %	Risk weight, %	EAD, NOK billion	PD, %	LGD, %	Risk weight, %
PD 0.00 til 0,15	74.6	0.08	32	20.4	110.5	0.08	27	17.5
PD 0.15 til 0,25	64.6	0.20	28	29.2	76.7	0.19	24	23.8
PD 0.25 til 0,50	128.5	0.37	26	35.6	131.3	0.36	22	30.5
PD 0.50 til 0.75	85.5	0.62	24	43.4	65.8	0.60	21	37.7
PD 0.75 til 2.50	145.8	1.29	26	62.1	128.4	1.48	23	56.4
PD 2.50 to 10.00	80.8	4.43	29	98.1	69.4	4.48	26	87.3
PD 10.00 to 100.00	10.8	13.10	30	147.4	8.4	12.54	29	138.6
Performing portfolio	590.6	1.37	27	51.2	590.6	0.53	24	41.9
Defaulted exposures	22.7	100.0	28	255.7	22.7	100.0	27	193.6
Total	613.4	5.02	27	58.8	613.4	4.92	24	47.6

THE IRB PORTFOLIOS BY INDUSTRIES

Total IRB portfolio			Capital requirement, 31 Dec 2017			Internal reporting, 31 December 2017		
NOK million	EAD	EAD defaulted, %	Performing portfolio			Performing portfolio		
			Weighted PD, %	Weighted LGD, %	Risk weight, %	Weighted PD, %	Weighted LGD, %	Risk weight, %
Commercial Real Estate	167 692	0.7	1.01	22	38.4	0.81	21	32.3
Shipping	87 069	3.1	1.84	32	78.6	2.31	27	69.6
Oil, gas & offshore	112 092	11.1	2.58	30	71.0	2.59	26	59.9
Power & Renewables	40 335	5.1	0.50	29	31.6	0.35	26	25.1
Healthcare	32 808	0.0	0.86	24	38.7	0.57	21	29.8
Public, State & Municipality	18 190	2.0	1.18	24	46.4	0.81	22	36.3
Fishing, fish farming and farming	35 121	0.5	1.19	24	37.9	0.97	22	33.4
Trade	40 473	6.8	1.33	29	48.1	1.06	27	40.8
Manufacturing	72 629	2.6	1.09	27	43.8	0.80	25	35.3
Technology, Media and Telecom	35 202	0.5	1.40	32	54.3	0.84	29	41.3
Hotel, cruise & tourism	16 057	0.3	0.80	19	30.6	0.66	17	25.2
Services	35 032	2.0	1.46	27	48.9	1.13	25	41.1
Residential property	51 729	0.9	1.14	21	34.4	1.02	20	37.7
Construction	17 095	5.5	1.55	27	44.7	1.45	26	40.7
Transport road/rail	13 971	1.8	1.03	25	44.1	0.92	23	38.6
Bank, insurance and portfolio management	17 506	0.6	1.45	27	54.0	1.03	25	43.0
Other	7 717	1.1	1.72	29	54.7	1.28	27	45.0
Mortgages	748 669	0.2	0.87	20	21.7	0.52	10	7.5
Other exposures to personal customers	85 663	1.6	1.33	33	24.0	1.33	33	24.0
Total	1 635 039	1.8	1.14	24	35.1	0.91	18	24.8

IRB corporate portfolio, including SMEs, PD by industry segments and countries

	Norway	Sweden	Rest of Europa	North America	Other Countries	Total 2017	Total 2016
Commercial Real Estate	1.01	0.53	1.60	0.22		1.01	1.09
Shipping	2.33	2.03	1.64	1.31	1.51	1.84	1.35
Oil, gas & offshore	2.70	1.22	1.95	2.85	2.56	2.58	2.20
Power & Renewables	0.19	0.41	0.71	0.60	1.30	0.50	0.63
Healthcare	3.80	0.77	0.61	0.71	0.28	0.86	0.90
Public, State & Municipality	1.17	1.32	0.78			1.18	0.86
Fishing, fish farming and farming	0.95	0.37	0.59	3.53	1.54	1.19	1.06
Trade	1.53	0.64	1.00	0.13	11.20	1.33	1.45
Manufacturing	1.53	0.69	0.66	0.78	0.44	1.09	1.01
Technology, Media and Telecom	2.18	1.83	0.89	0.08	0.31	1.40	1.29
Hotel, cruise & tourism	1.30	0.30	1.02	0.55	1.01	0.80	0.77
Services	1.63	0.97	1.46	0.80	1.61	1.46	2.07
Residential property	1.15	0.39				1.14	1.07
Construction	1.66	0.55	0.68			1.55	1.42
Transport road/rail	1.05	0.34	1.14	0.48	0.99	1.03	1.08
Bank, insurance and portfolio management	2.52	0.99	1.04	0.62		1.45	1.59
Other	2.62	0.34	0.42	3.26	0.76	1.72	4.09
Total corporate portfolio	1.41	0.88	1.24	1.67	1.53	1.38	1.35

The table shows the weighted PD for the performing IRB portfolio by industry segment and country. The PD specified in the table is the one used in the capital adequacy calculations. The geographic distribution is based on the customers' addresses. The volumes, measured by EAD and distributed by country can be found in the attachment to this report.

By and large, the weighted PD is higher in the Norwegian portfolio because it includes a large sub-portfolio of small and medium-sized enterprises. The Leveraged buy-out and the shipping and

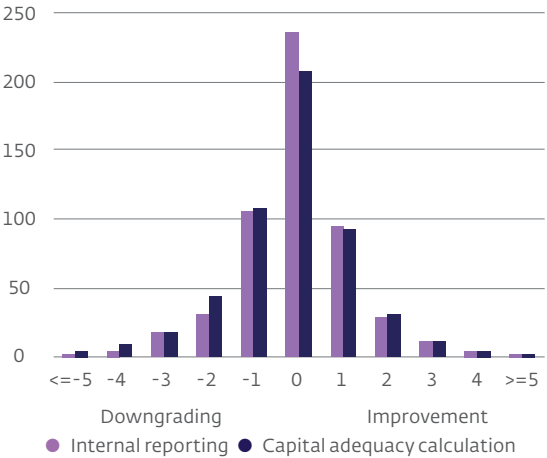
offshore portfolios, which generally have a higher PD, are mostly linked to Norway, though some of the exposures are in foreign portfolios. On the opposite end, the Swedish portfolio which only includes large corporate customers has much lower PD values. Tables with the IRB portfolios split by countries are to be found in the attachments.

ANNUAL MIGRATION IN THE IRB PORTFOLIOS

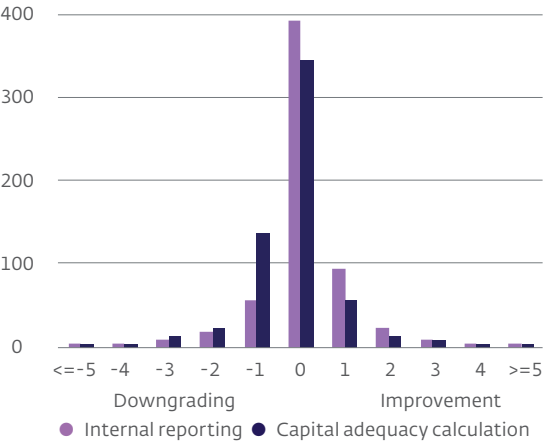
Risk classifications of all customers to which DNB has credit exposure must be done at least once a year. The diagrams on the next page show how volumes, measured by EAD, in the IRB corporate and residential mortgage portfolios migrated between risk grades last year. Positive figures indicate migration to better risk grades. Migration is measured for customers to which the bank has had exposure for the entire year. New customers that were added to the portfolios in the course of the year are not included.

The figures for Retail, residential mortgages and Corporate excluding SME show the migration both as specified in the internal reports and based on capital adequacy calculations. In the capital adequacy calculations for 2017, the PD for Corporate excluding SME was adjusted on the basis of the observed default frequency in 2016. Because the level of defaults was

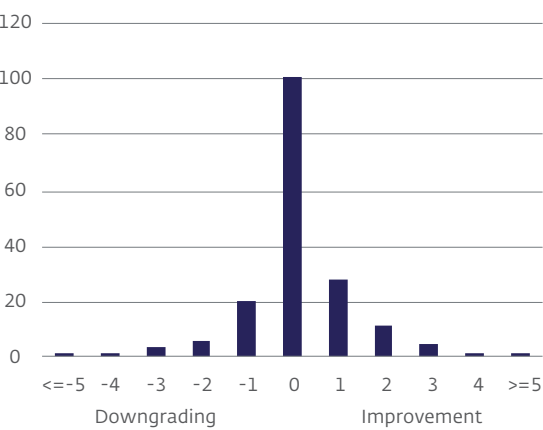
Year-on-year migration, IRB Retail, residential mortgages, 2017 Capital adequacy and internal reporting
NOK billion



Year-on-year migration, IRB Corporate excluding SME, 2017
NOK billion



Year-on-year migration, IRB Corporate, SMEs 2017
NOK billion



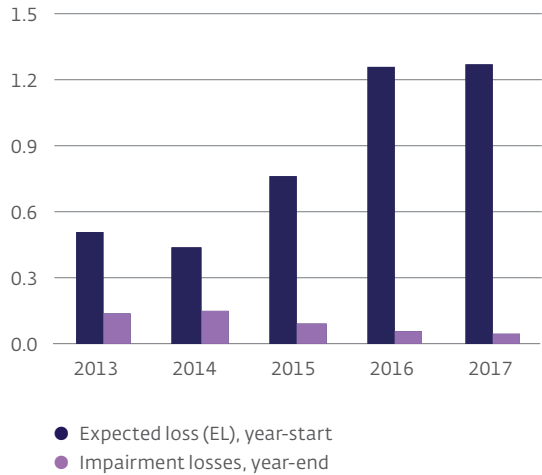
relatively high in 2016, this led to negative migration. According to the internal risk measurement, the migration was slightly positive in 2017, as a result of the improvements in the oil-related industries.

COMPARISON ON EXPECTED LOSS AND ACTUAL VALUE ADJUSTMENTS

The figures below show expected loss (EL) at the beginning of the year compared with new impairment losses recorded during the year for the largest IRB portfolios in the DNB Bank Group. EL is calculated by means of the same key figures that are used in the capital adequacy calculations.

The expected loss on the residential mortgage portfolio has increased in recent years, but not as much as the underlying volume in the portfolio. At the same time, the actual change in value has been reduced. The reason for

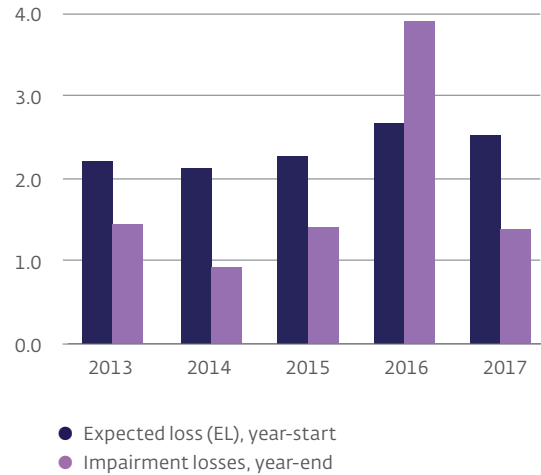
Comparison of expected and actual value adjustments, retail mortgage loans
NOK billion



the increase in EL in 2015 and 2016 is that Finanstilsynet ordered increases of both the PD and LGD levels in the basis for calculation. In 2014, a requirement of a 20 per cent average LGD on the portfolio level was introduced. Additional requirements were implemented in 2015, inter alia, a new PD floor of 0.2 per cent on the contract level. This led to a further increase of calculated expected losses. The actual changes in value were significantly lower than the estimated EL.

Both expected loss and actual changes in value declined in 2017. The volume of impairment losses on new customers was much lower last year than the year before and is thus at same level as it was before 2016. The improvement for expected losses is largely due to positive migration in some industries and more favourable economic conditions for the shipping, offshore and energy industries.

Comparison of expected and actual value adjustments, corporates, including SME
NOK billion



PORTFOLIOS REPORTED ACCORDING TO THE STANDARDISED APPROACH

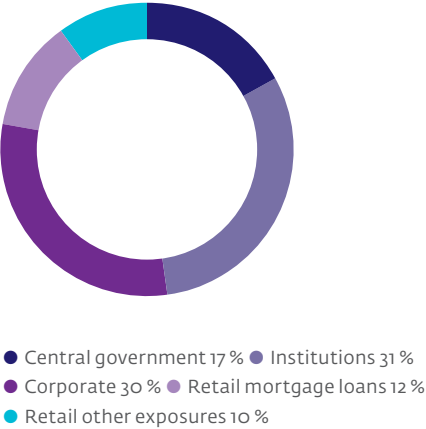
DNB reports the portfolios that are not IRB approved by means of the standardised approach but grouped in IRB categories. In addition, exposures that could have been reported according to the IRB approach but on which DNB does not have sufficient available data, are reported by means of the standardised approach. Finanstilsynet has granted an exception from the IRB approach for governments, central banks and equity positions. Other portfolios reported according to the standardised approach are regarded as temporary exceptions and include the corporate and residential mortgage portfolios in DNB's subsidiary in Poland. DNB's securitisation investments are reported according to the IRB approach, while Eksportfinans' portfolio and activities in the Baltics (the Luminor

Group) are reported according to the standardised approach. 23 per cent of the DNB Bank Group's credit portfolio, measured by EAD, is reported by means of the standardised approach.

Estimated risk-weighted assets and capital requirements for the portfolios reported according to the standardised approach are presented in the section on capital requirements.

In the standardised approach, external ratings are used to set risk weights for foreign government risk and public administration outside Norway as well as international banks and credit institutions, i.e. the exposure categories governments and institutions. The ratings are based on the country ratings and are generally set as the average of the ratings from Moody's, Standard & Poor's and Fitch.

Asset classes in standardised portfolio, EAD 31 December 2017
Per cent



CREDIT RISK MANAGEMENT AND MEASUREMENT

The risk appetite framework defines maximum limits for credit exposure. Limits have been set for annual growth in lending, risk concentrations, total credit risk exposure and expected loss (EL). An upper limit for growth, measured in terms of EAD, is set for each business area. To limit concentration risk, limits are set for exposure on individual customers and certain industries. The limit for expected losses applies to all types of credit risk and is measured by means of the Group's internal credit models.

The risk appetite framework is operationalised through credit strategies for the individual customer segments. In addition, risk indicators are established and used for monitoring managers on all levels. To read more about risk appetite, please see the chapter on risk management and control in DNB.

DECISION-MAKING PROCESS AND AUTHORISATIONS

Group Risk Management is responsible for establishing the framework for the credit process and for credit management in all business areas. Additional responsibilities include checking and monitoring the quality of credit portfolios and the effectiveness of the credit process. Group Risk Management performs Credit Risk Reviews (CRR) to determine whether the standard for credit activities, credit strategies and credit rules are followed. The findings of CRRs are used, among other things, for training purposes. Credit Risk Reviews are continuously conducted in Personal Banking Norway, the Corporate Banking area and the international units. All of the regions and sections in the Personal and Corporate Banking areas are reviewed annually. CRRs are performed once a year in the New York office and every other year in the other international units.

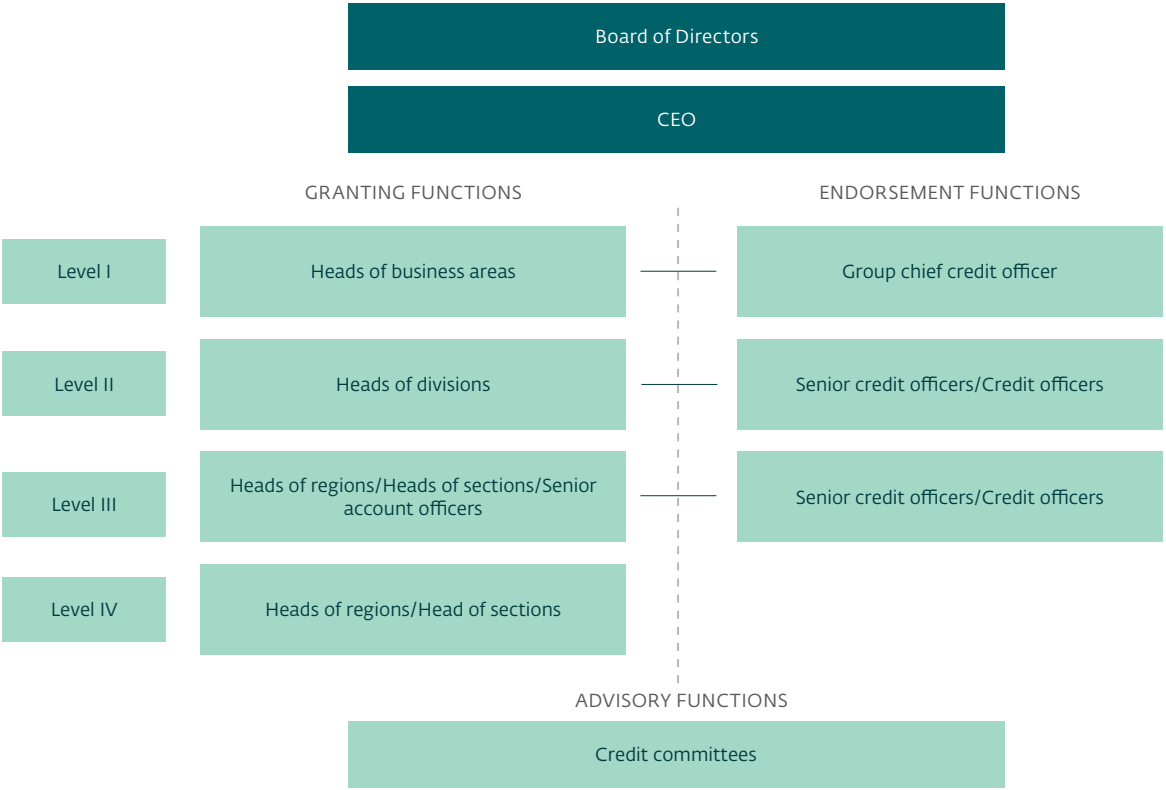
In 2017, a measure was implemented to ensure the correct and consistent use of the IRB models using subjective input (Model Input Review (MIR)). MIR is a collaboration between Group Risk Management and the business areas involving, as a minimum, one credit officer and analysts from Group Risk Management and a representative for the relevant business area. A minimum of five credits are reviewed each quarter. The findings of the reviews are used for training purposes to ensure constant improvement.

Each division is responsible for managing its own credit activities and credit portfolios within the confines of the risk appetite limits and credit strategies. To ensure effective, high-quality decisions, DNB has established multiple levels of credit approval authorisations. The levels are based on the size and complexity of the credit, the required expertise and the risk involved.

The “two pairs of eyes” principle must be followed in connection with all credit approval. This means that a credit is approved by one person based on a recommendation from another person. In cases where the requested credit exceeds a specific level, the decision must be endorsed by a credit officer in Group Risk Management. For the smallest credits in the corporate segment, however, automated risk classification can replace one of the “pairs of eyes”.

In the Personal Banking area, which has a large number of customers, most credit applications are processed by means of automated measurement and decision-support systems. A digital credit process was implemented in 2017, with automated collection of data on income, debt and assets, as well as updated information about the value of the collateral in connection with refinancing existing loans and issuing pre-qualification letters. Applications from low-risk customers with good debt-servicing ability and a moderate debt ratio are approved automatically.

Credit decisions in DNB



The group chief executive has delegated credit-approval authorisations to the business areas and Group Risk Management. These are exercised in a decision-making system where the business area approves the application and Group Credit Management endorses decisions up to the board level on behalf of Group Risk Management.

All credit approval and endorsement authorisations are personal. The exception is for the Board of Directors which approves credit proposals as a collegiate body. The Board of Directors decides credit applications of an extraordinary nature that could, for example, affect the Group's reputation and applications for credit corresponding to more than 10 per cent of the bank's equity. If the decision-maker is not sure whether the credit is within the limit of his or her authorisation or if the credit is of an unusual nature or raises concerns about ethical or reputational issues, the matter must be escalated to a higher level decision-making body.

The credit committees are advisory committees for business-area employees who approve credits and employees in the independent risk organisation who endorse credit decisions. GCAC considers applications from borrowers that are customers of more than one business area.

CREDIT RISK REPORTING

The economic capital required to cover the credit risk is calculated for all credit agreements and forms the basis for evaluating the profitability of the agreements. The calculation is based on the risk parameters in the internal credit models and takes factors like industry concentration, geographic concentration, especially volatile segments and large individual exposures into account.

Exposure relative to the limits set in the risk appetite framework is reported to Group Management each month. If limits are exceeded, a report is promptly sent to the Board of Directors, together with an action plan. A quarterly risk report for the Group is distributed to the Board of Directors, giving an extensive description of the risk appetite status and other developments in the risk situation. In addition, changes of credit risk are analysed and reported monthly to the business areas and Group Credit Management. The reporting is done in multiple dimensions, such as industry

segment, customer segment and geography. This reporting is handled by a unit that is independent of the business units. In the internal monitoring of credit risk, all portfolios are measured and reported by means of internal models, irrespective of whether or not the portfolio is scored in IRB models that have been approved for use in capital adequacy calculations.

CREDIT REGULATIONS

If the customer has not proven a satisfactory debt-servicing capacity, credit should not normally be granted even if the collateral is adequate. The customer's debt-servicing capacity is determined on the basis of future cash flows. The main sources of these cash flows are income from business operations for corporate cusatomers and wage income for personal customers. In addition, the extent to which realisation of the collateral will cover the bank's exposure in the event of default, and any reductions in future cash flows are taken into account.

Risk classifications are done on all corporate customers on which DNB has credit exposure whenever sizeable credits are considered and, unless otherwise decided, at least once a year. The risk classification should reflect the long-term risk associated with the customer and the credit exposure to the customer.

Watch list

DNB has a list of exposures that need to be followed up especially closely. The object is to identify customers who require special follow-up to:

- Convince the customer to carry out the necessary improvement measures or, alternatively phase out the customer relationship while the customer still has financial steerage
- Take the necessary measures to prevent or reduce losses

If a material breach of financial covenants or a loss event occurs, the exposure will be put on a watch list for special monitoring. Loss events include serious financial problems, the approval of interest-only periods due to the debtor's financial problems or a material breach of contract.

In addition, exposures with the following characteristics are considered as candidates for the watchlist:

- Exposures that are classified as high risk
- Forborne exposures, i.e. exposures on which deferred payments of principal or other easing of payment terms have been granted
- Exposures on borrowers whose financial situation has deteriorated, for instance due to major negative budget variances, the loss of important business areas, significant changes of operating parameters, the loss of key personnel or similar events

When a customer is placed on a watch list, a new risk assessment is done, the collateral is reviewed, and an action plan is prepared for the customer relationship. When a loss event occurs, an assessment is done to determine whether this calls for impairment of the exposure. Please see the section on impairment and default later in this chapter.

Management of the risk classification system is organisationally independent of operational activity and is handled by Risk Quantification in Group Risk Management. The risk classification models are designed to cover portfolios of exposures. If the model assigns a manifestly incorrect risk classification, the model-generated classification can be overridden manually. Any such overrides must be well founded and are only permitted in exceptional cases after a thorough assessment by a unit outside the relevant business unit. For more information, see the description of the classification system in the section on Credit Models and Risk Classification.

COLLATERAL AND OTHER RISK-MITIGATING MEASURES

In addition to assessments of debt-servicing capacity, the Group uses collateral to reduce credit risk. Collateral can be in the form of physical assets such as homes, commercial property or vessels (mortgages), or in the form of guarantees, cash deposits, netting agreements or credit insurance. As a rule, physical assets must be insured. In addition, loan agreements may contain a negative pledge clause prohibiting the customer from pledging assets to other lenders. Applications for mortgages on real property are considered on the basis of the property's market value, external appraisals or internal value estimates.

The guarantors are largely private individuals, businesses, the government/municipalities, guarantee institutes and banks. The value of a guarantee depends on the guarantor's debt-servicing capacity and financial wealth and is assessed individually. In cases where the bank is given a guarantee by a company, its value will fluctuate along with the company's financial performance and financial strength. A guarantee provided by a limited company could be subject to Sections 8-7 through 8-11 of the Limited Liability Companies Acts, which stipulate restrictions on pledges of collateral by a limited company.

The main principle for valuing collateral is to use the expected realisation value at the time of a possible future default when the bank might have to realise the collateral. Valuations of collateral must be done in connection with all new credit applications, and as a minimum once a year, and are part of the basis for credit decisions.

In addition to assessments of the customer's debt servicing capacity, the future realisation value of collateral, provided guarantees and netting rights, financial covenants are included in most credit agreements. These clauses are an additional means of

reducing risk and ensuring adequate monitoring and management of exposures and may include minimum cash flow and equity ratio requirements.

STRESS TESTING

DNB’s credit portfolios are subjected to a variety of stress tests, both on the overall level and for specific portfolios. The stress tests are used to gauge vulnerability to losses resulting from both loss of income and customer default in a business area or specific portfolio. Stress tests are also used to identify critical drivers of changes in credit risk and capital adequacy. Overall stress testing of the total credit portfolio is done at least once a year in connection with the internal capital adequacy assessment process (ICAAP). Stress tests required by the authorities are conducted as well.

Stress testing is a second-line function and is managed by units that are independent of the business areas. The CRO has the primary responsibility for all stress testing. Stress tests of specific portfolios are normally performed in the line organisation, based on the principles laid down by the CRO. The central specialist unit for stress testing is responsible for quality control and for approving the assumptions and methodology used for the stress tests. The results of the stress tests are summed up in a report that is presented to the GACC and approved by the CRO.

When portfolio stress tests are conducted in the line organisation, the management of the business area must determine the need for risk-mitigating measures and measures that can be implemented if problems arise. The CRO does independent assessments and recommends measures based on the conclusions of the stress tests.

Various methods are used to estimate credit losses in connection with stress testing. If there is a need to show detailed results, for instance in connection with stress testing of specific portfolios, the internal credit models for default frequency (PD) and loss severity (LGD) are used. Using a macroeconomic scenario as

the point of departure, for example, as described in the chapter on capital management and ICAAP, the PD and LGD for each individual borrower are recalculated on the basis of stress factors that are input in the models. The new PD and LGD values are used to do new estimates of expected loss (EL).

DNB uses specially developed scenarios for stress testing subsidiaries, business areas and specific portfolios. These may consist of fewer macroeconomic variables and/or involve more direct changes of various risk parameters in the model, depending on the needs of the different portfolios and business areas.

INVESTMENT IN SECURITISATION

DNB has a portfolio of securities held to maturity that is valued at just under one billion euro. It primarily consists of Residential Mortgage-Backed Securities (RMBS). The portfolio is being developed and no new investments are being added. As at 1 January 2018, the portfolio was reclassified as available for sale.

At the end of 2017, 15 per cent of the securities had AAA ratings, while 37 per cent were rated AA. There are no synthetic securities in the portfolio and no investments in US subprime bonds or Collateralised Debt Obligations (CDO).

In the capital adequacy calculations, the hold-to-maturity portfolio is reported as an investment in securitisation, in accordance with the IRB approach. There were no significant changes in the portfolio in 2017. DNB Bank ASA has a 40 per cent ownership interest in Eksportfinans. Eksportfinans’ liquidity portfolio is reported according to the standard method. Measured by risk-weighted volume (RWA) DNB’s share of the liquidity portfolio in Eksportfinans was insignificant at year end 2017, compared to NOK 518 million in 2016.

International bond portfolio held to maturity, by credit rating

NOK billion	EAD 31 Dec. 17	RWA 31 Dec. 17	EAD 31 Dec. 16	RWA 31 Dec. 16
AAA	1 403	104	2 834	210
AA	3 559	301	2 762	234
A+	788	83	293	31
A	876	111	464	59
A-	570	121	330	70
BBB+	1 116	413	2 026	751
BBB	0	0	326	207
BBB-	582	616	90	95
BB+	187	496	1 545	1 442
BB	0	0	243	1 095
BB-	191	1 311	0	0
Below BB-	342	4 270	2 484	7 524
Total	9 613	7 827	12 760	11 718

The liquidity portfolio in DNB is also discussed in the liquidity risk chapter.

6

Counterparty credit risk

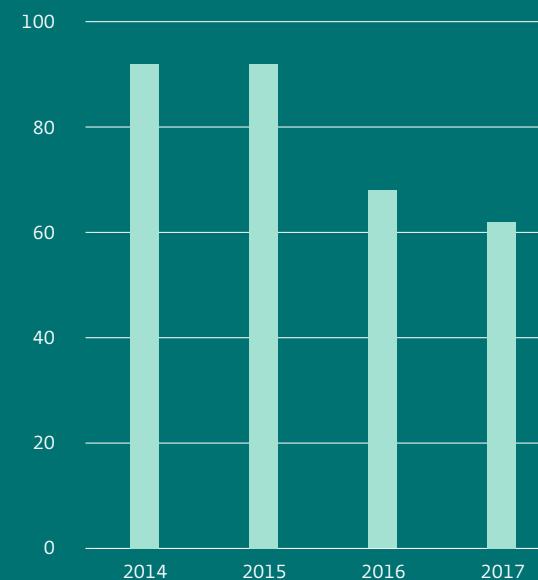
DNB enters into derivative contracts on the basis of customer demand and to hedge positions resulting from such activity. In addition, derivatives are used to hedge positions in the trading portfolio and to take positions in the interest rate, currency, commodity and equity markets. Derivatives are also used to hedge the currency and interest rate risks that arise in connection with funding and lending.

Developments in counterparty credit risk in 2017	55
Capital requirements for counterparty credit risk	55
Risk mitigation measures	55
Management and measurement	56
Stress testing	56

Definition

Counterparty credit risk is a form of credit risk that arises in connection with trades in financial instruments, such as derivatives. Counterparty credit risk is the risk that the counterparty will fail to perform its contractual obligations in a transaction.

Counterparty credit risk, EAD, DNB Bank Group
NOK billion



DEVELOPMENTS IN COUNTERPARTY CREDIT RISK
IN 2017

The EAD linked to counterparty credit risk was reduced by 8 per cent in 2017 and was NOK 62.9 billion at the end of 2017, see figure on the previous page. The decline is due to a combination of exposures reaching maturity or expiring and an increased use of risk-mitigating agreements. The counterparty credit risk measurement is sensitive to changes in interest rates and currency exchange rates and these risk factors also contributed to reducing the EAD.

The figure below shows the distribution of counterparty credit risk among different sectors at the end of 2017. The figure on the previous page shows the development of counterparty credit risk in the last few years. Counterparty credit risk arising in subsidiaries and affiliates is not included in the figures. Such exposure is limited and mainly related to

Breakdown of current exposure by sectors, EAD, DNB Bank Group, 31.December 2017
Per cent

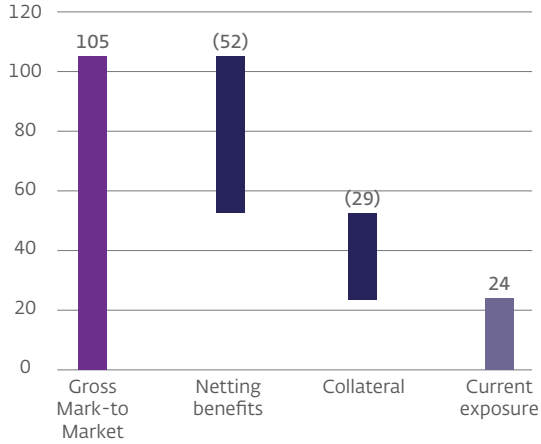


Eksportfinans. Settlement agreements and collateral arrangements against the major counterparties imply that counterparty credit risk overall represents a moderate risk in DNB.

CAPITAL REQUIREMENTS FOR COUNTERPARTY
CREDIT RISK

When the capital requirements for counterparty credit risk are calculated, the risk exposure is determined by means of the Current Exposure Method (CEM). The table shows the counterparty credit risk exposure and risk-weighted volume of financial derivatives in the DNB Group. The nominal amount is the principal or underlying amount in the contract. Mark-to-market (MTM) shows the market value of all derivative contracts that have a positive market value. The EAD is the sum of MTM and the estimated future risk. Both the IRB and the standardised approach are used for this portfolio, and risk-weighted assets is calculated by

The effects of risk-reducing agreements for counterparty credit risk (derivatives), DNB Bank ASA, 31 December 2017
NOK billion



multiplying EAD by the associated risk-weightings for the different counterparties. The risk-weighted assets for counterparty credit risk in DNB Bank ASA was NOK 35 billion at year-end 2017, down by NOK 2 billion from year-end 2016. The capital requirement was NOK 2.8 billion at the end of 2017 compared to NOK 3.0 billion in 2016.

In December 2017, DNB applied to Finanstilsynet for permission to use the IMM (Internal Model Method) to calculate capital requirements for counterparty credit risk. IMM is the method for calculating capital requirements that best reflects risk sensitivity and provides the full effect of all risk-mitigating agreements. Internal models are used to monitor and report the risk level internally. The basis for calculating counterparty credit risk comprises a relatively small portion of DNB's total risk-weighted volume, 3.4 per cent. A transition to IMM would not change this significantly. For information about capital requirements for CVA risk see the chapter on market risk.

RISK MITIGATION MEASURES

Derivatives are generally traded OTC ("over the counter"), which means that individual contracts are agreed upon by the parties. The market risk attached to the derivatives is managed, monitored and examined as an integral part of the market risk in these portfolios. A small proportion of the bank's counterparty risk also stems from repurchase agreements.

Netting agreements and bilateral guarantee agreements are used as a means of minimising counterparty credit risk associated with individual counterparties. These agreements make it possible to net the positive and negative market values linked to contracts with individual counterparties. CSA (Credit Support Annex) agreements are another type of risk-mitigating measure. CSA agreements have been entered into with most major bank

counterparties and other financial counterparties, as well as a steadily increasing number of non-financial counterparties. Under these agreements, the market value of all derivative contracts between DNB and the counterparty is settled either daily or weekly, which largely eliminates counterparty risk. These transactions are mostly settled in cash, though government bonds and covered bonds are used as well. The agreements are not normally dependent on the credit quality of the counterparty but some of them stipulate that the maximum exposure level before collateral is required (the threshold value) will be reduced if the counterparty is downgraded.

A so-called «rating trigger» in an agreement means that if the counterparty's credit rating falls, the threshold value will be reduced in accordance with the CSA agreement. If the credit rating falls, DNB's counterparty will have to pledge more collateral. DNB has also entered into CSA agreements with rating triggers linked to DNB's credit rating, according to which DNB will be required to pledge additional collateral if DNB's credit rating falls. According to DNB's analyses of this liquidity risk, the effect of a downgrade would be moderate.

The different interest rate products (interest rate swaps and Forward Rate Agreements (FRAs) in different currencies) are cleared through clearing houses like LCH Cleernet. DNB's counterparty risk on an individual counterparty is thus transferred to the clearing house.

Equity forward contracts, securities loans and currency trading for personal customers are monitored and increases/decreases in value are settled daily. Entering into CSA agreements reduces the counterparty risk and thereby also reduces the capital requirement. Counterparty risk in DNB Markets can fluctuate from month to month.

SETTLEMENT RISK

Settlement risk is linked to the settlement of transactions where the bank has met its obligation to deliver the agreed security or sum without knowing whether the counterparty will meet its obligation to deliver the agreed security or sum to the bank. One example is a currency exchange where the bank sends the amount in one currency before receiving the agreed amount in the other currency. DNB has established various measures for reducing and controlling settlement risk. One important measure is balance checking. The bank does not send the payment to the counterparty before it has confirmed that there are sufficient funds on the counterparty's account to meet the obligation. In connection with settlements of securities transactions, one of the conditions attached to the securities account is that securities cannot be delivered before the bank has received payment. Furthermore, the standard form of settlement for all transactions in the securities market is DVP (Delivery versus Payment). The normal procedure in the banking market is that the biggest currencies are settled through CLS (Continuous Linked Settlement). CLS ensures payment versus payment, which means that the final transfer of the bank's payment is not executed before the counterparty's payment takes place. In addition, settlement risk limits have been established which entail a ceiling on the total settlement amounts for a single counterparty that fall due on the same day.

MANAGEMENT AND MEASUREMENT

Counterparty risk is defined as a sub-category of credit risk. The counterparty risk exposure is, however, highly dependent on market risk factors like currency exchange rates and interest rates and is thus also considered in the context of market risk. Management of counterparty risk in DNB is elaborated on and concretised in both the Group Standard for Market Risk and the Group Standard for Credit Risk. The standard for market risk, and underlying instructions, define

central terms and describe the calculation methods for and reporting of counterparty risk. The credit process, limits and credit management related to counterparty risk are described in the standard for credit risk.

The Financial Markets Risk Committee (FMRC) is headed by the Chief Market Risk Officer and is responsible for approving and following up principles and procedures for market and counterparty risk. Counterparty risk is included in the risk appetite for credit risk and limits are delegated on the different authorisation levels specified in the credit guidelines.

DNB uses internal simulation models to calculate risk exposure in connection with the monitoring and measurement of counterparty risk. A combination of historic time series and the market's expectations with respect to future trends for various risk factors, are used to calibrate the simulation models. The simulation models are continuously monitored and upgraded so DNB can ensure that they are suitable for the area of application at all times. Among other things, weekly automated back tests are performed in which the models' predictive ability is tested.

The models that are used to calculate counterparty risk exposures are validated annually by the validation unit in Group Risk Management. The validation unit is organisationally independent from the units where the models are developed. The models and the use of them are also reviewed annually by the internal auditors.

STRESS TESTING

A special programme for stress testing counterparty risk has been established to complement other measurements of counterparty risk exposure. The stress testing programme is designed to identify undesired future outcomes of the total counterparty risk exposure both in isolation and together with the bank's total credit risk exposure. Central elements of

the stress tests include designing different scenarios and identifying specific and general correlation risk between credit risk and market risk factors, so-called Wrong Way Risk (WWR). Stress testing is done monthly. The stress testing of counterparty risk will also be an element of the stress testing of European banks coordinated by the European Banking Authority (EBA) in 2018.

7

Market risk

Norwegian interest rates are the most important underlying driver of market risk in the DNB Group, especially through the liabilities in the life insurance operations. Other significant drivers of market risk include foreign interest rates and exchange rates, in addition to basis swap risk which arises because a significant proportion of the Group's NOK lending is funded in foreign currencies. The trading activities in DNB are mainly customer-related and include «market making» and arranging corporate financing. Market risk also arises in connection with proprietary trading. Market risk in the banking operations stems from the Group's funding activities, from equity and real estate investments or results from differences between the fixed-rate periods for liabilities and assets.

Developments in market risk in 2017
Capital requirements for market risk
Market risk exposure
Management and measurement of market risk

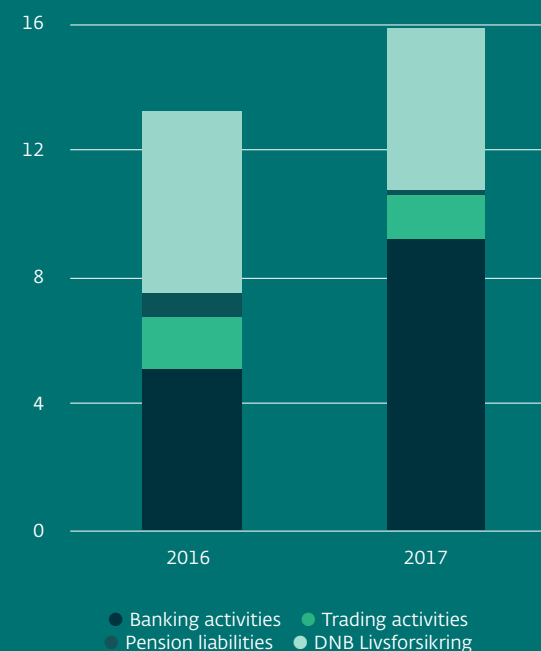
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Definition

Market risk is the risk of losses due to unhedged positions in the foreign exchange, interest rate, commodity and equity markets. The risk reflects potential fluctuations in profits due to volatility in market prices or exchange rates. Market risk arises in several parts of the DNB Group and includes both risk which arises through ordinary trading activities, and risk which arises in connection with banking activities and other business activities.

Market risk as a share of economic capital, DNB Group

Per cent



Capital requirement for market risk, DNB Bank Group

NOK billion

1.6 (1.7)

Economic capital for market risk, DNB Group

NOK billion

10.6 (9.1)

DEVELOPMENTS IN MARKET RISK IN 2017

Norwegian economic growth picked up in 2017, and the price of oil increased towards the end of the year. The Oslo Stock Exchange's benchmark index rose roughly 18 per cent in the course of the year. Economic growth also accelerated in the Eurozone and USA and there are indications that monetary policy will gradually be normalised. The interest rate level in Norway is historically low, however. Norges Bank expects to start gradually raising the key policy rate in the autumn of 2018.

In 2017, DNB's subsidiaries in the Baltics were spun off and combined with Nordea's Baltic subsidiaries in a new company called Luminor Group AB. DNB has an ownership interest of 44 per cent. In addition, Vipps was established as a separate company, in which DNB has a 52 per cent stake. DNB's ownership interests in these companies are managed by the unit Investments, M&A in Group Finance.

Measured in terms of economic capital, total market risk exposure in the DNB Group came to NOK 10.6 billion at the end of 2017 as compared to NOK 9.1 billion in 2016. The increase is mostly because the investment in Luminor Group AB is treated as market risk, whereas the risk in DNB's former activities in the Baltics were mainly modelled as credit risk.

Market risk exposure comes to 15.9 per cent of total economic capital, which was well within the limit of 20 per cent. The limit applies to the total market risk exposure in the DNB Group, a good deal of which is in the life insurance operations. DNB Livsforsikring is discussed in a separate chapter. The risk exposure linked to trading activities only accounted for 9 per cent of the Group's total market risk at the end of 2017.

The trading portfolios in DNB were reviewed in 2017 due to changes of the reporting standard IFRS9, which

entered into effect 1 January 2018. As a result of the review, some of the trading portfolios were moved to banking activities. Because of this reorganisation, the Board of Directors changed some of the interest rate risk limits in December 2017. In addition, the Board of Directors has given the Chief Executive Officer (CEO) authorisation to delegate risk limits for banking activities to DNB Markets if this is appropriate for making the transition to IFRS9 easier.

CAPITAL REQUIREMENTS FOR MARKET RISK

DNB reports market risk according to the standardised approach for regulatory capital. The market value principle is used as the accounting principle for trading activities and the portfolios are valued daily. The trading activities are subject to the capital requirements for market risk. The capital requirement for market risk was virtually unchanged from 2016 to 2017.

Credit Value Adjustment (CVA) is adjustment of the market value of OTC («over the counter») derivatives that takes counterparty risk into account. If the creditworthiness of a counterparty declines, the market value of derivatives contracts with the counterparty will be reduced. CVA is the risk of loss caused by changes in the credit spread of a counterparty on derivatives transactions due to changes in its credit quality.

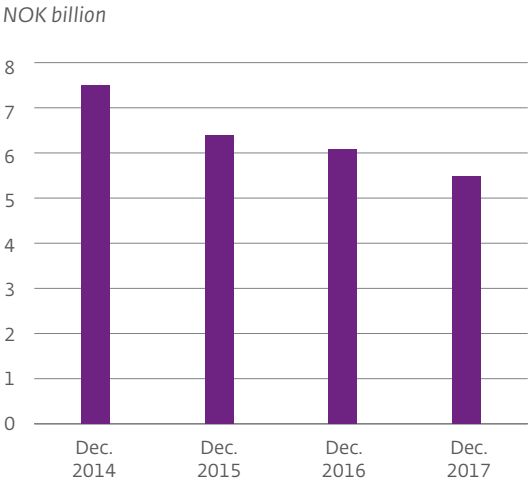
Capital requirements for market risk, DNB Bank Group

NOK million	31 Dec. 2017	31 Dec. 2016
Position risk, debt instruments	1 120	1 169
Position risk, equity instruments	21	25
Currency risk	0	0
Commodity risk	2	6
Credit value adjustment risk (CVA)	469	493
Total market risk	1 612	1 692

The CVA risk declined in 2017 and was about 5 per cent lower at the end of 2017 than at the end of 2016. DNB uses the standardised approach to calculate the CVA risk.

The figure shows changes of RWA for CVA risk in DNB Bank ASA

Development in RWA for CVA risk, DNB Bank ASA



MARKET RISK EXPOSURE

INTEREST RATES

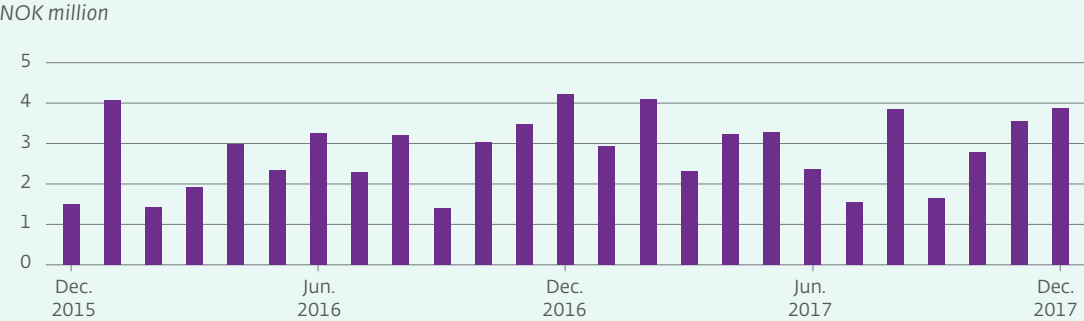
The interest rate risk in traditional banking activities arises as a result of differences between the fixed-rate periods for assets and liabilities. The banking group's securities holdings also generate interest rate risk. The interest rate exposure in the trading activities associated with trading activities is largely a function of customer activity. The interest rate exposure varied during the year, but ended at approximately the same level at year-end 2017 as it was at year-end 2016. The interest rate exposure in the banking activities was reduced in 2017.

Interest rate risk is expressed in terms of the basis point value (BPV). This represents how much the net present value of the positions change if the underlying interest rate changes by one basis point. The basis point value is thus a measure of the sensitivity of the portfolios to changes of interest rate levels.

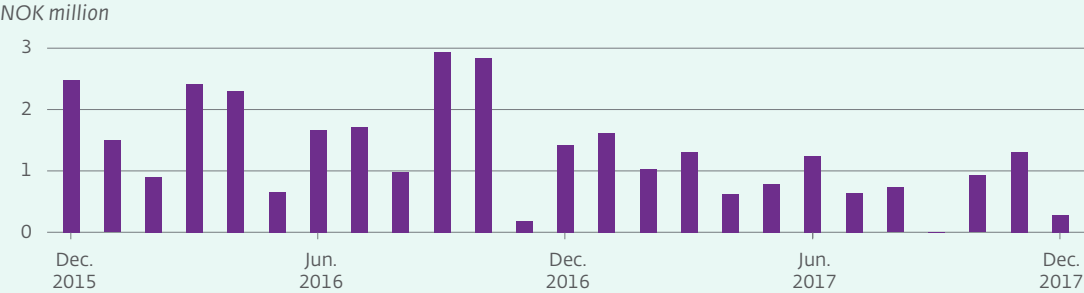
DNB's total interest rate risk limit at the end of 2017 came to NOK 13.8 million per basis point change, distributed as 4.2 million in trading activity and 9.6 million for other exposures. Separate limits are set for each currency and the different intervals on the yield curve. Interest rate risk associated with banking operations is measured and reported daily. The limits were not exceeded in 2017.

Other measures of interest rate risk include changes of net interest income (delta net interest income, NII) and the change in the value of interest sensitive assets and liabilities as a result of interest rate changes (delta economic value, EV). The different risk measurements are reported regularly to the management of Group Treasury, ALCO, the group management team and the Board of Directors.

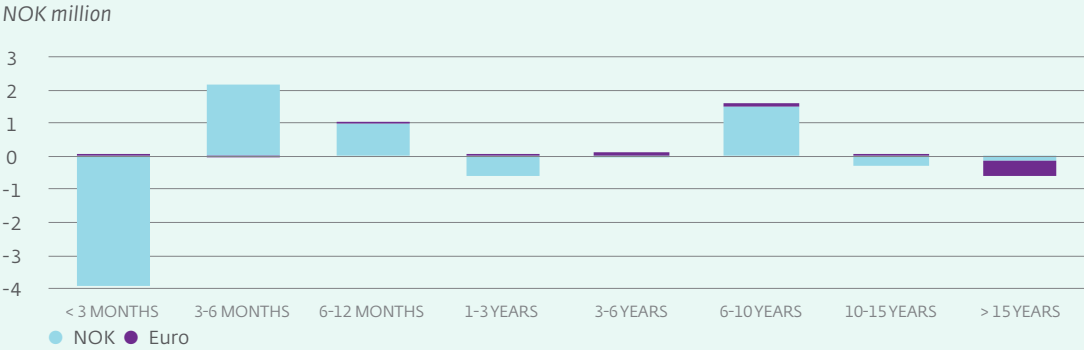
Interest rate exposure in the trading activities, basis point value



Interest rate exposure in the banking activities, basis point value



Interest rate sensitivity distributed among maturity bands, banking activities, basis point value, 31 December 2017



The effect of interest rate shocks on the rate sensitive instruments in banking activities as at 31 Dec. 2017

NOK million	+ 200 bp	+ 150 bp	+ 100 bp	+ 50 bp	- 50 bp	- 100 bp	- 150 bp	- 200 bp
Exposure in NOK	(55)	(42)	(28)	(14)	14	28	42	55
Exposure in EUR	(25)	(19)	(13)	(6)	6	13	19	25
Total	(81)	(60)	(40)	(20)	20	40	60	81

The bottom left figure below shows interest rate sensitivity distributed among maturity bands for banking activity. The exposure is considered to be positive if the bank would suffer losses in the event of a decline in interest rates. The net interest rate exposure at the end of 2017 was positioned for falling interest rates.

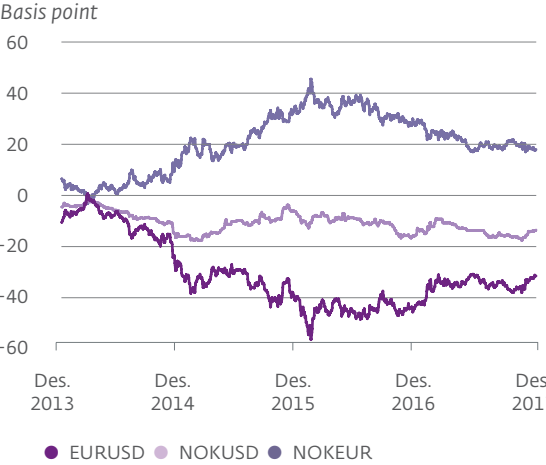
The table above shows how different changes of interest rates affect profits from banking activities. An interest rate increase of 100 basis points will result in a loss of about NOK 28 million for exposure in NOK and an equivalent decrease will result in a gain of about NOK 28 million. Interest rate risk connected to banking activities is almost linear, which means that changes in the interest rate multiplied by the interest rate sensitivity provide a close approximation of the interest rate risk in Group Treasury.

BASIS SWAP SPREAD RISK

A basis swap is a combined interest rate and currency swap where the parties exchange future cash flows and also agree to pay and receive interest. A sizeable portion of DNB's assets in Norwegian kroner is funded by means of foreign currency that is exchanged to NOK through basis swaps with the same or shorter maturities. Basis swap agreements in the banking activities are normally held to maturity. The recorded value of a swap fluctuates during the term of the swap. Basis swaps are used by Group Treasury and DNB Boligkreditt to hedge funding in foreign currency. There are no limits on basis swaps that are used as hedging instruments.

Basis swap risk is measured by means of BPV just like interest rate risk. A major portion of DNB's long-term foreign currency funding is in euro. The exchanges from euro to Norwegian kroner are done via US dollars. Quantitative easing in the Eurozone has made funding in euro relatively cheap in recent years and the currency has thus been in great demand. This has also resulted in an influx of exchanges of euro into local currencies and, as shown in the figure, the price of such exchanges rose from 2014 to 2016. Signals that quantitative easing is about to end have reduced the rise in prices.

Five year basis swap spread



EQUITY CAPITAL INVESTMENTS

For investment management purposes, equity capital investments are divided into a credit portfolio, real estate investments, direct investments and investments in Private Equity funds. The bank has a portfolio of investments in unlisted companies rooted in the customer areas. DNB invests in companies and partnerships that are highly innovative and have the potential to increase in value. As a shareholder, DNB Bank ASA actively exercises ownership through the companies Board of Directors. The risk attached to the bank’s financial investments is moderate.

The purpose of the credit portfolio is to secure or recover the value of credit exposures through ownership and subsequent realisation. The bank may, on the basis of business-related and long-term assessments, decide to sell equities pledged as collateral or convert non-performing debt into equity and ownership.

Real estate exposures, are either strategic real estate investments or properties that have been repossessed due to customer default. The real estate exposure is measured as the market value of the underlying

Equity and real estate investments in the banking portfolio, DNB Group, 31 Desember 2017

NOK million	Book value	Market value
Direct investments	134	134
Private equity fund including loan portfolios	193	241
Credit portfolio	468	383
Strategic investments	47	134
Total equity investments	842	893
Real estate portfolio, Group Investments	636	836
Real estate portfolio, Poland	247	247
Total equity and realestate investments	1 725	1 976

properties, irrespective of the financing structure. The market value of the real estate portfolio came to NOK 1.1 billion at the end of 2017.

Exposure relative to market risk limits is measured on the basis of the investments’ market value plus any future amounts committed to private equity funds. Guarantees for share issues and secondary investments in equity markets are fully counted in measurements of limit utilisation. Shares in subsidiaries and associated companies are not included, as they are fully or partially consolidated in the financial statement. In accordance with IFRS 7, equities are carried at fair value in the financial statement.

OTHER EXPOSURES

All currency risk in the Group is hedged against DNB Markets, which is thus the only unit that is directly exposed to currency risk. The exposure is moderate and is predominantly linked to business operations and, to some extent, to supporting customer trades.

Commoditiy risk in DNB is exclusively linked to trading activities that support customer trades. The limit for and exposure to commodity risk is low. It does not constitute a significant market risk for the Group.

Asset risk (other physical assets) is exposure through direct ownership of non-standardised physical assets such as industrial equipment, construction machinery, factories, mines, ships and infrastructure. This limit also covers exposure on the residual value of vehicles associated with leasing operations in DNB Finans.

Basis curve risk is interest rate risk that arises when interest rate instruments denominated in the same currency are not valued by means of the same yield curve. Because this is not picked up by the ordinary interest rate sensitivity limits linked to the ordinary swap curve, it has to be monitored by means of separate limits.

Credit spread risk mostly arises as a result of the bank’s liquidity risk management and management of bonds in the liquidity portfolio. The credit spread is the add-on to the reference interest rate in a bond coupon. Credit spread risk is the risk of changes in the market’s assessment of the credit spread. The credit spread sensitivity for the liquidity portfolio was NOK 18.9 million BPV at the end of 2017.

MANAGEMENT AND MEASUREMENT OF MARKET RISK

The Group Policy for Risk Management covers all types of risk including market and counterparty risk. The Group Standard for Market Risk elaborates on and concretises the group policy with respect to market and counterparty credit risk. The standard specifies the definitions, principles for delegating limits and requirements for managing market and counterparty credit risk.

DNB observes the principle of three lines of defence when monitoring market risk. The first line of defence is in the divisions where the risk is taken, for example Group Treasury and the units that trade in currencies, commodities, interest rate instruments and equities in DNB Markets. The monitoring and control of these units is performed by local internal control units. Organisationally, the units that that take risk are clearly separate from the ones that monitor and examine it. The Chief Risk Officer (CRO) and Group Risk Management are in charge of the second line of defence and establish the principles for managing market risk. The second line of defence, supports, monitors and challenges the first line of defence for risk management and can delegate second line tasks to local internal control units.

Local guidelines have been implemented for business areas with substantial market risk exposure. The local guidelines operationalise the group standard

in the individual business areas, among other things by describing which internal control tasks have been delegated to the local second line of defence. The local internal control units report directly to Group Risk Management in addition to reporting to their own line management.

Management and control of market risk in the DNB Group



ROLES AND RESPONSIBILITIES

The Board of Directors of DNB ASA establishes the risk appetite framework that limits total market risk in the DNB Group. The risk appetite framework covers both the banking and insurance operations. Upper limits have been set for both the percentage of the Group's total economic capital and for regulatory capital requirements for market risk. For more information about the risk appetite framework, see the chapter on risk management and control in DNB.

CRO and Group Risk Management are in charge of the second line of defence and establish the principles for managing market risk. The Chief Market Risk Officer (CMRO) owns the Group Standard for Market Risk which is updated and approved by the Board of Directors of DNB ASA every year. The standard is based on the Group Policy for Risk Management and sets out the principles for ensuring that market risk is managed and monitored in a consistent and comprehensive manner.

The Financial Markets Risk Committee (FMRC) is headed by the CMRO. The committee's duties include recommending risk limits for banking and trading activities and approving methods and procedures for controlling market risk.

MARKET RISK LIMITS

The risk appetite framework for market risk is operationalised in the form of limits for each type of risk. The limits for significant market risk exposure are determined by the Board of Directors of DNB ASA. Limits are set annually, and automatically expire if they are not renewed. The sensitivity limits are delegated by the Board of Directors to the CEO, who delegates them further to risk-taking units that make investment or trading decisions. If limits are exceeded, this must be reported immediately both to whoever delegated the limit and to Group Risk Management. Administrative limits are set for exposures that are

Market risk limits for 2018, DNB Group

NOK million		Limit, trading activities	Limit, non-trading activities	Total limit	Description
Limits set by the board	Interest rate risk*	4.2	9.6	13.8	Sensitivity limit
	Currency risk	3 000		3 000	Market value limit
	Equity risk	2 200	2 535	4 735	Market value limit
	Commodities risk	300		300	Market value limit
	Basis swap risk*	15/(-30)		15/(-30)	Sensitivity limit
Administrative limits	Real estate risk		4 185	4 185	Market value limit
	Physical asset risk**	0	14 650	14 650	Market value limit
	Basiscurve risk*	44	0	44	Sensitivity limit
	Credit spread risk*	31	25	56	Sensitivity limit

* Basis point value
** Including the investments in Luminor Group AB, Vipps and DNB Finans

defined as less significant. Such limits are set when there is a need for operational room for action or in cases where credit limits set by the Board of Directors limit the exposure. The limits are set by the group executive vice president for Group Finance or DNB Markets. The CRO must be informed of any changes of these limits. The table gives an overview of the most important limits set by the board and important administrative limits that applied at the end of 2017. In addition, smaller limits are set for options. Counterparty credit risk is an element of the risk appetite for credit risk, and limits are approved on the various authorisation levels specified in the credit guidelines.

The administrative risk limit for physical asset risk was raised to accommodate the strategic investments in Vipps and Luminor Group AB. Due to depreciation of the NOK against the euro in 2017, the limits were fully utilised.

MEASUREMENT AND REPORTING OF MARKET RISK

DNB uses various risk measures to manage and monitor market risk. Economic capital is used both to measure overall market risk in DNB, and in the internal risk and capitalisation assessments. Value at Risk (VaR) is used to compare risk across asset classes and monitor the level of risk for each risk type. VaR is calculated for interest rate, equity and currency risk attached to both banking and trading activities.

Limits are not set for VaR. Sensitivity measures in the measurement of market risk reflect how much the bank risks losing on a given change in the underlying type of risk. Sensitivity measures are used to report and follow up exposures against specific limits, e.g. yield curve intervals. The sensitivity measures are important elements in qualitative risk assessments and are also used as a basis for quantitative risk modelling. Stress testing is used to identify exposures and losses which could arise under extreme, but not improbable, market conditions.

Market risk exposure is reported quarterly to the Boards of Directors of DNB ASA and DNB Bank ASA. In addition, risk exposures are reported monthly to the group management team and the Asset and Liability Committee (ALCO). The Group's CRO monitors the limits established by the Board of Directors.

8

Operational risk

In 2017, operational losses remained at a stable, low level that was well within the risk appetite limits. Efforts to strengthen information security in DNB have intensified to deal with the steadily increasing threat of digital attacks and risk that confidential information could fall into the wrong hands.

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Cyber risk	65

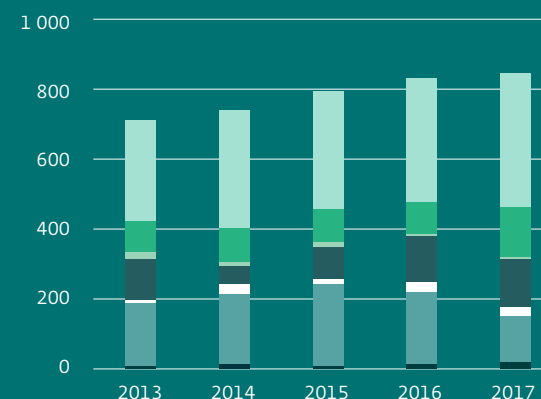
Definition

Operational risk is the risk of losses due to deficiencies or errors in internal processes or systems, human errors or external events.

Operational risk includes compliance risk, legal risk and IT risk, including information security. It does not include strategic risk or reputation risk, which must be assessed separately. Operational risk applies to the entire organisation and an operational risk event can impact different parts of the organisation in different ways.

Operational events

Number



- Execution, delivery and process management
- Business disruption and system failures
- Damage to physical assets
- Clients, products and business practices
- Employment practices and workpl. safety
- External fraud
- Internal fraud

Capital requirements

NOK million

7 106 (6 670)

Operational losses

NOK million

156 (111)

Operational risk events

Number

846 (830)

DEVELOPMENT IN OPERATIONAL RISK IN 2017

846 operational risk events and a net operational loss of NOK 156 million were recorded in 2017, see figure on the previous page, as well as table to the right. System errors, errors in internal processes and economic crime account for the largest losses. The same categories are also biggest measured by number of events.

Increasing attention is paid to operational risk in the Group. DNB has acquired an integrated risk management tool for «governance, risk and compliance» to use in connection with managing operational risk. A new loss and event database was implemented in 2017. When this database was introduced, DNB removed the lower limit for losses. This was done to increase the number of registered events and thereby make employees more conscious of the fact that even small events can be significant in a larger context. Simple procedures will enable employees to register events in the new database themselves.

New measures were taken to strengthen the information security in 2017. See separate section on management and control of information security later in this chapter.

DNB has a responsibility to help ensure that the banking industry delivers ethical products and services and has to make conscious choices related to what should be offered, how this is delivered and to whom. In November 2017, DNB launched new principles for ethics (Code of Conduct), describing DNB's ethical standards. DNB shall be characterised by high ethical standards, and shall also meet:

- The authorities' requirements and expectations
- The needs of customers and employees
- The interests of society
- DNB's business targets
- Shareholders' expectations

All employees and others who represent DNB are required to observe the rules and principles in the Code of Conduct. Managers shall ensure that employees are familiar with and follow the rules, and that the principles are reflected in DNB's products, services, processes and procedures. DNB has a Group Ethics Officer whose job is to prepare, communicate and improve the framework. The Group Ethics Officer is also expected to provide support and guidance and serve as a specialist adviser on matters pertaining to ethics.

There was considerable focus on system errors and instability in IT systems in 2017, too, and a number of measures were implemented to improve system performance. One such measure was the move of DNB's mainframe section to a new, modern data centre. System performance improved throughout the year.

Operational losses

NOK million	31 Dec 2017	31 Dec 2016
Internal fraud	0	4
External fraud	14	23
Employment practices and workplace safety	1	1
Clients, products, and business practices	17	10
Damage to physical assets	0	0
Business disruption and system failures	26	37
Execution, delivery and process management	99	37
Total operational losses	156	111

CAPITAL REQUIREMENTS FOR OPERATIONAL RISK

The DNB Group mainly reports operational risk according to the standardised approach and uses the basic indicator approach for some smaller units.

Capital requirements for operational risk

NOK million	Factors	31 Dec 2017	31 Dec 2016
Corporate finance	18 %	187	148
Trading and sales	18 %	939	834
Retail brokerage	12 %	49	59
Commercial banking	15 %	3 383	3 248
Retail banking	12 %	1 907	1 804
Payment end settlements	18 %	170	194
Agency services	15 %	150	103
Asset management	12 %	49	52
Total standardised approach		6 833	6 420
Total basic indicator approach	15 %	272	228
Total capital requirements		7 106	6 670

Capital requirements for operational risk increased by NOK 0.4 billion in 2017. The increase is due to higher income which constitutes the basis for calculation of capital requirements for operational risk.

MANAGEMENT AND MEASUREMENT OF OPERATIONAL RISK

DNB shall have low operational risk and a risk culture which ensures that all operational risk is identified. In addition, DNB shall have low annual losses, and all losses and events must be registered. Managing operational risk involves addressing risks to ensure effective and successful business operations. A sound risk culture involves identifying and assessing risk, establishing, implementing and evaluating measures as well as ensuring pertinent, effective reporting to relevant stakeholders.

The Group Policy for Risk Management is the basis for the Standard for Operational Risk. The standard is also based on the authorities' requirements and expectations, which are described in Finanstilsynet's

Module for Operational Risk Management and the Basel committee's document, Principles for the Sound Management of Operational Risk. The standard focuses on responsibility for operational risk management and ensures that DNB's operational risk management is developed on the basis of recognised best practise solutions.

A new standard for products and services was established in 2017. It includes all products and services that DNB offers and defines what the product is and what it means to the customer, who the target group is and which team in DNB that's responsible for the product. It applies to all products and services offered by DNB and describes the assessments required in connection with approval and follow-up. The standard covers the establishment of new products and services, changes of existing products and services as well as monitoring and retirement of existing products and services. The standard clearly describes and formalises responsibility and ownership throughout the value chain. According to the standard, a group template must be used to document all decisions about products

and services. The decision-making basis for the product or service must be documented and is owned by the group executive vice president in charge of the customer segment to which the product or service will be offered. Risk assessments must be included as well. All assessments and decisions must be documented and verifiable. All new and existing products and services must conform with this standard by the end of 2018. Ethical considerations will be incorporated in the standard.

The risk appetite framework describes multiple dimensions of operational risk associated with operational events and losses, critical IT events and the quality of customer data registration.

Laws and regulations provide the external framework for DNB's operational risk management. The figure shows how the Group Policy for Risk Management and Standard for Operational Risk define the principles for managing and measuring operational

risk. Operational risk management shall contribute to building an internal risk culture which helps ensure that the ambition of low operational losses is achieved. Risk identification and assessment, together with registration and follow-up of operational events, shall provide an overall picture of the operational risk. Measures must be followed up by means of processes, systems and attitudes.

The Board of Directors has the primary responsibility for operational risk management in DNB. This entails establishing a sound risk culture and clearly delegating responsibility for ongoing monitoring and control of operational risk. The Board of Directors reviews and approves the risk appetite framework once a year.

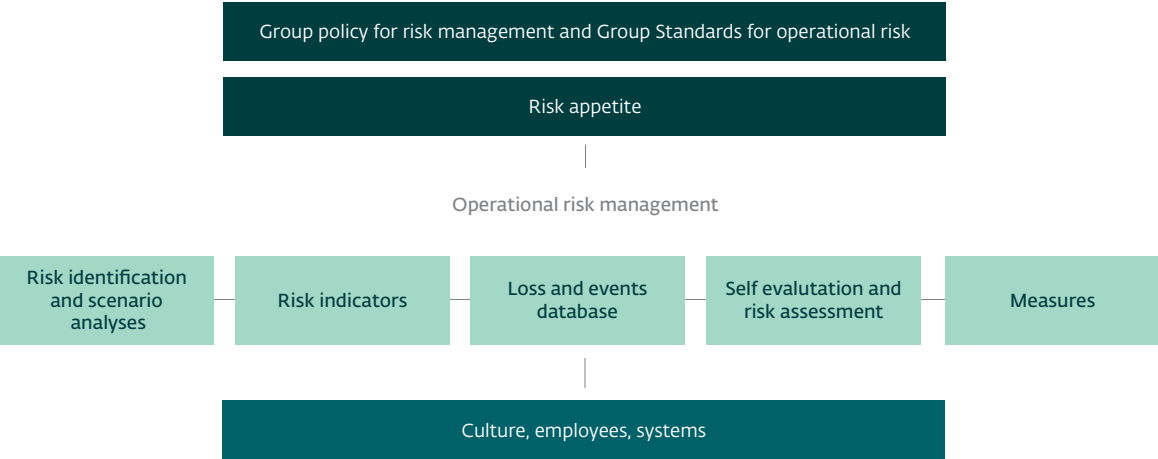
All managers in DNB are required to be cognizant of and manage operational risk. This is to be achieved through quality assurance and risk assessments of everyday operations, of all major changes in operations and of crucial processes. Comprehensive contingency

and business continuity plans have been drawn up in order to limit the consequences of serious events such as operational disruptions etc. The plans are constantly updated, and regular drills are carried out.

Each business and support area have a Local Operational Risk Officer, LORO, to help ensure low operational risk and a good risk culture. LORO is managed from and reports to Group Risk Management and Compliance, respectively. The LORO's duties include registering and following up operational risk events, including that the first line of defence establishes risk mitigation measures. The LORO also participates in the preparation of the annual status reports on management and monitoring of operational risk. The risk functions in the international offices report directly to Group Risk Management, and participates in the management groups of their respective office. For more details about the risk management functions see chapter on risk management and control in DNB.

Concrete risk-mitigating measures are thereafter identified. In addition, developments in operational risk are reported monthly to group management and the Board of Directors as part of the Group's risk reporting.

The Group's insurance programme is an element of its operational risk management and is intended to help limit the financial consequences of undesirable events which occur in spite of established security procedures and other risk-mitigating measures. The insurance basically covers DNB ASA and its subsidiaries. The insurance policies cover fire and other disasters, robbery, embezzlement, digital attacks, professional liability and directors' liability in the Groups operations all over the world. Losses incurred in connection with lending and market operations are not normally covered unless they are attributable to operational errors or defects.



The annual status reporting is a key element of the Group's internal control and operational risk management. All of the Group's business areas and staff and support units perform an extensive self-assessment, which consists of answering questions about the area's management and control in addition to measuring operational risk. Managers are required to identify risk areas in their units and approve measures to reduce identified risk. The risk assessment for the Group as a whole is based on the risk assessments from the different business and support areas.

CYBER RISK

PHISHING

Designation for digital snooping or «fishing» for sensitive information such as a password or credit card number.

CEO FRAUD

Fraud perpetrated by means of an e-mail or SMS that supposedly comes from someone in a company’s management, demanding payment or a transfer of funds.

HACKTIVIST

A person who gains unauthorised access to data files or networks for the purpose of promoting a social or political agenda.

RANSOMWARE

Malware that locks or encrypts all or some of the contents on a computer. The aim is to get the user to pay a ransom to regain access.

DENIAL OF SERVICE ATTACK

Attack whereby the perpetrator prevents legitimate users from accessing information, resources or services.

TROJAN

Malware disguised as something else, for instance a product people want.

Digitalisation is changing society and the banking industry. At the same time, cyber criminals are using increasingly sophisticated methods and technology. This trend will continue, and calls for constant improvement of security awareness and technology. Serious attacks against both public and private organisations were reported in 2017. This is also a familiar trend in DNB. The Group is highly alert to digital attacks in the form of spyware, ransomware, denial of service attacks and digital fraud (eFraud).

ONLINE ATTACKS

Digital vandalism is perpetrated by both amateurs and others who use extremely advanced methods. Examples include hacktivists, whose aim is to promote their own agendas or attract attention, and criminals engaged in financial extortion. There has been a strong rise in the use of ransomware and denial of service attacks in recent years. Criminals are expected to develop increasingly advanced methods and tools for such attacks, and both the scope and complexity of these attacks will increase.

DIGITAL FRAUD (EFRAUD) AND DIGITAL BANK ROBBERIES

As more and more banking services are digitalised, the number of attacks against the banks’ customers continues to rise. These attacks often take the form of CEO fraud, trojans and phishing.

In 2016, USD 81 million was stolen from the Central Bank of Bangladesh in a digital bank robbery. Weak information security in the central bank was part of the reason why the robbery was successful. Aside from the size of the proceeds, what differentiated this attack from the most common fraud attempts against

the financial services industry was that it targeted the bank’s own systems, instead of customers and customer accounts. The potential proceeds from digital bank robbery may lead others to attempt similar attacks.

SPYING AND LOSS OF INFORMATION

The Norwegian Police Security Service (PST), Intelligence Service and the National Security Authority (NSM) have reported extensive intelligence activity by foreign governments against Norway targets. The aim of many government investigation and security services is to increase the competitive strength of their own counties, for instance with respect to research and business. However, it is primarily criminals who attempt to acquire information illegally.

MANAGEMENT AND CONTROL OF INFORMATION SECURITY

Group Security is DNB’s central specialist unit for information security and is responsible for developing and supporting security measures throughout the bank. Group Security is headed by the Chief Information Security Officer (CISO), who reports to the group executive vice president for People & Operations.

In 2016, DNB launched a three-year plan to strengthen the Group’s information security and defence against cyberattacks, and has made substantial investments and improvements in this area in recent years. Important defence elements include multiple levels of robust security measures as well as constantly fortifying and upgrading IT solutions, increasing employees’ security awareness and further development of national and international collaboration.

The central elements of these efforts consist of information security management and controls, as well as preventive measures to guard against security incidents and/or limit damage resulting from them. Early detection of security events is also important because it enables rapid response to ensure that they are handled effectively.

During 2017, DNB introduced reinforced protection of all computers, improved user and access management, training in information security for all employees, separate training for managers and enhanced defence against digital fraud. The group management team and the Board of Directors completed training in information security, and several security drills were carried out.

Cooperation with other actors in the financial services industry is also important. In 2012, DNB consequently proposed the establishment of FinansCERT (the Norwegian Financial Cyber Security Centre) for the purpose of sharing information about threats and coordinating Norwegian banks’ handling of incidents. In 2017, DNB contributed to making FinansCERT a Nordic organisation (Nordic Financial CERT), which added some Finnish and most of the Danish banks as members at the end of the year. DNB was an initiator of, and contributor to, the establishment of FinansCERT, an organisation which contributes to the handling of security incidents across the industry. In 2017, DNB played a part in transforming FinansCERT into a Nordic association, Nordic Financial CERT, which is in the process of including members from the other Nordic countries. Furthermore, DNB cooperates closely with the police and reported several incidents in 2017.

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Compliance risk

External regulations and legislation are changing rapidly and becoming increasingly complex. This, combined with the pace of innovation in the financial services industry, makes it extremely demanding for banks to keep track of, implement and ensure compliance with new legislation. Banks need to use a structured, risk-based approach which ensures effective management and handling. Clear roles, extensive expertise and a strong culture of compliance are the central elements of DNB's compliance management.

Developments in compliance risk in 2017
Management and measurement of
compliance risk

67

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Definition

Compliance risk is the risk of regulatory sanctions, financial loss or loss of reputation as a result of unethical conduct, non-conformance with good business practice or violations of prevailing rules and regulations.

DNB has high attention on anti-money laundering, protection of personal privacy, international tax reporting and corruption. In 2017, training programmes dealing with important compliance topics were developed for all employees.

DEVELOPMENTS IN COMPLIANCE RISK IN 2017

ANTI-MONEY LAUNDERING

Work on getting a new internal anti-money laundering regime in place in DNB was completed in 2017. This will ensure consistent handling of AML issues in all parts of the Group, and be a practical aid for preparing standard procedures and designing processes. A considerable amount of work was done in 2017 to strengthen the quality of customer data. Information about more than two million customers was checked and updated. At the same time, the Group's system for electronic monitoring of transactions was upgraded. Customers who do not provide all the information required by law can only be given limited access to the bank's services.

Efforts to combat money laundering and terror financing are part of DNB's corporate social responsibility. In addition to strengthening its own compliance, DNB provides training for partner banks in Norway. In November, DNB organised a conference to share its anti-money laundering expertise with other banks. DNB wants to help boost anti-money laundering efforts in the Norwegian financial services industry.

PROTECTION OF PERSONAL PRIVACY

The strong focus on the protection of personal privacy throughout 2017 will continue in 2018. DNB's customers shall be confident that the Group stores and processes personal data in a correct and proper manner in conformity with laws and regulations. A new directive for the protection of personal privacy, GDPR, will enter into effect in May 2018 and substantial resources have been allocated to ensure that the Group meets the requirements in the directive. DNB's Board of Directors has resolved concrete measures, which include adapting rules and practises, quality control of how personal data is processed and training programmes for all employees.

TAX EVASION

Banks are required to help prevent international tax evasion and are obligated to obtain information about each customer's country of residence for tax purposes ¹⁾. The banks have to report information about financial accounts to tax authorities in the countries where the customers are subject to taxation. All the countries in which DNB has business operations have ratified the relevant treaties and incorporated the requirements in their own legislation.

ANTI-CORRUPTION

Corruption poses a serious threat and undermines legitimate business activity and fair competition. In addition to following Norwegian law, because of its international operations, DNB is obligated to meet statutory requirements in other countries ²⁾. DNB has zero tolerance for corruption. This is communicated by means of clear guidelines and standards for all employees. The efforts to combat corruption include developing internal rules and practises, updating risk analyses and upgrading DNB's anti-corruption programme.

MANAGEMENT AND MEASUREMENT OF COMPLIANCE RISK

As specified in the Group Policy for Compliance, the Board of Directors has determined that DNB shall have low compliance risk and ensure that all of its business activities are characterised by integrity, fairness and good business practises. This calls for good management and control of compliance risk, as well as few compliance breaches.

Compliance risk is managed in accordance with governing documents on multiple levels. The overarching compliance policy has been broken down into more detailed guidelines, e.g. for anti-money laundering, anti-corruption, protection of personal privacy, conflicts of interest and compliance with

competition laws and regulations. These are, in turn, elaborated on in standard procedures. The standard procedures provide a basis for operationalizing rules and regulations and are meant to serve as aids for setting up operating procedures, processes and resolving concrete business issues.

The illustration shows how external regulations define the boundaries for governing documents. It also shows how operative activities are governed by internal specialist rules and standards.

According to the Group's compliance policy, all managers are responsible for ensuring that activities carried out in their units are in conformity with internal and external rules and regulations. All employees in DNB have an independent responsibility to help ensure that the Group complies with prevailing rules and regulations.

Compliance risk is measured in the business and support areas in connection with the internal control process. All managers are responsible for ensuring compliance with rules and regulations and for reporting any deviations in their own units.

The Group Chief Compliance Officer (GCCO) is in charge of the independent second-line compliance unit. The compliance unit performs controls and prepares periodic reports showing the status and changes of compliance risk. Group management and the Board of Directors receive semi-annual reports. In addition, the Board of Directors is given monthly status reports on selected issues.

The GCCO monitors risk appetite measurement in the compliance area. In 2017, this was linked to compliance with AML rules and regulations, but as of 2018 it will be linked to an assessment of overall compliance in the Group as a whole.



¹⁾These requirements follow from the Foreign Account Tax Compliance Act (FATCA) from the USA and the Common Reporting Standard (CRS) issued by the OECD
²⁾Including the UK Bribery Act and U.S. FCPA (Foreign Corrupt Practices Act)

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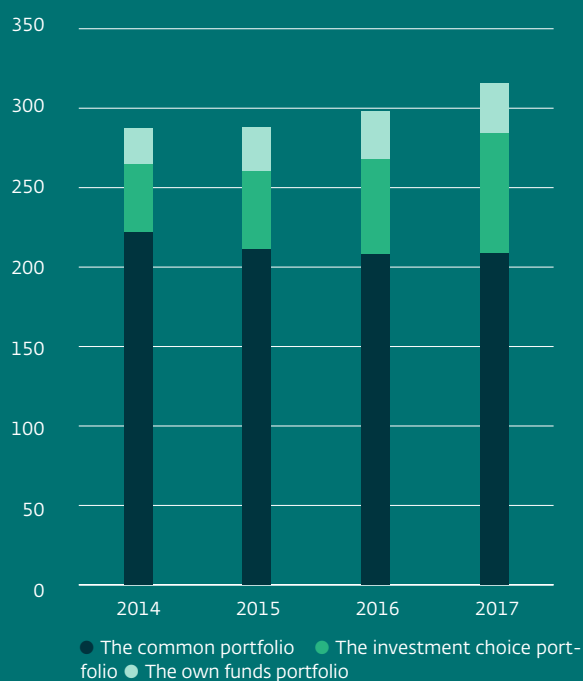
DNB Livsforsikring

DNB Livsforsikring AS is a wholly-owned subsidiary of DNB ASA. Its assets under management came to NOK 317 billion at the end of 2017. The investment choice portfolio, which consists of defined contribution pension and individual pension products, accounts for a steadily increasing proportion of total assets and came to 24 per cent at the end of 2017. The company sells insurance and pension products to businesses, associations and private individuals. DNB Livsforsikring is exposed to insurance, market, counterparty and operational risk. DNB Livsforsikring will publish its own Pillar 3 report, the «Solvency and Financial Condition Report» on 5 May 2018.

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 The solvency margin in DNB Livsforsikring 69
 Risk management and measurement in DNB Livsforsikring 70

Development in assets under management

NOK billion



Solvency margin with transitional rules

Per cent

190 (211)

Solvency margin without transitional rules

Per cent

146 (152)

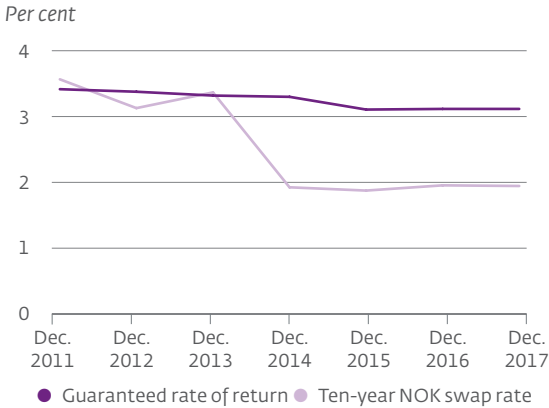
DEVELOPMENTS IN DNB LIVSFORSIKRING IN 2017

DNB Livsforsikring made a pre-tax profit of NOK 2 billion in 2017, which was 0.5 billion more than the year before. The good result provided a basis for a dividend of NOK 1.5 billion.

The solvency capital after dividends came to NOK 34.3 billion at year-end 2017, NOK 0.5 billion less than at the end of 2016. The solvency margin was reduced from 211 per cent to 190 per cent, which still constitutes a significant additional buffer seeing as the solvency capital requirement is 100 per cent. Without the transitional rules, the solvency margin came to 146 per cent at the end of 2017, down from 152 per cent the year before. All figures from here on in this chapter refer to solvency capital requirements and solvency capital calculated according to the transitional rules.

The solvency capital requirement increased from NOK 16.5 billion at the end of 2016 to NOK 18.1 billion at year-end 2017. This was mostly due to a higher solvency capital requirement for market risk as a result of increased equity exposure.

Development in guaranteed rate of return and interest rate level

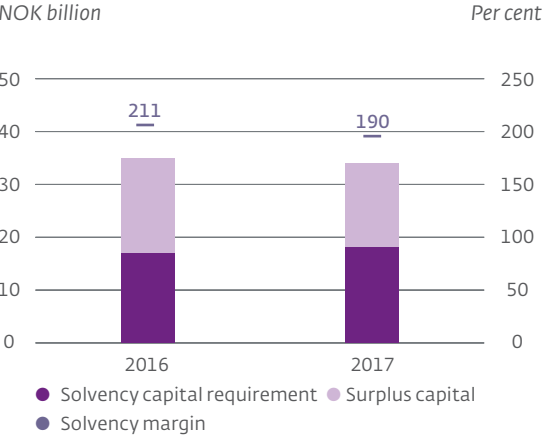


The additional statutory reserves increased by NOK 0.9 billion in the course of the year. Returns in excess of the rate of return guaranteed to customers are used to build up the reserves. If the return on investments is not enough to cover the annual return guaranteed to customers, the shortfall can be covered from the additional statutory reserves which serve as a buffer for equity capital.

Since 2011, DNB Livsforsikring has given priority to strengthening of longevity reserves to prepare for longer life expectancy. The reserves were strengthened by NOK 0.6 billion in 2017 and the target was thereby reached. A total of NOK 12.9 billion has been set aside since 2011.

Norwegian interest rates are the most important market risk factor for life insurance operations. The ten-year swap rate was 1.94 per cent at the end of 2017, roughly the same as at year-end 2016. The average annual return guaranteed to customers on fixed annuity products is just over 3 per cent. It is harder for the company to achieve the guaranteed rate of return when interest rates are low.

Development in solvency margin



To ensure sufficient returns, DNB Livsforsikring has exposure to long-term debt securities, lending secured by mortgages and equities.

The top left figure shows the movements of Norwegian ten-year swap rate and the average return guaranteed to customers. In recent years assets under management linked to products without a guaranteed rate of return grew more than products with a guaranteed rate of return. Premium income from defined contribution pension policies is rising. Meanwhile premium income from defined benefit policies is declining. This is because many companies have switched from defined benefit to defined contribution pension schemes. This is positive for DNB Livsforsikring because the solvency capital requirement is lower for investment choice products, like defined contribution pension policies, than for products with a guaranteed rate of return such as defined benefit pension policies.

SOLVENCY II

The Solvency II regulation stipulates requirements for solvency capital in life insurance companies. The primary capital is supposed to cover most of the solvency capital requirement, but the effects of calculating both liabilities and assets at market value are also taken into account. The solvency ratio is the ratio of solvency capital to the solvency capital requirement.

When the Solvency II regulation was introduced, DNB Livsforsikring was given permission to apply transitional rules to simplify adaptation to the new regulation. Because of the low interest rate level, the market value of liabilities is much higher than the recorded values. The transitional rules allow for gradual reduction of this difference in connection with calculating solvency capital.

THE SOLVENCY MARGIN IN DNB LIVSFORSIKRING

The table on the next page shows changes of solvency capital and solvency capital requirements, calculated with the transitional rules from 2016 to 2017.

Market risk is the primary risk for the company and accounts for 71 per cent of the basic solvency capital requirement before diversification. Market risk is primarily attached to the common portfolio and is the risk that the recorded return on financial assets will not be sufficient to meet the obligations under insurance policies. The solvency capital requirement for market risk increased from NOK 27.3 billion at the end of 2016 to NOK 28.9 billion at the end of 2017.

Market risk includes risk attached to interest rates, equities and credit spreads. Interest rate risk is the predominant risk and accounted for 44 per cent of the total market risk at year-end 2017. Interest rate risk is linked to the company's assets and liabilities. The interest rate risk increased by NOK 0.7 billion compared to year-end 2016. Equity risk also increased in 2017 and accounted for 28 per cent of the market risk at year-end, compared to 26 per cent at the end of 2016. Equity risk includes real estate risk that follows from ownership interests in real estate companies. In 2017, credit spread risk increased by NOK 0.3 billion and accounted for 27 per cent of the market risk at year-end 2017. This is mostly due to an increased proportion of bonds that carry higher risk.

Insurance risk is the second largest risk calculated according to the solvency rules. The insurance risk rose by NOK 0.4 billion to NOK 9.8 billion at the year-end 2017. The increase was due to higher insurance premiums, which in turn led to higher solvency capital requirements. The insurance risk is curbed by means of reinsurance policies provided by other insurance companies.

In accordance with Solvency II, operational risk is calculated by means of the standardised approach. In this

approach, operational risk is quantified as whichever is highest of 4 per cent of annual premiums and 0.45 per cent of the premium reserves. For investment choice products, operational risk is set at 25 per cent of annual administration costs. Operational risk was calculated to NOK 1.1 billion at year-end 2017.

Tax liability and customer profitability are taken into account when the solvency capital requirement is calculated. A potential future loss would reduce the tax liability which, in turn, reduces the solvency capital requirement at the end of 2017 by NOK 5.1 billion. Future customer profitability is also taken into account, which contributes to reducing the solvency capital requirement by NOK 11.4 billion.

RISK MANAGEMENT AND MEASUREMENT IN DNB LIVSFORSIKRING

Risk management in DNB Livsforsikring is based on the Solvency II requirements for governance and control in insurance companies. There are statutory requirements for the risk management, actuarial, compliance and internal audit functions. The head of Risk Management in DNB Livsforsikring reports to both the CEO of DNB Livsforsikring and to Group Risk Management in the DNB Group.

DNB Livsforsikring follows the Group's principles for risk management and control and is only permitted to take on risk the organisation understands and can monitor. Sound risk management contributes to increasing risk-adjusted profitability.

In addition to the management framework and principles that apply to the entire DNB Group, the Board of Directors of DNB Livsforsikring establishes, standards and instructions that provide a framework for the company's operations. These are summed up in the strategies for risk management, asset management, insurance risk and operational risk. In addition, governing documents based

on requirements in the Solvency II regulation have been established specifically for DNB Livsforsikring.

In the risk management strategy, limits are set for market risk associated with asset management, insurance risk and operational risk. In addition, targets for the long-term capitalisation of the market are expressed through the solvency margin.

The DNB Group's risk appetite framework encompasses the level of risk in DNB Livsforsikring. Risk appetite limits have been set for the solvency margin. Market risk in DNB Livsforsikring is also included in the risk appetite framework for market risk in the DNB Group. In addition, DNB Livsforsikring has its own risk appetite framework to ensure that risk management is integrated in the company's governance process.

The company's risk is managed and measured in accordance with the Group's regime for risk management and control.

- The first line of defence consists of the front-end units in the business operations. Managers are responsible for the risk within their own areas of responsibility. DNB Livsforsikring's risk selection process is meant to protect the company from taking on exposure that is likely to generate losses or lead to unwanted volatility in key measurement parameters.
- The second line of defence monitors and follows up the operative units and the risk to which DNB Livsforsikring is exposed. The actuarial function, risk management function, including the Local Operational Risk Officer (LORO), and the compliance function are all part of the second line of defence.
- The third line of defence is the internal auditors, who examine and evaluate DNB Livsforsikring's internal standard procedures. DNB Livsforsikring's internal auditing function is performed by Group Audit in DNB ASA.

The risk appetite status is included in the quarterly risk reports submitted to the Board of Directors of DNB ASA. The report also describes the main features of risk trends in the company. The management and Board of Directors of DNB Livsforsikring receive quarterly risk reports on DNB Livsforsikring that include risk trends, the status of the company's risk appetite and associated analyses, including stress testing and sensitivity analyses. Tests of market risk examine how a decline in the stock market or real estate market or increased counterparty risk would affect capitalisation and risk levels. The effect of a change in interest rates on assets and liabilities is also tested. Stress tests of insurance risk examine the product mix, life expectancy and disability.

Limits have been set for mortality, longevity, disability and disaster risk. In addition there are targeted requirements for the quality of the customer portfolio with respect to risk coverage and the product mix. Some of the administrative, IT, sales and customer follow-up tasks are handled by central units in the DNB Group. There are written guidelines for reporting and monitoring outsourced operations.

Solvency margin according to the standard method in Solvency II, with transitional rules

NOK million	31 Dec. 2017	31 Dec. 2016
Equity	23 549	22 934
Subordinated loans	5 500	5 500
Market value adjustment	5 253	6 345
Solvency capital	34 302	34 779
Market risk	28 932	27 284
Counterparty risk	622	354
Insurance risk	9 783	9 333
Health insurance risk	1 545	1 887
Diversification	(7 423)	(7 174)
Basic solvency capital requirement	33 459	31 685
Operational risk	1 123	1 095
Loss absorbing capacity in tax and future earnings	(16 502)	(16 262)
Solvency capital requirement	18 079	16 518
Margin to solvency capital requirement	16 223	18 260
Solvency margin	190 %	211 %

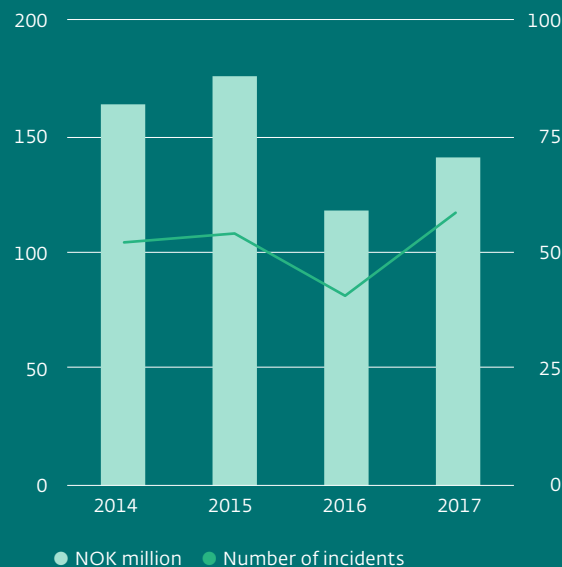
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DNB Forsikring

DNB Forsikring AS is a non-life insurance company. The company offers insurance products that meet most households' insurance needs. The products are mostly sold through DNB Bank's distribution channels. DNB Forsikring will publish a separate Pillar 3 report, "Solvency and Financial Condition Report" in May 2018, describing developments in the company's financial strength, risk profile and risk management.

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Solvency margin in DNB Forsikring 72
Risk management and measurement in DNB Forsikring 72

Large losses over NOK 1 million, excluding natural peril claims
NOK million Number of incidents



Development in combined ratio
Per cent



Solvency margin
Per cent

183 (171)

Solvency capital
NOK million

920 (772)

Solvency capital requirement
NOK million

504 (451)

DEVELOPMENT IN DNB FORSIKRING IN 2017

DNB Forsikring’s solvency margin strengthened by 12 percentage points in 2017 and came to 183 per cent at the end of the year. The solvency capital increased as a result of retained annual profits.

The profitability in DNB Forsikring has been good and stable in recent years. Aside from natural perils, the company experienced few major events in 2017. There were also fewer winter-related claims than in a normal year. There were 59 large events, i.e. individual insurance events where the compensation exceeded NOK 1 million. Large events equalled 6.5 per cent of the premium income. The figure on the previous page shows both the number of large events and reported claim amounts in recent years.

2017 was a year of considerable precipitation and floods. According to an overview prepared by the industry organisation for the financial industry in Norway, Finance Norway, and the Norwegian Natural Perils Pool, insurance claims for damages due to natural disasters came to around NOK 870 million for the industry as a whole in 2017. DNB's share of the Norwegian Natural Perils Pool is around 3 per cent. The cost for DNB Forsikring after reinsurance was NOK 11.7 million, and the capital situation was thus not significantly weakened. The Norwegian Natural Perils Pool does not cover damage to cars and boats, so those claims come in addition to the above.

SOLVENCY MARGIN IN DNB FORSIKRING

The company's capital situation strengthened further in 2017. The profit after tax for 2017 came to NOK 235 million, of which NOK 150 million has been proposed as dividend. The remainder will be used to strengthen capital. At the end of the year, the company had a solvency margin of 183 per cent, which corresponds to a buffer of NOK 416 million in addition to the solvency capital requirement.

Solvency margin according to the standard method in Solvency II		
NOK million	31 Dec. 2017	31 Dec. 2016
Solvency capital	920	772
Market risk	152	67
Counterparty risk	18	102
Non-life insurance risk	523	491
Health insurance risk	107	102
Diversification	(194)	(145)
Basic solvency capital requirement	607	538
Operational risk	65	63
Tax adjustments	(168)	(150)
Solvency capital requirement	504	451
Solvency margin	183 %	171 %

The table above shows the changes in solvency capital and solvency capital requirements in 2017.

DNB Forsikring uses the standard method in the Solvency II rules to calculate the solvency capital requirement. The solvency capital requirement rose from NOK 451 billion in 2016 to NOK 504 billion at the end of 2017. The main reason for this was that market risk increased by NOK 86 million in 2017 to NOK 152 million, largely due to increased exposure to equity and property funds.

Any future losses will reduce the tax liability, and this is taken into account in the calculation of the solvency capital requirement. This reduced the solvency capital requirement at the end of 2017 by NOK 168 million.

Insurance risk in the form of health and non-life insurance risk, is still the leading type of risk for the company and accounts for roughly 79 per cent of basic solvency capital requirement before diversification. The company is also exposed to some counterparty risk and operational risk.

DNB Forsikring has increased its exposure to personal insurance products such as payment protection and accident insurance. This made the portfolio more balanced because the covariance between personal insurance and car, home and travel insurance is limited. The company's insurance policies are primarily one-year contracts with private individuals that can be cancelled subject to one month's notice.

RISK MANAGEMENT AND MEASUREMENT IN DNB FORSIKRING

DNB Forsikring’s risk and capital strategy is based on the Group Policy for risk management and the risk appetite framework and ensures that risk management is an integral part of the company’s governance processes. DNB Forsikring’s risk appetite framework is determined by the company’s Board of Directors and stipulates limits for key risks. The company’s risks are managed and monitored in accordance with the Group’s risk management regime, which is based on a model with three lines of defence:

- The first line of defence consists of the front-line units. Individual managers are responsible for the risk within their own areas of responsibility.
- The second line of defence is an independent function which monitors and follows up the operative management's governance and internal control. The actuarial function, risk management function, including the Local Operational Risk Officer, and the compliance function are all part of the second line of defence.
- The third line of defence is Group Audit, which reviews and evaluates DNB Forsikring's governance and internal control.

See the chapter on Risk Management and Control in DNB for further information about the three lines of defence in DNB.

DNB Forsikring is reviewed in the Group's risk report to group management and the Board of Directors of DNB. A separate quarterly risk report is prepared for the Board of Directors of DNB Forsikring in which the company's risk appetite and corporate governance are reviewed.

The terms of individual insurance policies are set on the basis of statistical pricing models and selection processes to ensure that insurance premiums are proportionate to the risk. Large individual claims are difficult to predict using statistical models. The company reduces its risk exposure to such claims through a reinsurance programme that limits the company's liability for individual events to a maximum of NOK 10 million. This contributes to stable operating results and greatly reduces the capital adequacy requirement.

In accordance with the Solvency II rules, at least once a year DNB Forsikring is required to do a forward-looking assessment of the company’s capitalisation and the adaptation of the company’s risk profile to the standard model. The process is documented in the ORSA (Own Risk and Solvency Assessment) which is sent to Finanstilsynet. The process includes determining the company’s risk profile, assessing the underlying assumptions in the standard model and scenario analyses based on the financial plan. The ORSA process shows that DNB Forsikring AS is well capitalised and will be able to meet the solvency margin requirement even if quarterly and annual results were to be significantly weaker than expected.

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Definitions, explanation of terms and abbreviations

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RISK CATEGORIES

In DNB, risk is divided into six main categories which are subject to special measurement and monitoring.

Credit risk is the risk of financial losses due to failure on the part of the Group's customers (counterparties) to meet their payment obligations towards DNB. Credit risk refers to all claims against customers/ counterparties, primarily loans, but also liabilities in the form of other extended credits, guarantees, interest-bearing securities, approved, undrawn credits and interbank deposits. Credit risk also includes residual value risk and concentration risk. Residual value risk is the risk that the value of collateral securing exposure is lower than expected. Concentration risk is the risk associated with large exposures to a single customer and clusters of commitments in geographical areas or industries, or with homogeneous customer groups.

Market risk is the risk of losses due to unhedged positions in the foreign exchange, interest rate, commodity and equity markets. The risk reflects potential fluctuations in profits due to volatility in market prices and exchange rates. Market risk includes both risk which arises through ordinary trading activities and risk which arises as part of banking activities and other business operations. In addition, market risk arises in DNB Livsforsikring ASA through the risk that the return on financial assets will not be sufficient to meet the obligations specified in agreements with customers.

Operational risk is the risk of losses due to deficiencies or errors in processes and systems, human errors or external events. Operational risk also includes compliance risk, which is the risk of losses caused by breaches of laws and regulations or similar obligations, and legal risk, which is often related to the documentation and interpretation of contracts and different legal practices in countries where the bank is operating , in addition to IT risk, including information

security. Operational risk does not include strategic risk or reputational risk. Operational risk includes the entire business and an operational event may affect different parts of the business differently.

Insurance risk is risk associated with operations in DNB Livsforsikring ASA and DNB Forsikring AS and refers to changes in insurance obligations due, inter alia, to changes in life expectancy and disability rates within life insurance. Within non-life insurance, insurance risk relates to the frequency and size of claims payments the company is obliged to make.

Liquidity risk is the risk that the Group will be unable to meet its obligations as they fall due, and the risk that the Group will be unable to meet its liquidity obligations without a substantial rise in appurtenant costs. Sound liquidity is a prerequisite for financial operations, but this risk category will often be of a conditional nature, as it will not become obvious until other events give reason to worry about the Group's ability to meet its obligations.

Business risk is the risk of profit fluctuations due to changes in external factors such as the market situation, government regulations or the loss of income due to a weakened reputation. Reputational risk is often a consequence of other risk categories. The Group's business risk is generally handled through the strategy process and through ongoing work to safeguard and improve the Group's reputation. When determining and following up the Group's risk appetite, reputational risk is treated separately.

Reputation risk is followed up by monitoring media coverage, while the competitive situation is monitored through analyses of market trends and developments in the market.

In addition to the above risk categories, the Group is exposed to **strategic risk**, which can be defined as the

risk of a decline in income if the Group fails to exploit the strategic opportunities which are offered. The Group's strategic risk is not measured or reported, but is on the agenda in discussions concerning annual strategy processes.

Basis risk is a part of market risk. Basis risk is the risk that changes in the value of a hedge is not correlated with the changes in value of the underlying position being hedged. The most pronounced form of basis risk in DNB arises in connection with hedging of future cash flows in foreign currencies, so-called basis swap risk.

Credit spread risk is the risk of changes in the market value of securities and derivatives as a result of changes in credit spreads. Credit spread is a type of risk factor that measures market sensitivity, in terms of basis point value, to credit and liquidity risk.

EXPLANATION OF TERMS

BASEL III

Basel III is an international regulatory framework for banks, finance companies and investment firms issued by the Basel Committee for Banking Supervision. The final elements of this framework were added in December 2017 and will be implemented by 1 January 2022 at the latest. The capital adequacy regulations are part of the Basel III regulatory framework in Norway. Basel III has been implemented in the EU and EEA by means of CRD IV and CRR.

- CRD IV, the Capital Requirements Directive, is the legal framework for the supervision of credit institutions and investment firms in the EU. In accordance with the EEA agreement, Norway is required to transpose the directive into Norwegian legislation.
- CRR is a regulation and applies throughout the EU independent of national legislation. Through the EEA agreement, Norway is required to comply with the regulation.

For more information, see the following section Capital Requirements Calculation used in DNB.

BASIS SWAP

In this context we use the term basis swap for a type of swap in which two parties exchange variable interest and principal payments in different currencies. This is usually done to hedge future cash flows in foreign currencies.

BUFFER REQUIREMENTS

Financial institutions must fulfill a combined buffer requirement consisting of four separate requirements:

- The capital conservation buffer is a buffer imposed on all banks to provide time and space for correcting measures if the bank were to get into a crisis situation.
- The systemic risk buffer is a buffer that reflects especially high, non-cyclical risk factors in the economy.
- The buffer for systemically important financial

institutions is a buffer to mitigate the likelihood that systemically important financial institutions come into a crisis situation.

- The countercyclical capital buffer is a buffer that takes into account that credit risk may increase during periods of strong credit growth. The buffer shall reduce the effect of cyclical variations. During recessions the buffer requirement can be waived to make it easier for banks to provide credit.

According to Section 2-9 e of the Financial Contracts Act, financial institutions that do not fulfil the above buffer requirements must prepare a plan for increasing its common equity Tier 1 capital ratio, and it cannot pay dividends to shareholders and bonuses to employees without Finanstilsynet's consent.

CAPITAL REQUIREMENT CALCULATIONS USED IN DNB
IRB approach, Internal Ratings-Based approach, credit risk

- An approach to measure risk-weighted assets (RWA) for credit risk using internal risk models. The advanced IRB is a method of calculating credit risk using internal PD, LGD and EAD models. Finanstilsynet gives permission to use internal models.

Standardised approach, credit risk

- Method for calculating risk-weighted assets using supervisory risk weights or rates. The rates are determined by the authorities.

Standardised approach, market risk

- The risk is divided into four asset classes in the standardised approach for market risk (interest, equity, currency, and commodity positions) in addition the CVA risk for derivatives is calculated. There are various calculation methods for each of these.

Basic approach, operational risk

- In the basic approach, the capital requirement is

calculated as 15 per cent of average gross income over the last three years.

Standardised approach, operational risk

- Income should be allocated to eight different business areas, where Finanstilsynet defines which service categories are included in each area. When calculating the minimum requirement, average gross income over the past three years is multiplied by fixed percentages ranging between 12 and 18 per cent, depending on which business area has generated the income.

The calculation methods are described in the Capital Requirements Regulations. Also see Basel III.

CCF, CREDIT CONVERSION FACTOR

CCFs are used in determining the EAD in relation to credit risk exposures. The CCF is an estimate of the proportion of undrawn commitments expected to have been drawn at the time of default.

COVERED BONDS

Give DNB coverage for their claims on an underlying cover pool if the issuer defaults on their obligations. Norwegian covered bonds can only be issued by mortgage institutions, while foreign covered bonds may be issued by both banks and mortgage institutions.

CRS (COMMON REPORTING STANDARD)

An international reporting standard developed by the Organisation for Economic Cooperation and Development (OECD) for the automatic exchange of information about financial accounts. It is based on the same principles as FATCA. The agreement entails an obligation for financial institutions to obtain information about each account holder's residence for tax purposes, or country of domicile and file yearly reports containing information about financial accounts owned by customers who are tax residents of or domiciled in another country or jurisdiction.

EAD, EXPOSURE AT DEFAULT

EAD is the share of the approved credit that is expected to be drawn at the time of any future default at the same time as there is a downturn in the market.

ECONOMIC CAPITAL (RISK-ADJUSTED CAPITAL)

The internally calculated capital requirement which is deemed necessary for the Group to support the risks to which it is exposed. Economic capital in DNB is calculated using an internal model called the Total risk model. DNB has stipulated that economic capital should cover 99.9 per cent of potential unexpected losses within a one-year horizon.

FATCA (THE FOREIGN ACCOUNT TAX COMPLIANCE ACT)

An US tax law. Norway and the USA have entered into an agreement requiring financial institutions to report the total balances on accounts belonging to US citizens to the local tax authorities, which forward the information to the US Internal Revenue Service (IRS).

EL, EXPECTED LOSS

EL indicates the average annual expected losses over an economic cycle. $EL = PD * LGD * EAD$
ICAAP, Internal Capital Adequacy Assessment.

ICAAP, INTERNAL ASSESSMENT OF RISK (INTERNAL CAPITAL ADEQUACY ASSESSMENT PROCESS)

Financial institutions are required to have an ongoing internal assessment of risk and capital needs. The process is outlined in Pillar 2 of the capital adequacy regulations. The bank must assess all risks inherent in operations. The process is documented annually through the ICAAP report to Finanstilsynet. Based on this report and other information that Finanstilsynet has about the bank, an overall assessment of the bank's risk and capital situation (SREP, Supervisory Review and Evaluation Process) is carried out. In connection with the assessment, a separate add-on to the other capital requirements, the Pillar 2 capital add-on, is also set.

LEVERAGE RATIO

The leverage ratio is defined as Tier 1 capital as a percentage of total exposure calculated according to the CRR. The leverage ratio does not take into account that various activities on credit institutions' balance sheets may have differing degrees of risk.

LGD, LOSS GIVEN DEFAULT

LGD represents the percentage of the Exposure at Default (EAD) which the Group expects to lose if the customer fails to meet his obligations.

LIQUIDITY INDICATORS

- LCR (Liquidity Coverage Ratio): measures short-term liquidity risk. The LCR requires banks to hold risk-free assets that may be easily liquidated in order to meet required payments during a thirty-day crisis period without central bank support.
- NSFR (Net Stable Funding Ratio): measures long-term liquidity risk, aiming to create additional incentives for banks to fund their activities with more stable sources of funding.

MIFID II (MARKETS IN FINANCIAL INSTRUMENT DIRECTIVE)

The directive regulates the market for financial instruments, and describes how institutions in the financial markets should be organised and behave.

MREL (MINIMUM REQUIREMENT FOR OWN FUNDS AND ELIGIBLE LIABILITIES)

The minimum level of own funds and eligible liabilities that can be written down or converted into equity (bail-in) when a bank is close to liquidation.

PD, PROBABILITY OF DEFAULT

The probability that a customer will go into default. PD is calculated based on financial and non-financial factors and forms the basis for risk classification of credit exposures.

PENSIONS

In a **defined-benefit pension scheme**, the employer commits to a specified monthly payment upon retirement. These are life-long payments and are calculated as a percentage of salary less expected payments from the National Insurance Scheme. The employee's salary at retirement age forms the basis for the calculation.

In a **defined-contribution pension scheme**, the employer pays a specific contribution into the employee's pension account. The employer has no further obligations under the scheme and carries no risk.

REGULATORY CAPITAL

Regulatory capital is capital that can be used to cover capital requirements. Regulatory capital includes Tier 1 capital and supplementary capital. Common equity Tier 1 capital consists of paid-in capital and retained earnings. Hybrid securities are also included in Tier 1 capital. Hybrid securities are borrowing instruments that in special cases may be converted into equity. Tier 2 capital consists of subordinated debt. Subordinated debt can be either perpetual or time-limited. It is interest-bearing and repayment may be demanded, but

it is ranked below other debt and above Tier 1 capital. Subordinated debt cannot represent more than 2 percentage points of the minimum capital adequacy requirement of 8 per cent. Hybrid capital (perpetual subordinated loan capital securities) has traits of both debt and equity, and is part of the Tier 1 capital. However, it cannot exceed 1.5 percentage points of the minimum Tier 1 capital requirement of 6 per cent. Hybrid capital is perpetual and can be written down or converted to equity when the common equity Tier 1 capital ratio falls below 5.125 per cent.

RWA, RISK-WEIGHTED ASSETS

The risk exposure calculated for credit risk, market risk and operational risk in accordance with Finanstilsynet's rules on capital adequacy.

SOLVENCY II

The Solvency II Directive is an EU Directive that describes capital requirements for insurance companies. Solvency II entered into force on 1 January 2016 and is based on a three-pillar structure:
→ Pillar 1 consists of the quantitative requirements MCR (minimum capital requirement) and SCR (solvency capital requirement).

- Pillar 2 sets out requirements for supervisory review and evaluation, including the ORSA (own risk and solvency assessment) process.
- Pillar 3 encompasses rules on market discipline, including public disclosure requirements.

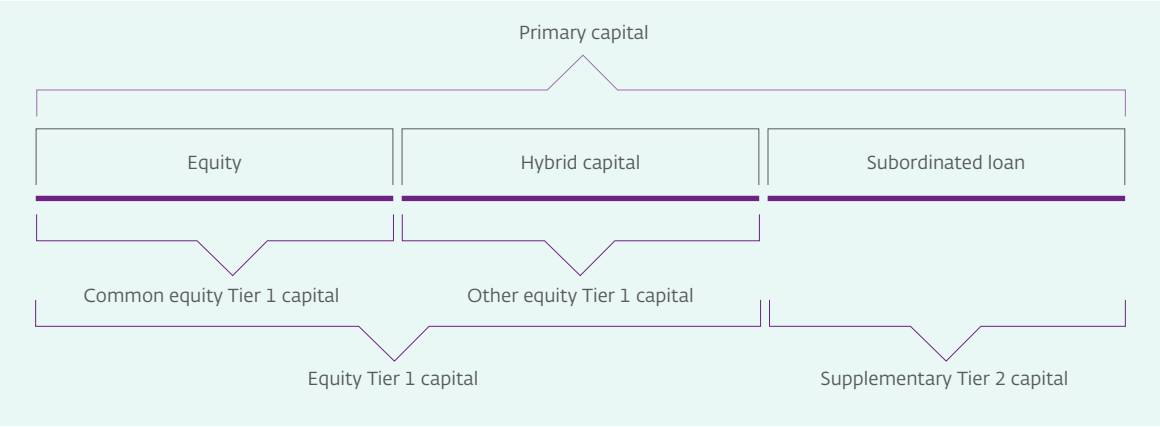
SYSTEMICALLY IMPORTANT FINANCIAL INSTITUTION (G-SII AND O-SII)

Financial institutions characterised by having a size and operations that would make them difficult to replace. Distress or disorderly failure in the institutions would cause significant disruption to the wider financial system and economic activity. These are defined as globally systemically important institutions (G-SII) or other systemically important institutions (O-SII). In Norway, DNB ASA and Kommunalbanken AS, are defined as O-SII.

TLAC (TOTAL LOSS-ABSORBING CAPACITY)
The minimum levels of capital and other instruments that can absorb losses or be converted to equity. Applies to G-SIIs. The TLAC is to be integrated in the MREL.

VAR, VALUE AT RISK
For a given portfolio, the value-at-risk is an estimate of the potential future loss (in terms of market value) that, under normal market conditions, will not be exceeded in a defined period of time and with a defined confidence level.

WRONG-WAY RISK (WWR)
WWR is the additional risk that arises through an adverse correlation between counterparty exposures and the credit quality of the counterparties. Thus a correlation between credit risk and market risk.



ABBREVIATIONS

A-IRB
Advanced internal ratings-based approach

AGOR
Advisory Group Operational Risk

ALCO
Asset Liability Committee

AML
Anti-Money Laundering

BCBS
The Basel Committee for Banking Supervision

BICRA
Banking Industry Country Risk Assessment

BRRD
Bank Recovery and Resolution Directive

CCR
Counterparty Credit Risk

CCF
Credit conversion factor

CDO
Chief Data Officer

CEM
Current Exposure Method

CEO
Chief Executive Officer

CET1
Core Equity Tier 1

CFO
Chief Financial Officer

CISO
Chief Information Security Officer

CLS
Continuous Link Settlement

CRD IV
Capital Requirements Directive

CRO
Chief Risk Officer

CRR
Capital Requirements Regulation

CRS
Common Reporting Standard

CSA
Credit Support Annex

CVA
Credit Value Adjustment

DGS
Deposit Guarantee Schemes

DVP
Delivery versus Payment

EAD
Exposure at Default

EBA
European Banking Authority

ECB
European Central Bank

EL
Expected Loss

FATCA
The Foreign Account Tax Compliance Act

F-IRB
Foundation internal ratings-based approach

FMRC
Financial Market Risk Committee

FRA
Forward Rate Agreement

GCCO
Group Chief Compliance Officer

GCD
Global Credit Data

GCORO
Group Chief Operational Risk Officer

GDPR
General Data Protection Regulation

G-SII
Global systemically important institutions

ICAAP
Internal Capital Adequacy Assessment Process

IFRS
International Financial Reporting Standards

ILAAP
Internal Liquidity Adequacy Assessment Process

IMM
Internal Model Method

IRB
Internal ratings-based approach

LCR
Liquidity Coverage Ratio

LGD
Loss given default

LHC
Local Head of Compliance

LR
Leverage ratio

LORO
Local Operational Risk Officer

LTV
Loan to value

M
Maturity

MIR
Model Input Review

MREL
Minimum Requirement for Own Funds and Eligible Liabilities

MTM
Mark-to-market

NSFR
Net Stable Funding Ratio

ORSA
Own Risk and Solvency Assessment

O-SII
Other systemically important institutions

OTC
Over the counter

PD
Probability of default

PE
Private Equity

RMBS

TOPICS COVERED IN MORE THAN ONE DNB REPORT FOR 2017	RISK AND CAPITAL MANAGEMENT	ANNUAL REPORT
Summary of the year	The CRO's summary of the year	Group chief executive's statement Directors' report Corporate governance
Customer privacy, including IT security	Operational risk Compliance risk	Corporate governance
Regulatory framework	Risk management and control in DNB Capital management and ICAAP DNB Livsforsikring DNB Forsikring	Corporate governance New regulatory framework
Regulations and guidelines	Capital management and ICAAP Credit risk Legal structure and consolidaton rules for capital adequacy requirements	Corporate governance Directors' report Accounting principles
Risk management	Risk management and control in DNB Liquidity risk and asset and liability management Credit risk Market risk Operational risk DNB Livsforsikring DNB Forsikring	Corporate governance Directors' report Notes 5-17 to the accounts
Strategy and targets	Capital management and ICAAP	Group chief executive's statement DNB in brief Strategy and organisation Corporate governance Directors' report
Governance and organisation	Legal structure and consolidation rules for capital adequacy requirements Risk management and control in DNB Capital adequacy	Strategy and organisation Corporate governance Governance

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